
CHAPTER:01

INTRODUCTION TO HRM

INTRODUCTION:

Organization are made up of people and functions through people. Without people organization cannot exist. Among the various factors of production like money, material, men and machines in the organization, human resource is considered to be the most important factor. This is because the efficient use of other physical resources. Like land and capital is dependent on how the human factor is used on various operations.

1.1.1 MEANING:

Human Resource Management (HRM) is the process of planning, organizing, directing, and controlling the recruitment, development, compensation, integration, and maintenance of people in an organization.

Human Resource Management (HRM) is the strategic approach to managing people in an organization to gain a competitive advantage.

HRM refers to the effective utilization of employees' skills, knowledge, and abilities to achieve organizational objectives.

DEFINITION:

According to Edwin B. Flippo, "Human resource management is the planning, organising, directing, and controlling of the procurement, development, compensation, integration, maintenance, and separation of human resources to the end that individual, organisational, and social objectives are accomplished".

According to Michael J. Jucius, “Human resource are a whole consisting of interrelated, inter-dependent, and interacting physiological, psychological, sociological, and ethical components”.

According to Byars and Rue, “HRM encompasses those activities that are designed to provide for and coordinate the human resources of an organisation”.

1.1.2 NATURE OF HRM:

1. Universal in Nature: HRM practices are prevalent in each and every organisation whether it is public or private, government and non-government, educational or corporate, i.e., in almost every area. Its existence is not only limited to the personnel functions; rather it is pervasive at all the functional areas, i.e., marketing, finance, production etc.

2. Action-Oriented: The focus of HRM is on action rather than on keeping records, written procedures or rules. The issues of employees at the workplace are resolved with the help of rational policies.

3. Focused on People Dimension: HRM is basically focused on developing people at work both at individual and group level. It seeks to correlate the capabilities of employees with the requirement of the job. It constantly tries to motivate people for better performance and higher productivity.

4.Growth-Oriented:

The main concern of HRM is to develop the capabilities of the employees and maintain the reward system according to their expectations. The reward system should constantly motivate the employees to achieve the standard performance.

Training is also offered to employees so as to discover and develop their potential.

Job rotation is also used to analyse the overall performance of the employee.

5.Cordial

Integration:

The function of developing and re-structuring harmonious relations among human resources in the organisation is performed by HRM. It coordinates and controls the human resources in the organisation in such a manner so as to obtain maximum results.

6.Challenging

Function:

People are complex and dynamic in nature. Hence, management of human resource in the organisation demands very close supervision of the employees. It is very critical task to control and coordinate employees because of the human factor. HR manager needs to be very careful while controlling and dealing with them, without hurting their sentiments.

7.Supplementary

Service:

HR also plays a supportive role by assisting and advising operational/functional managers. As specialist advisors, they supervise and guide other managers to achieve their personnel tasks in a more effective manner.

8.Multi-Disciplinary

Function:

HRM is crucial to an organisation and so is the constitution of its concept. It derives ideas, concepts, practices and principles from various soft disciplines such as sociology, anthropology, economics, psychology, etc. Understanding of these disciplines is essential because like these disciplines HRM also relates and deals with human beings.

1.1.3 Scope of HRM:

HRM has a very wide application. HRM encompasses all the areas during the service of an employee starting from the time he enters, until he quits. Scope of HRM includes the following areas:

1. Procurement:

It consists of recruiting prospective employees and then selecting the most appropriate ones for the desired posts in the organisation. This is followed by their induction and settlement into their respective positions.

2. Training and Development:

It is necessary for the employees to perform well in realistic situations. The employees are encouraged to participate in committees and board meetings, which will aid their development.

3. Job Analysis and Job Description:

These are prepared to hire qualified employees by studying the job requirements of the organisation and assigning definite functions to jobs. They also act as a base for wage determination.

4. Compensation/Rewards:

Compensation is provided to the employees for their work. The amount of compensation which is to be given to the employees is ascertained by job analysis and job evaluation. It involves determining wage rates, methods of wage payment, and performance appraisal.

5. Employee Records:

Employee records are maintained to collect details of all employees about their work, e.g., training, job performance, aptitude payment records, their achievements, etc.

6. Welfare:

In HRM, the welfare aspect is focused on providing good working conditions to the workers. It includes programmes for health and safety, sanitation facilities, entertainment facilities, accommodations, education, security, etc.

7. Industrial Relations:

HRM helps in maintaining cordial relations in the industry. It comprises of aspects such as collective bargaining, workers' participation in management, dispute resolution, grievance management, etc.

1.1.4 Need of HRM:

Below mentioned are a few reasons why HRM is needed:

1. Maintaining Cordial Industrial Relations:

There are numerous factors such as labour-management disputes, unrest, loss of trust, increased labour expectations, growing of militant trade unions, etc., that results into differences between management and workers. Both sides feel that the other is exploiting it. When there is lack of understanding in the organisation, it adversely impacts the efficiency of the workers.

2. Building Organisational Commitment:

In the countries like U.S.A., Japan, Germany, etc., that are industrially advanced, there is humanisation of the work environment. With globalisation of economy, the Indian industries got a taste of international competition. Workers can improve upon the quality and efficiency of work only if they develop a commitment towards the organisation. This is possible only with the help of applying HRM approach.

3. Coping with Changing Environment:

There is a rapid change in the business environment. The process of production has been transformed because of technological advancement. Office operations have been automated and important business areas have been transformed by effective communication.

In such a situation, it is crucial to cope-up with the changing environment. The revolutionary change in technology requires workers to be equipped with high operational efficiency which makes it necessary for manpower to change its approach towards work.

4. Changing in Political Philosophy:

Considerable change has also been witnessed in political philosophy across the world. In the new approach, human resource is developed properly to be used in a better manner. The Government of India has a separate ministry named Human Resource Development Ministry which has been put under senior management. This proves that human resource is given much importance in India. This has also paved way for a new approach to HRD in industries as well.

5. Increasing Pressure on Employees:

Due to innovations in technology, it has become possible to use sophisticated machines whose installation, monitoring, maintenance and control requires a large force of skilled and trained employees.

Mechanics, technicians, and service people must also be there. With the increase in automation and technological development, an increase in dependence on humans is also witnessed. Hence, there is an increased need of human resource approach for workers. In the same way, when capital intensive techniques are employed, employees become more productive which necessitates increased motivation and more focus on human resource approach for the management.

6. Meeting Requirements for Research and Development:

New schemes and increased emphasis on R&D in industrial sphere has also resulted in new HRD policy to handle increased demand for people who are technically capable.

This resulted into increased need for human resource approach.

1.1.5 Objectives of HRM

Objectives of HRM are as follows:

1.To Assist in Securing the Goals set by the Organisation:

The main aim of HRM is to assist the employees in achieving the desired organisational goals. If it fails to do so, its existence will come to an end.

2.To Help the Employees in Securing the Personal Goals for Individual Growth:

HRM not only focuses on the organisational goals but it equally tries to explore and develop the capabilities of the employees by training and development so that employees can achieve their personal as well as organisational goals. This not only enhances the efficiency of the employees but also increases the loyalty of the employees towards the organisation.

3.To Make Maximum Utilisation of Employee's Potential:

The essence of the HRM lies in its basic function of effectively matching the skills of the employees with the work assignments in the organisation. This helps to fully explore the capabilities of the employees for the benefit of the organisation and its stakeholders.

4.To Procure Efficient Employees within the Organisation:

HRM focuses on maintaining the effective reward system to motivate the employees to improve the efficiency of the employee.

5.To Enhance Job Satisfaction:

Various programmes of human resources welfare have been framed and implemented by the HRM in order to enhance the quality of life. This helps in increasing the job satisfaction of the employees.

6.To Improve Quality of Work Life:

It is the duty of HRM to make organisation a pleasant place for employees. This is important as organisational performance cannot be enhanced without improving the quality of work life.

7.To Update the Employees regarding Managerial Policies:

One of the most important duties of HRM is to update the employees with the internal policies, feedback of customers, opinions of the management and also to generate creative ideas from the workforce.

8.To Fulfil Social Responsibility:

The HRM function also ensures fulfilment of the social responsibility of the organisation towards the different groups of the society, while adhering to the moral and legal norms.

9.To Maintain Discipline among Employees:

HRM also focuses on the maintenance of discipline among the employees in the organisation by giving them incentives based on their performance. It tries to create employee-friendly atmosphere in which the focus is on healthy working style.

10. To Increase Organisational Productivity:

HRM tries to enhance the overall productivity of the organisation by effective utilisation of available resources.

1.1.6 Importance/ Signi

Importance of HRM at the various levels is given below:

1. Corporate Level:

Enterprise requires their work to be done effectively and efficiently hence it requires an effective HRM. HRM helps enterprise in the following manner:

- i) HRM focuses on hiring skilled persons who are able to promote the growth of enterprise and also retain them for long-term through manpower planning, effective recruitment procedure, selection and fair policies of promotion.
- ii) Enriching employees by developing and improving important skills and correcting their attitude by proper training and development, performance appraisals, etc.
- iii) Making optimum use of existing human resources.
- iv) Guaranteeing a talented team of loyal and devoted employees for the organisation in future.
- v) Gaining the voluntary co-operation from the employees by motivation, participation, grievance handling, etc.

2. Professional Level:

HRM ensures good quality of work life. It helps in professional growth by the following ways:

- i) Building *esprit de corps* in employees by giving them congenial working atmosphere.
- ii) Creating opportunities for employees so that they can develop their calibre.
- iii) Ensuring that healthy relationships are maintained among team members and work is assigned properly to both employees and teams.

3. Social Level:

HRM plays an important role in the society by the following ways:

- i) Enabling employees to live with dignity by providing them employment which gives them mental and social satisfaction.
- ii) Maintaining equilibrium between job openings and applicants in terms of numbers, qualifications, needs and aptitudes.
- iii) Utilising human resources effectively by conserving their physical and mental health.

4. National Level:

HRM plays a very significant role in the development of a country in the following ways:

- i) Competent and dedicated human resource results in efficient use of physical, natural, and economic resources of the country.
- ii) A nation's development depends on the skills, attitudes and values of its manpower. Less skilled and less competent people signify an under-developed country. HRM ensures that human resources of the country are skilled and developed.
- iii) HRM improves economic growth of the country. This finally leads to increased living standard and employment.

1.1.7 Evolution of HRM:

Human resource management has emerged as a wide field in today's scenario. It began in India in 1800 B.C. Evolution of HRM can be described in following phases:

1. Industrial Revolution:

During this phase, mechanisation and technological advancement took place at a rapid speed. At that time, jobs were divided and workers had to do only a small part of their job rather than the entire portion. Thus, specialisation increased workers' speed and efficiency but at the same time jobs became more tedious. The treatment which was given to the workers was similar to 'glorified machine tools'. Employers' concern was only to fulfil the targets of production not with fulfilling the demands of the workers. Government was not at all active to work for the welfare of the workers.

2. **Scientific Management:**

F.W. Taylor advocated the concept of scientific management in order to increase the efficiency of the workers. Scientific management is a methodical analysis which involved breaking of task into many small parts and re-organise them to get a perfect combination.

Taylor also stated that people's physical and mental ability must match with the tasks which are to be performed in the job. Therefore, highly proficient people must be recruited and supervisors should provide training to the low performing employees in order to make them highly skilled. Taylor further emphasised on using incentives to motivate employees.

3. **Trade Unionism:**

Trade Union is a group or an organisation of workers formed to achieve common goals. Workers became aware of their rights and they collectively started protesting against the exploitation by employers. They also started protesting against unfair labour practices by taking the help of trade unions. Collective bargaining, dealing with the worker's grievances regarding the conditions of working, wages and perks, and disciplinary procedures are the ways through which trade unions generally help the workers.

4. **Human Relations Movement:**

During 1930s and 1940s, Elton Mayo along with his colleagues from Harvard conducted Hawthorne experiment. The experiment showed that job design and rewarding were not the only factors which affected productivity of employees, but there are some societal and psychological factors too which can also influence employees' productivity. The wide implementation of behavioural science techniques was due to the human relations movement. It involves using supervisory training techniques, providing assistance to workers, counselling programmes and strategies to make the relations stronger between management and labour.

These programmes helped the workers to share their work-related problems as well as problems related to their personal life with the counselling professionals. Human relations

movement was also affected by the increasing power of trade unions in the period of late 1930s and 1940s. The emergence of unions in this time period was because of the Wagner Act. The Act gave workers the legal right of collective bargaining with employers on matters like salary, job stability, benefits and other working conditions.

5. Human Resource Approach:

In early 60s, the 'pet milk theory' of human relations has been discarded largely.

According to 'pet milk theory', "happy workers are productive workers" or "happy cows give more milk". Every worker is different from the other worker and has different personal needs, the factors which motivate one individual may not stimulate the other. Happiness and good feeling may influence efficiency of some employees to a very small extent.

"The Human Resource Approach believes that the main source of satisfaction and motivation of employees is their job or the task. This approach focuses on involvement of individuals in the organisational decision-making". the focus of this approach is on the following things:

- i) Individuals like their work if they are involved in the establishment of objectives which they have to attain.
- ii) Many individuals show more self-direction, self-control and creativity than needed in their present jobs (Theory Y).
- iii) The primary job of the manager is to exploit the full human potential to serve the organisation.
- iv) Healthy, safe, comfortable and convenient workplace environment should be provided by the managers so that employees can fully utilise their abilities.

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- v) The manager must encourage employees to self-direct themselves and contribute in all the significant matters of the organisation.

1.1.8 Functions of HRM:

Major HRM functions can be classified into following two categories:



1.1.8.1. Managerial Functions:

Manager's first and foremost job is to manage people. All the managers regardless of their departments carry-out managerial functions. Managerial functions of human resource management are as follows:

1.Planning:

It is concerned with pre-planning of activities to be done in future. It is the process of taking any action after thinking about it. Planning is related to strategy formulation of personnel programmes and changes in advance that will help in the achievement of organisational goals. HRP (Human Resource Planning), hiring, selection, T&D (Training and Development) are some of the HR functions which require planning.

2. Organising:

It is the procedure of aligning people and other resources so that they can work together in order to achieve a goal. For this, firms generally need to establish relationships among the employees so that they can mutually contribute to fulfil the organisational goals.

3. Directing:

Directing is concerned with telling employees to perform a specific task and make sure that the work done is as per the given directions. The voluntary and effective co-operation of employees for the fulfilment of organisational goals is possible through right direction. It is the responsibility of the human resource management

to motivate, develop communication network, integrate people, maintain discipline and resolve employee grievances in a quick and proper way.

4. Coordinating:

Coordination among the people is essential at all levels of management. Achievement of organisational objectives is possible only through the coordination among the groups and their activities. Developing, interpreting, and reviewing policies and programmes of the employees are responsibility of human resource department. The last decisions may be taken by the managers but personnel department can give suggestions for improvements.

5. Controlling:

Controlling is the process of examining and verifying if everything is as per the set plans and standards. Some of the areas through which human resource management functions can be controlled and made effective are auditing of training programmes, analysis of labour turnover records, directing morale surveys and conducting separate interviews.

1.1.8.2 Operational Functions

Operational functions are the special activities which human resource people have to perform for each and every department of the organisation. These are the regular functions of the human resource department. It focuses on all activities of the organisational workforce from their HR planning till their exit. These functions are as follows:

1. **Employment:** It deals with acquiring and hiring the potential candidates for the attainment of objectives of the organisation. Job analysis, manpower planning, recruitment, selection, induction, and placement, etc. are the activities which are included in the employment function.
2. **Human Resource Development:** HRD is the procedure of building and transforming knowledge, skills, creativity, attitude, etc. according to the existing and upcoming requirements of the job and organisation. It consists of performance evaluation, training and development, career planning and development, etc.
3. **Compensation:** Compensation is about motivating employees by providing them reasonable and satisfactory remuneration so that they can work more effectively. Employee benefits, bonus, incentives, and social security benefits are the components of compensation package. Job evaluation and wage and salary administration are the processes of compensation management.
4. **Human Relations:** It is the procedure of integrating people through interaction at the workplace. It helps people to work collectively in a team to gain high productivity and satisfaction in terms of money, mind, and society. It involves dealing with employee grievances timely by a well-developed grievance handling procedure, disciplinary action, and employee counselling to give them relief from stress, frustration, etc.

1.1.9. Principles of HRM:

Different principles of HRM are as follows:

1. **Principle of Individual Development:** In order to analyse abilities, each and every worker should be given complete and same chances of progression. In an

organisation, every worker must be guided by the managers in such a manner that he acquires ultimate job contentment and his capabilities are efficiently utilised.

2. **Principle of Scientific Selection Procedure:** Selection should be based on organised and scientific methods. Scientific selection requires efficient utilisation and attentive choice of personnel methods. There should be scientific compatibility of workers with the job. This is important to support line management in searching the suitable candidate for a job. However, ultimate decision is taken by the line managers but scientific procedures help in making correct decision and also guides accurate placement of a candidate.
3. **Principle of Incentive:** Commendable performance should be identified and appreciated. Principle of incentive should be applied if organisation wants an employee to give his best performance. Financial and non-financial incentives should be used to bring out the best from workers so that they contribute towards accomplishment of organisational goals.
4. **Principle of Adequate Communication:** Various issues and confusions arise due to the lack of interaction among people. Gossips develop because of privacy and extreme privacy leads to harmful gossip. The workers need to be informed about all important notifications of the organisation. The workers should be aware about the organisational methods, schedules, goals and outlook. There should be a dedicated planning and promotion of all the mediums and layouts of communication. Communication barriers must be eliminated and effective styles of communication must be followed.
5. **Principle of Participation:** In a system, where the employer-employee relationship involves faith, assurance and co-operation, the doctrine of consultative-participative managerial philosophy comes into action. Representatives of workers play an important role in increasing worker's participation. In order to bring reforms in the different processes of the organisation, the workers are offered a chance to come up with new schemes, visions and proposals. Workers should understand that they are an important part of the organisation and their commitment towards the organisation is of prime importance. Human resource programmes must be developed to motivate workers to make effective use

of their skills and abilities in achieving organisational objectives. Thus, workers consider themselves as a part of organisation and thereby contribute towards its success.

6. **Principle of Fair Compensation:** The organisation should have a proper and reasonable payment system. The worker should be provided a fair day's wage for a fair day's work. Managers must accurately calculate the actual fair day's wage for a fair day's work for the workers. Cordial working conditions, healthy surroundings, effective techniques and instruments should be given to the workers alongwith the salary and allowances. Hygiene and health provisions must also be offered to employees. It is baseless to hope that the worker will contribute his best for the organisation without equitable and justified salaries, working hours and the favourable employment surroundings.

7. **Principle of Dignity of Labour:** This principle states that productive labour is beneficial for the organisation. It advocates that jobs should be performed in the best possible manner. No one should be considered as poor or incapable for performing any job in the society. Business-like surroundings need to be encouraged in order to execute the job efficiently and obtain the benefits. Every job is valuable and worthy which is concerned with physical prosperity and is productive in nature.

8. **Principle of Team Spirit:** It is necessary to build up feeling of loyalty among employees and boost their morale. An organisation cannot be successful without team spirit. Human resource policies must be devised in such a way that people work together as a team to achieve the specified goals. In spite of being efficient and dedicated towards their work, workers possibly will waste their energy if team spirit is lacking.

1.1.10. Human Resource Management and Personnel Management

Personnel management can be defined as a set of programmes and actions which are aimed at achievement of organisational as well as personal goals. It deals with the people and their interpersonal relationships in the organisation.

According to E.F.L. Breach, “Personnel management is that part of management process which is primarily concerned with the human constituents of an organisation”.

According to Richard Calhoon, “Personnel management involves the task of handling the human problems of an organisation and is devoted to acquiring, developing, utilising and maintaining an efficient work-force”.

BASIC	HRM	Personnel Management
1. Scope	It is broader in scope and also incorporates the tasks of personnel management.	It has a limited scope and is considered to be a part of HRM.
2. Nature of Duties	More strategic in nature and is responsible for managing workforce as one of the primary resources that contributes to the success of an organisation.	Personnel management includes administrative tasks that are both traditional and routine, dealing with payroll, complying with employment laws, and handling related tasks.
3. Organisation Function	It is taken as an integral part of the overall company function.	It is an independent function of an organisation.
4. Rules	Adopts a can-do attitude and is not controlled by rules and procedures.	A lot of importance being given to devising rules and procedures.

5. Job Design	While designing jobs, emphasis is laid on team work and cooperation among the employees.	Job designing emphasises on the division of labour which leads to specialisation of tasks which each worker needs to do.
6. Decision making	Quick decisions are taken under HRM.	While decision making is slow under personnel management.
7. Managerial Task vis a vis Labour	It has a nurturing approach towards labour.	It aims to monitor the day to day activities of labour.

1.1.11. Framework/Models of HRM:

Different groups of scholars have developed several models of HRM periodically. The HR professionals have been assisted in efficient management of human resources by these models. Five main HR models are described below:

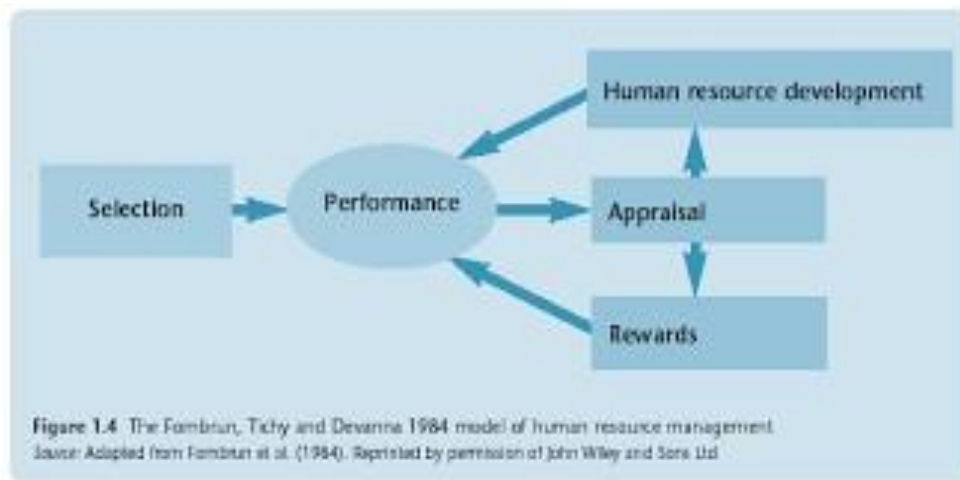
- **Fombrun, Tichy & Devanna Model**
- **Harvard Model**
- **Guest Model**
- **Warwick Model**
- **Storey Model**

○ Fombrun, Tichy & Devanna Model:

Fombrun et al. developed first HRM model in the year 1984 which focuses on the interrelationship and continuity of HRM activities. As depicted in figure 1.1, selection, human resource development, appraisal, and rewards are the four human resource activities.

Enhancement in the performance of an organisation is the objective of these HR activities. Its clear authoritative nature, with emphasis on four HR practices is the shortcoming of this model.

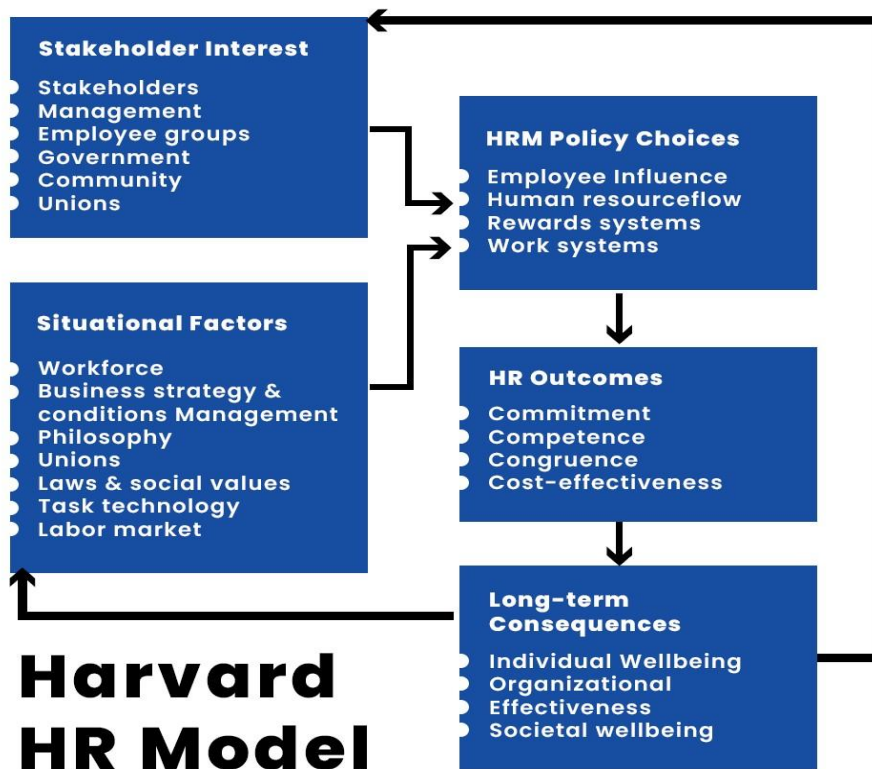
Conditional factors, the concept of strategic choice of management, and interest of different shareholders are also overlooked by this model.



The advantage of this model is that continuity of internal HR policies and the significance of co-ordinating internal HR practices and policies with the external business strategy of an organisation are conveyed by it. The concept of 'HRM cycle' is a simple model as well. It renders help as an experimental framework for describing the nature and importance of main HR practices and the interactions amongst the elements that constitute the intricate HRM fields.

1.1.11.2. Harvard Model

Professor Michael Beer developed this model at Harvard University. This model opens up opportunities for practical evaluation of the manner in which business strategy will be influenced by management function of individual. As depicted in figure 1.2, there are six elementary elements in the analytical set-up of 'Harvard model'.



1. Stakeholder Interests:

The interests of stakeholders identify the significance of ‘trade-offs’, among the owner’s interests and of employees and their unions. Though this model is still exposed to ‘unitarism’, it is comparatively pluralist viewpoint in contrast to other models.

2. Situational Factors:

The choice of management regarding HR strategy is affected by these factors. Management philosophy, societal values, labour force characteristics, labour market regulations, and patterns of unionisation are integrated by this normative model. “cultural logics” and “product market” is also proposed by it. Logically, it would be more satisfying for both HRM researchers and practitioners when the model will contain contextual variables, as it complies with the fact with which they are familiar: “the relationship of employment involves a blend of the expectations of society and business”.

3. Policy Choices:

The choice of HRM policy focuses that full worth of decisions of management and activities of HR management can be recognised only when it is realised that they emerged as a consequence of interaction amongst choices and limitations. Management is represented as an actual actor by this model which is able to make some amount of distinctive contribution inside the organisational and environmental boundaries, and impact those boundaries itself over a period of time.

4. HR Outcomes:

It refers to high dedication of workers towards the objectives of organisation, and high performance of individuals which results in economical goods and services. The basic thought behind this is that talents and capabilities of the workers are seldom utilised to the fullest extent and that a wish to grow through work is expressed by them. Therefore, HRM model assumes that management of employment relations should be done based on the presumptions intrinsic in McGregor's approach to issues which are associated with individuals; he named this approach as "Theory Y".

5. Long-Term Results:

They can be categorised under three different levels:

i) Individual:

At individual level of the worker, the long-term results consist of psychological rewards that are received by employees in return for their attempts.

ii) Organisational:

Organisational survival is guaranteed due to increase in productivity at the level of an organisation.

iii) Societal:

At the societal level, a few objectives of society are accomplished due to optimum utilisation of individuals at work. Examples of social objectives may include growth, employment, etc. The categorisation of outputs and inputs at both level, i.e., societal level and organisational level is the strong point of the Harvard Model which forms the base for the assessment of comparative HRM. The weak point of the model is that it lacks a logical conceptual basis for evaluating the relation amongst HR inputs, outputs, and performance.

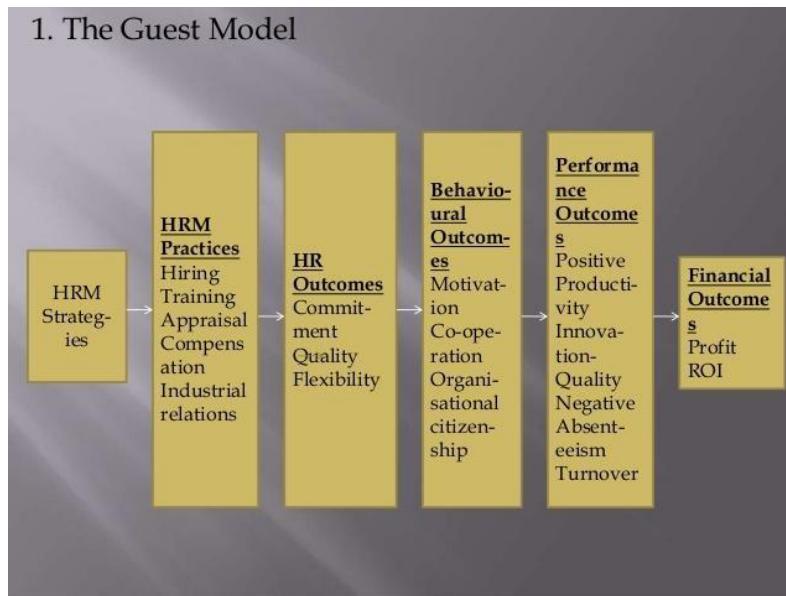
6. Feedback Loop:

It is the sixth element of Harvard Model. HRM choices and policies are affected by situational factors. However, situational factors, HR policies, and interests of stakeholders can be affected by the long-term results. This mutual relationship is demonstrated by the feedback loop in figure 1.4.

A beneficial analytical foundation to study HRM is offered by the Harvard model. Both the components, i.e., prescriptive (concept of competence, commitment, etc.) and analytical (stakeholders, strategic levels of choice, situational factors) are included in it.

1.1.11.3 Guest Model

A more prescriptive conceptual frame has been developed by David Guest, demonstrating the opinion that high-quality organisational and individual performance can be attained through a basic set of unified HRM practices. The fundamental idea of this model is that enhanced individual performance can take place, if unified set of HR practices is implemented in a logical manner. Eventually, enhanced organisational performance is also an assumption of this model.



A close association among general business strategies and HR strategies is recognised by this model:

1. Differentiation,
2. Focus, and
3. Cost.

However, the 'central' hypothesis refers that HR practices should be framed in a manner, so that it results in a 'superior quality', 'flexibility', and 'high commitment of employees'.

Similar to Beer et al., Guest regards high commitment of employees as a crucial result of HR, which is focussed on the objective of uniting up the workers with the organisation and attaining outcomes of behaviour, i.e., organisational citizenship, co-operation, and increased effort.

Every aspect of behaviour of employees which is explicitly reflected on the quality of products and services is termed as quality. Flexibility is focussed on the receptivity of employees towards change and innovation. The emphasis on the relationship among the performance and HR practices is laid by the right-hand side of the model. There can be an anticipation of enhanced performance only when all the three outcomes of HR, i.e., quality, flexibility, and commitment are accomplished.

Issues of Guest Model

There are number of theoretical issues linked with Guest's HRM model. These are as follows:

1) Individualist-Oriented Values:

The primary issue is that the values which support the model are largely individualist-oriented. There is an absence of comprehensive concept of pluralism in the society due to which individualistic orientation emerges.

2) Status of a Few Concepts:

The second theoretical issue takes into consideration the status of a few concepts. For example, a significant concept of commitment is advised to be 'somewhat disorganised and vague'.

3) Clear Relationship amongst Performance and HRM:

A clear relationship among performance and HRM is the third issue. It gives rise to the difficulty of decision regarding the use of type of performance indicators for establishing these relationships.

Guest's model was first proposed by Max Weber, a German sociologist. This model may be an absolute polar 'ideal type' in the direction of which the organisations can move, thereby offering impractical conditions for the HRM practice. An error may also be made by it while condemning managers for non-compliance to the image created by scholars. Moreover, HRM model is represented by it as not in line with the collective approaches for the management of employment relationship.

The strong point of this model is that it distinctly plans and designs the HRM field, and categorises the inputs and results. This model is beneficial for analysing the main objectives generative linked with normative HRM models:

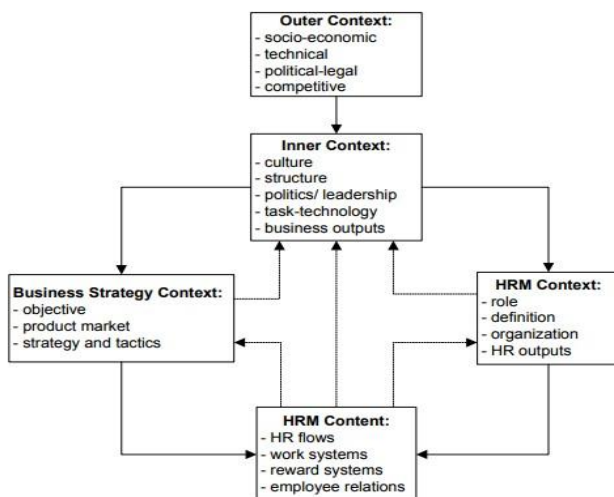
1. Commitment,

-
2. Strategic integration,
 3. Quality, and
 4. Flexibility.

A set of theoretical suggestion was created by Guest which offers a foundation for a crucial conversation on the definite nature and contradictions between ‘soft’ and ‘hard’ versions of HRM.

1.1.11.4 Warwick Model

This model originates from the Centre for Corporate Strategy and Change at the University of Warwick (U.K.) and with two researchers, Hendry and Pettigrew. This model expands the Harvard framework by making use of its analytical characteristics. This model takes into account HR practices and business strategy, the internal and external environment where these activities occur, the procedure by which these changes occur, and the interactions among alterations in both content and context. The recognition and categorisation of significant influences of environment on HRM is the positive aspect of this model. It plans the links amongst the inner (organisational) contexts and outer (extensive) context, and discovers the manner in which changes are adapted by HRM in the environment (context).



The conclusion that can be drawn from this is that a high-level performance will be experienced by those organisations, which attain congruence between the internal and external contexts. The non-development of procedure through which internal HR practices are connected to the business performance or productivity is the flaw in this model.

1.1.1.5. Storey Model

This model tries to exhibit the distinctions among what John Storey calls ‘personnel and industrials’, and the HRM model by making an ‘ideal type’. A model was developed by him with the reconstruction of the implicit models suggested by a few managers in the course of research interviews. The use of ‘ideal type’ is a prevalent experimental instrument in social sciences. It is a ‘mental concept’, and cannot be found empirically anywhere in its conceptual purity. The objective of this is to simplify complex situations by emphasising on important characteristics in an exorbitant manner. This model describes HRM as an amalgam of description, prescription, and logical deduction. Table 1.2 shows four main components of Storey’s framework.

Difference B/W Personnel and Industrial Relations (IR) and Human Resource Management

Dimensions	Personnel and IR	HRM
1) Beliefs and Assumptions		
contract	Cautious description of written contracts	Intends to go ‘beyond contract’
Rules	Significance of formulating clear rules/mutuality	‘Can do’ approach; impatience with ‘rules’
Managerial Job vis-à-vis Worker	Monitoring	Nurturing
Nature of Relations	Pluralist	Unitarist

Conflict	Institutionalised	De-emphasised
2) Strategic Aspects		
Key Relations	Labour -management	Business-consumer
Initiatives	Piecemeal	Integrated
Speed of Decision	Slow	Fast
3) Line management		
Management Role	Transactional	Transformational leadership
Key Managers	Personnel/IR specialists	General/business/line managers
4) Key Levers		
selection	Marginal task	Key task
Job design	Division of Labour	Teamwork
Communication	Indirect	Direct

According to the categorisation shown in table, HRM tries to raise trust and commitment of employee and intends to go ‘beyond the contract’.

The strategic feature of this model exhibits HRM as a core to corporate planning. HRM professionals are provided a role of ‘transformational leadership’ in the organisation by line management (the third element of the model).

Line managers have appeared as the main performers in nearly all the cases as suggested by Storey after studying the research evidence from 15 core firms of U.K. The lower part of Storey’s model depicts the key levers which are the methods and problems intensely presented in researcher-manager interviews on HRM, either directly or indirectly.

A significant amount of inconsistency is discovered by Storey in the adoption of these key levers such as co-ordination of situations, investment to create work-associated learning company, and performance-linked pay.

In order to formulate a checklist of 25 crucial variables of HRM to estimate the magnitude of movement among approaches in 'core' companies, the implicit models of the managers were utilised.

1.1.12. HRM in India

In order to attract, develop, reward, motivate, and retain employees, HRM uses numerous practices. Though these practices are usually not considered to be economically beneficial for the firm, yet they have proved to be valuable. Various HRM practices are investments that directly affect employee morale and his capability to deliver product and service that are valuable for the customers. There are various factors due to which HRM practices that are important for one organisation might not be of the same value for another organisation as well. HRM practices popular in Indian organisations are as follows:

1. Recruitment, Training and Development:

These programmes are clearly defined, formal in nature and usually linked to the performance system of the MNC. Indian MNCs most of the time use training programmes that are based on the global training structure of the MNCs. *For example*, Max New York Life Insurance, Honda, Motorola, GE, Siemens, Hyundai and Hughes Software Systems have set-up their management training centres in India. The training programmes conducted here are like those conducted in other countries in their partners or headquarters. Other than in-house training facilities, external training consultants are also hired.

2. Induction:

Induction of the new employees is regarded as an effective process that helps them socialise with others in the organisation. Companies conduct these orientations especially for the management

recruits. Hindustan Unilever of India, which is a subsidiary of Unilever, U.K., brought into effect a supplementary mechanism. Hindustan Unilever realised that it was operating in a country with a rural economy, and hence it engaged itself in a rural development project in Etah in Uttar Pradesh, India. The new management recruits were sent to Etah for two months as a part of their induction programme and were taught to draw milk from the cows, how to convert waste of animals into manure and gas, and assist in the work of rural development.

3. Retention Strategy:

In every company, there are some problematic employees. Such employees show disruptive behaviour which leads to disciplinary actions and punishments. This problem needs a solution. Taj Group of India discovered an innovative solution to this problem. It was a multistep process. Firstly, the degree of the problem was identified in every case. Secondly, leave policy and procedures were simplified. Then every offender was explained the outcome of his offence (which was usually unauthorised leave) for him and for the company. He was then counselled along with the union. The offender is motivated to open up and disclose the reason of his offence at the counselling session.

4. Human Resource Development (HRD):

Developing human resource through training is a common thing. But if the CEO of the company is the one providing that training, the programme becomes unique. The CEO of ailing Steel Authority of India Limited (SAIL), V. Krishnamurthy, himself trained nearly 500 senior level managers in two batches in a two-day workshop. 'Priorities for Turning Around the Company' was the subject. The managers who got this training went back to train their subordinates in a similar manner. India's another booming public sector Chemicals Company, Travancore Cochin Chemicals.

5. Leadership:

Leadership might be soft, tough, transactional or transformational, but is a very popular subject in the management literature. But an example of courage, fairness or human concern set by the

leader impacts more to the subordinates than leadership models, carrot and stick and pep talks. At Bharat Heavy Plate and Vessels, another PSU, an angry group of employees surrounded, frightened and imprisoned virtually, the new CEO of the company, Mr. Mansukhani. Even after this treatment and threat to his life, he consistently worked with the members of the union to devise a new wage policy.

6. Subordinate Development:

In organisations with a competitive environment, where every employee is talented, the bosses might be afraid of losing their jobs to subordinates, and thus might overlook subordinate's growth or might be too occupied with their routine tasks to worry about them. In the absence of a HRD system, such firms find their employees lacking in the required managerial competence. When Richardson and Cruddas, CEO, Indian Engineering and Equipment manufacturing firm took charge, he realised that the employees lacked managerial skills.

1.1.13. The Factors Influencing HRM

A very significant factor of HRM is the environment, both internal and external. Any kind of change occurring in internal and external environment has a significant impact on the organisations. In the 21st century, the business environment is dynamic and changes rapidly. Some of these factors are related to the external environment whereas the others are related to internal environment. These factors reveal how organisation adapts itself to changing environment.

1.1.13.1. External Environment

External environment has vast impact on the functions of HRM. The key factors influencing human resource management in the organisation are as follows:

1. Technological Factors:

Technological environment depicts a consolidated knowledge providing methods for doing things. It can include innovative and creative methods of working such as designing, manufacturing, and distribution of products and services. Alongwith impacting the internal operations of organisation, technology also influences the functioning of HR personnel as well. They are responsible for functioning of organisations and provide assistance through integrated communication centres. Technology is used to link computers, fax machines, printers, photocopy machines and other devices through which information can be shared speedily.

I. Recruitment and Selection:

The process of recruitment and selection is considered to be a lengthy process but its duration is reduced greatly due to the application of technology. Now, the whole process which starts from collection of applicant's details to final selection of the suitable candidates is completed in a very short span of time. This is because jobs can be posted on internet, candidates can apply online for a job, employers can view applicant's details promptly, interviews can be conducted on telephone and mobiles, and selection results can also be declared electronically.

II. Training and Development:

The ways of providing training and developing employees have changed drastically. Now with the help of technology, HR personnel are able to deliver training in a more effective and efficient manner. With the help of internet, information required by the employee can be easily provided to him, the use of various audio-visual aids has made it possible to make the training programmes more interesting. Today, a large number of employees can be trained virtually without physically transporting them to different destinations or specific training centres.

iii)Communication:

Communication within organisations has been transformed by technology in the present business environment. Technology has resulted in the open door policy which is essential to meet the day-to-day requirements of business environment. Open door policy refers to the freedom of communication in an organisation. According to this policy, no hierarchical pressure can stop any person from communicating with another person in the organisation. This has been facilitated by organisation's website and internet where HR personnel conveniently exchange information with the staff members.

iv)Monitoring

Employees'

Behaviour:

Behaviour of employees can be closely monitored with the help of technology. Physical monitoring is no more needed to keep a track of employees' behaviour whether they are situated locally or around the world.

v)Work-Life

Balance:

Technology has led to the emergence of virtual office which does not need any physical place called office. The employees are not required to be physically present at their workplace as they are well connected with the technology, thereby maintaining proper work-life balance as they can work from any place.

2. Economic Factors:

All economic forces that impact the HR functions constitute the economic factors. These factors are briefly described below:

i)Suppliers:

In the context of HRM, suppliers are those organisations that make human resource available to the organisation, e.g., educational institutions, labour exchanges, training institutions, placement consultancies, etc. The quality of human resource that an organisation has is dependent on its suppliers.

ii)Customers:

HR functions are also impacted by the customers of the organisation, who in the present scenario, are regarded as kings. They desire products of superior quality at affordable prices. Thus, every employee in the organisation is responsible for providing a high standard work quality. Product sales is impacted by the quality of product which is directly associated with the knowledge, skills, and competencies of the employees.

iii)Competitors:

HR roles and functions are heavily influenced by competition within the industry. If a talented individual receives job offer from several companies, the one with the most lucrative offer attracts the employee. The value of employment and remuneration practices increase with the increase in competition.

iv)Globalisation:

As a result of globalisation, the HR managers have gained challenging responsibilities and are required to develop competitive edge for themselves and the organisation. Large global firms need to regularly re-structure their operations and deploy their energy to important areas. In order to survive, firms are becoming more and more flexible. So, hiring inflexible people is considered as a wrong decision. It is the duty of the HR manager to create a work environment that is suitable for changes can be implemented.

3. Cultural Factors:

Culture includes beliefs, morals, knowledge, art, laws, customs and practices gained by a person as a member of society. Culture affects HR functions in the following manner:

- i)** The types of people who represent the members of the organisation are created by the culture. Culture shapes the personality and the behaviour of the people in a certain way.
- ii)** Cultural background determines the attitude of employees towards their job. For example, it is believed that Indian workers have work-disinterest.

iii) Certain other functions like effort-reward expectations, work ethics and achievement needs, which establish individual behaviour, are reflection of his culture. Ethic refers to morals.

Organisations with strong work ethics witness employees who are more enthusiastic towards their work than the ones working in organisations with weak work ethics.

Achievement needs also affects behaviour. An individual having high need for achievement displays higher accountability, sets pragmatic targets, takes moderate risk and uses personal performance feedback while satisfying his need of achievement.

iv) As a consequence of culture, people limit themselves to a particular profession or area. For example, the workers working in the coffee estates in Mumbai find it difficult to work in Bangalore.

4. Social Factors: Organisations are a part of the society in which they operate. Society also influences human resource management. Before starting any new programme, organisations need to assess its impact on the society. Society comprises of the organisation's employees, their friends and family. In order to be in the good books of the people, the firm needs to achieve its goals while fulfilling the norms of the society.

Firms that fulfil the requirements of the society are called socially responsible firms. The HR managers must be conscious of their duties in managing the operations of the business in a socially acceptable and responsible way

5. Professionalism: In the present scenario, prospective employees and the existing employees possess the desired knowledge and skills required to work in an organisation. The organisations in which such employees work can have a competitive edge over its competitors. However, it may also face serious problems. Some of the problems are as follows:

i) Motivating such employees is a tough task. They cannot be motivated easily by traditional methods like increased pay, incentives, and promotions. Challenging tasks,

growth-oriented profile and achievement opportunities are the only factors that motivate them.

ii) Retention of such employees in an organisation is not an easy task. These employees lack stability and change their jobs frequently. They are not rooted to the values of the organisation. As a result of this behaviour, the company loses valuable resource. Several perks are given by the organisations in order to put off these practices.

iii) Techno-structure (a consolidation of technicians and scientists) is yet another problem for the organisation. This group impacts the management's decisions and in this way tries to control the organisation. Techno-structured people are skilled professionals who have an excellent know-how of their job but they are only action-oriented. They lack knowledge of social issues that can emerge because of business decision-making process.

6. Unions: Unions and management together decide on factors such as pay levels, benefits and conditions of working for employees of the organisation. Unions are made up of employees that have come together with a motive to deal with their employer. Unions are considered as an environmental factor for the reason that when they interact with the company, they act like a third party. In an organisation, the union leader negotiates with the management on behalf of the employees.

7. Political-Legal Factors: The political environment studies the role of the various political institutions on the HR department. There are three key institutions which are taken together to represent the entire political environment in a democratic political setup. They are as follows:

i) Legislature: The legislature is also known as Parliament. The numerous labour acts which are in effect are enacted by the legislature.

ii) Executive: The executive is also called the government, is a law-enforcing body. The decisions that are taken by the legislature are brought into action by the executive.

iii)Judiciary: The judiciary performs supervisory function. One of the main task of the judiciary is to oversee the work of the legislature and the executive. It must ensure that both these bodies perform their respective duties in accordance to the provisions mentioned in the Constitution and lead to welfare of the public.

1.1.13.2 Internal Environment

Apart from the external factors, there are certain internal factors which affect the HR activities. The internal factors are those factors that occur within the organisation. The key internal factors are as follows:

1. **Mission:** An organisation’s mission is the main purpose for which it is established. It is conveyed in form of benefits that the firm gives to its customers. The mission statement of an organisation gives a basic idea about the company to the public, the reasons it was formed and the distinct contributions guaranteed by it. For example, Mission of Philips is “Improving people’s lives through meaningful innovation”.
2. **Policies:** Policies are the guidelines on which the firm operates. Policies inform people about the actions that they can or cannot take. Policies show the route towards the achievement of the objectives which is the ultimate destination of the firm. The key policies which influence the HR functions are as follows:
 - i) To offer employees with safe conditions to work.
 - ii) To motivate employees so that they can achieve high performance standards.
 - iii) To ensure high performance level from employees by providing them excellent compensation.
 - iv) To provide employees with growth and development opportunities.
3. **Organisational Culture:** Organisational culture also influences the functioning of HRM. The beliefs, values, assumptions and regulations that are commonly shared by the employees of an organisation constitute its culture.

The organisational culture is defined by the following two elements:

-
- i) **Abstract Elements:** Abstract elements comprise of inner beliefs, attitudes, feelings, and values of the employees. They are internally-oriented.
 - ii) **Material Elements:** Material elements comprise of office premises, dress code, products, etc. They are externally-oriented.

Each organisation is a social entity and has its own unique culture with some distinctive behavioural approaches. These approaches differentiate one organisation from another. The organisation culture is a very significant factor which impacts the organisation practices and processes including human resource practices.

4. **Organisational Structure:** Organisation structure is a hierarchical arrangement of authority, communication, rights and duties of an organisation among individuals and departments. It assigns the type and ways of formal reporting relationships and the group's formation of individuals in the organisation.

The structure of a firm helps to determine the flexibility and incorporation of the various HR practices. Due to the differences in the various organisation structures, HR practices may be planned and executed differently.

5. **HR System:** As a system, HRM indicates interrelated but separate elements (known as sub-systems) operating together to meet the organisational goals. Production, marketing, information technology and purchase are the different sub-systems which are linked to the HRM system.

These sub-systems communicate with the HRM and with each other in order to achieve the organisational goals. The efficiency of HR system is dependent on the integration of HRM with other systems. Better the integration of the other systems of the organisation with the human resource system greater will be the efficiency of the HRM practices.

1.1.14. The HR Competencies

In order to meet the demand of new business environment, it is very important for the HR managers that they exhibit new competencies. HR managers who were successful in previous years may not be successful in the present business scenario. The different values, abilities, and knowledge which are possessed by HR managers can be seen as their competencies. The performance of HR managers with right set of competencies will be very effective. They will prove more successful in engaging the employees, creating intangible shareholder wealth, and serving the customers better.

The different types of competencies which must be possessed by HR manager are stated below:

1. Reliable Activist: A personal trust is created by HR managers with the help of their business intelligence, and hence they can be treated as “reliable activist”. This reliability of HR manager can be created when the actions are performed as per the promises, a trust is created in the personal relationships, and he can be depended upon. A positive personal relationship can be established due to this by HR professionals. It specifies communication of clear, honest, and consistent messages with honesty. As an activist, the HR professionals also become aware of the ways of influencing others in a positive manner with the help of clear, effective, and uniform communication.

2. Culture and Change Agent: Being a change agent, HR managers not only respect the old culture but also help in forming the new culture. They direct the managers by signifying the impact of their efforts in reflecting and driving culture. They can incorporate the cultural standards into different HR practices and processes. Furthermore, there are mainly two methods by which change can be implemented by the HR professionals:

- i) They facilitate culture execution.
- ii) Different changes can be initiated in the entire organisation by development of disciplines.

It can involve the execution of different projects, initiatives, and strategies. They will assist in converting the knowledge into practice.

3. Organisational Designer/Talent Manager: In the fields of organisation design and talent management, HR manager has expertise in theory, research, and practice.

Competency needs and the growth of an individual in, across, or outside the organisation is the main focus of talent management. The method of an organisation to infuse a perfect fit between the structure, policies, and procedures which determine the operations of a firm are mainly dealt with by the organisational design.

4. Strategy Designer: The vision of how to be successful in a market presently or in the long run is possessed by the HR manager. In order to execute and implement this vision, HR manager plays an active role in the formation of overall strategy. Thus, he should be able to identify the different hurdles in the path of success, different business trends and their effect on the firm, and various processes so that strategic clarity can be achieved. By combining the internal organisation with the expectations of external consumers, HR manager can effectively contribute to the development of comprehensive strategy.

5. Operational Executor: The operational activities related to the management of individuals and organisations are performed by HR manager. Different policies are required to be formulated, adapted, and executed. There may be various administrative requirements of the employees, i.e., to be relocated, paid, employed, and trained. Thus, it is the responsibility of HR manager to ensure the proper management of all these requirements with the help of shared services, technology, and outsourcing.

6. Business Supporter: Any business can be successful only when different goals and objectives are established that complement the future threats and opportunities. By having good information about the social context or the environment in which the firm functions, HR manager can play a vital role in the success of the organisation. The value chain of the business by which firm makes money is also understood by HR managers quite well along with the fact that who their customers are and the reasons of purchase of firm's goods and services by them.

7. Technology Advocate: In order to deliver the various HR administrative systems such as payroll processing, benefits, healthcare costs, and other administrative services, HR

professionals are required to have a good hand in technology. In order to facilitate the continuous interaction between the individuals, technology is required by HR professionals.

The role of technology is very important in improving the communication, connecting both internal and external customers, and managing various administrative tasks.

Being technology advocate, HR manager has the responsibility of advocating, accessing and evaluating, and aligning the technology for information, relationships, and efficiency improvement.

1.1.15. Human Resource Management and Firm Performance

There are various models which determine linkage of HRM and ‘firm performance’. The first conceptual models explicating the relationship between HRM and performance are probably the classic models of **Beer et al.** and of **Fombrun et al.** Beer et al. link HRM policy choices (with respect to employee influence, human resource flows, reward systems, etc.) first of all to HRM outcomes, which in turn have an effect upon long-term consequences. HRM outcomes are the ‘4Cs’ – commitment, competence, congruence, and cost effectiveness.

Since then a lot of empirical research has been carried-out. This has been summarised by **Paauwe and Richardson**, using the framework presented in figure 1.4. As per the model, HRM activities give rise to HRM outcomes, which influence the performance of the firm. Some HRM activities, however, influence the performance of the firm directly (see upper arrow). The dashed reverse arrow indicates the possibility of reverse causality, i.e., that firm performance itself will give rise to a change (very often perceived as an improvement) in HRM practices.

In this model the authors assume that business and strategic initiatives affect the design of HRM systems. The HRM systems in their conceptual model affect:

1. Employee skills,
2. Employee motivation, and
3. Job design and work structures.

These factors are presumed to have an impact on productivity, creativity, discretionary effort, and so on. In total, this conceptual model contains seven ‘boxes’ and, in effect, represents a chain of excellence. The final ‘box’, and thus the ultimate outcome of this chain, represents the market value of the firm. To date there is very little research that ‘peels back the onion’ and describes the processes through which HRM systems influence the principal intermediate variables that ultimately affect firm performance

In contrast to that of Becker et al., Guest’s model focuses on HRM practices (instead of HRM systems). In it the HRM outcome, ‘high commitment,’ represents the desire to belong to the organisation and the willingness to do things for the organisation; ‘high quality’ refers to the capabilities and to the knowledge and skills of staff, and ‘flexibility’ stands for the functional (rather than numerical) flexibility of the employees of the firm. Guest assumes that only when all three authors call ‘sub-boxes’. According to Wright and Gardner, such an approach creates complexity, and the phenomena in the ‘end’ will become unmanageable. Until now there has been no consensus in the field of HRM with respect to this problem.

The models of Becker et al. and Guest both reveal a number of ‘hidden’ assumptions, relevant for further research on the relationship between HRM and performance:

1. Vertical ‘fit’ is a necessary condition for success, represented by the link between strategy and design of HRM systems or HRM practices.
2. The relationship between HRM and performance is linear.
3. There is a sequential link between HRM (‘design of HRM system’ or ‘HRM practices’) and market value/financial performance. In other words, there is a chain of interrelated boxes.
4. Financial performance, represented by profits, growth, and market value, is the final outcome of the ‘transformation process’ and therefore is representative of organisational performance and subsequent success.

CHAPTER NO:02

HR PLANING, RECRUITMENT & SELECTION

Meaning and Definition of Human Resource Planning:

“Human Resource Planning” (HRP) can be defined as a process of balancing the people's supply, including the present and prospective employees with the potential job openings in the organisation in a given period of time. It is the system of the organisation to ensure the availability of right number of people, right kind of people, at right time and right place to attain the organisational objectives. HRP is also known as manpower planning, personnel planning or workforce planning.

*According to **James Walker**, “Human resource planning is the process of analysing an organisation’s human resource needs under changing conditions and developing activities necessary to satisfy those needs”.*

*According to **Bulla and Scott**, “Human resource planning is the process for ensuring that the human resource requirements of an organisation are identified and plans are made for satisfying those requirements”.*

Importance / Benefits of Human Resource Planning

Importance of human resource planning can be described in the following points:

1) Serves as Talent Pool:

All organisations need individuals with required set of skills, experience, and education. This requirement can be fulfilled by the appropriate human resource planning as defining the number and type of individuals is necessary to fulfil the needs of the organisation.

2) Allows Easy Expansion and Diversification:

Organisation's upcoming plans concerning diversification, modernisation, and growth can be successfully executed by human resource planning. It ensures proper and efficient completion of tasks by arranging the right quantity of people with the right skills at the right time to tackle challenging needs.

3) Helps in Budget Formulation:

It allows checking and assessing the cost of various processes and actions regarding human resources in the organisation. For example, salary or other benefits are counter-checked and planning is made for the budget preparation of various departments of the organisations.

4) Reduces Uncertainties and Change:

For the proper working of an organisation, both the components (human resource and non-human resource) should be effectively utilised. If it is not done, there would be anxiety in the organisation. If the organisation has sufficient non-human resources like money, machines and raw materials but lacks efficient human resources, then the manufacturing or production process cannot be initiated. Such uncertainties and changes can be reduced by proper human resource planning as it helps in proper selection and placement of efficient people at the required place and time

5) Controls Labour Imbalance:

HRP facilitates to maintain proper balance of human resources. Human resource should not be less than required nor should it be in excess. Too less human resource causes under-utilisation of other organisational resources. While excess of human resource causes under-utilisation of human resource. Human resource planning helps in controlling this imbalance before it can become uncontrollable and expensive.

6) Helps in Training and Development of Employees:

Due to consistent competition, there is a regular requirement to train and develop employees to make them capable enough for the organisation. HRP helps to identify the employees who need

to be trained. Therefore, it aids in fulfilling the organisation's future requirements regarding highly skilled staff.

Manpower Planning to HR Planning

There are two terms manpower planning and human resource planning in the management literature. In the current pursuit of human resource management, many organisations appear to be practising “**Human Resource Planning**” as opposed to “**Manpower Planning.**”

A shift from manpower planning to human resources planning is a shift of the concept of planning philosophy. In case of manpower planning, it is made based on the “**power**” or “**strengths**” of man processes. “Manpower” is the concern of manpower planning. Manpower planning takes care of the “**power**” of people to make positive contribution. **Factors Influencing HRP**

Various factors influence human resource planning. These factors can be classified as follows:

1) External Factors

External factors are those factors which externally influence the human resource planning. They include:

i)Legislative Provisions:

Various provisions relating to the labour laws, reservations in recruitment, and policies initiated by the government, etc. affect HRP.

ii)Level of Economic Development:

Level of human resource development in the country is determined by the level of economic development. This helps to determine the future supply of human resources.

iii)Business Environment:

The environment in which the business operates comprises of external and internal factors which influence the business. These kinds of environmental factors have an impact on the total volume of production mix and accordingly the supply of human resources in the future is also influenced.

iv)Technological Advancements:

Technology can be defined as the phenomenon of applying knowledge practically which may give rise to new inventions. The type of human resources required is also influenced by the level of technology.

v)Global Influences:

Factors which have worldwide impact on aspects like the supply and demand of manpower in various regions of the world also influence human resource planning.

Internal Factors

These are the factors which influence the human resource planning internally. These factors are summarised as follows:

i)Firm's Plans and Guidelines:

The company's strategy for the growth, expansion or diversification dictates the need for human resources in terms of quantity and quality within the organisation.

ii)Rules and Regulations for Human Resources:

The specified rules and regulations for the human resources within the organisation regarding the skills required, the amount of compensation, provisions for the workforce, etc., affect HRP.

iii)Job Analysis:

It is a comprehensive study of a particular job with reference to the skills required to accomplish a particular task. The comprehensive study of job helps to determine the type of skills required in the persons to be recruited within the firm.

iv)Perspective of Timeframe:

HRP of the organisation varies from company to company according to the environment in which it is operating. If the environment is relatively stable, the company can go for long-term planning but if the environment in which the company operates is highly dynamic, it is recommended for the company to opt for short-term planning.

v) Reliability and Credibility of Information:

The effective planning is based on the accurate data about related factors. In every organisation, HRP is based on the data relating to factors like capital budget, organisational structure, level of technology, functional area objectives, job analysis, sources of recruitment, retirement plans, etc.

vi) Policies regarding the Operational and Production System of Firm: HRP

of a firm is also based on the company's decision regarding the quantity of goods to be produced or to be purchased from the market. It decides the number of persons required for the production of the same within the system.

vii) Trade Unions:

Various measures taken by the trade unions to safeguard the employees' interest will have an impact on the HRP. The decisions regarding working hours, sources for recruitment, etc., have an impact on the HRP.

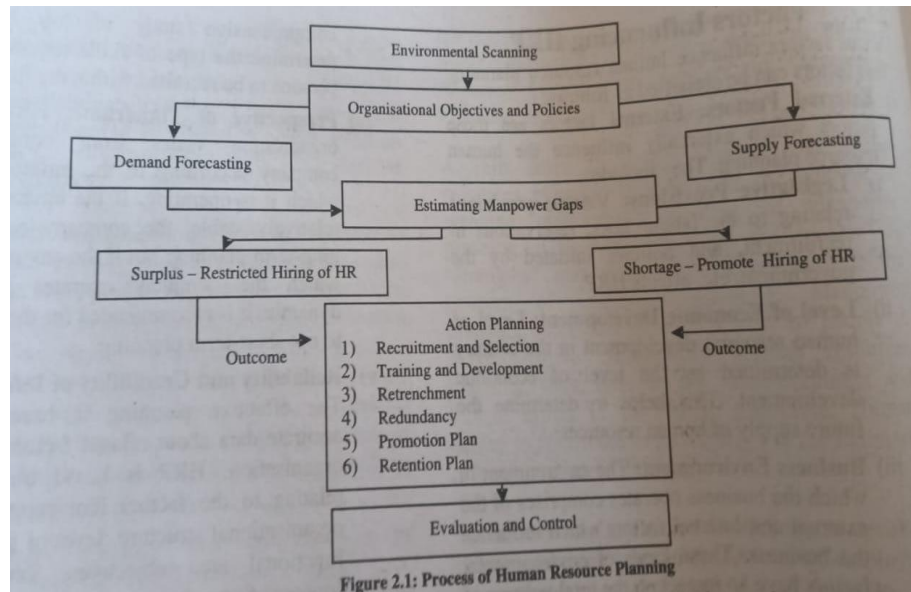
viii) Phases of Organisational Lifecycle:

Different phases of the organisational lifecycle will have due impact on the HRP of the firm. In growth stage of the firm, additional recruitment of employees will be required to cope up with growing demand whereas at the same time in declining stage, employees will be retrenched to cut the costs. In both the cases, human resource planning is very important.

HRP Process

HRP was traditionally restricted to respond to only business needs. However, with the growth in business, upgradation in technology and innovation in the management system, HRP has become proactive and important in the current scenario of business.

HRP is the method of forecasting human resource requirements and availability as well as bridging the gap between their supply and demand.



1. Environmental Scanning

Human resource planning process is based on analysing various aspects of the business environment in which it is operating. It provides a clear picture of the expected problems, threats and opportunities of the organisation and therefore is the basic step for HRP. HRP requires scanning of all the factors existing in the internal (technology, culture, strategy, etc.) as well as external environment (competitors, regulations, etc.) of the firm. The analysis of the internal factors helps in identifying the strengths and weaknesses of the firm and on the other hand external factors highlight the threats and opportunities for the firm.

2. Organisational Objectives and Policies

After analysis of the environment, plans and policies regarding different aspects (which may include marketing, production, finance, technology, diversification and expansion) are examined to forecast the labour movement in the near future. The time-bound schedule for human resource

planning is to be prepared accordingly. Exact manpower requirements can only be assessed after considering the changes in organisational structure and job design. A comprehensive study of the business plans of an organisation is essential as all human resource plans originate from business plans which are associated with the nature, level and organisational activities.

3. Forecasting Demand and Supply of Human Resource

The human resources required at different positions according to their job profile are to be estimated. The available internal and external sources to fulfil those requirements are also measured. There should be proper matching of job description and job specification of a particular work, and the profile of the person should be suitable for it.

4. Estimating Manpower Gaps

Gap analysis is a technique which is helpful in making a comparison between the estimated workforce supply and the estimated workforce demand. Various factors such as geographic location, demographic characteristics, size, and level of employee competency are considered for the same. The organisation makes action plans based on the outcomes of gap analysis.

5. Action Planning

The organisation is required to take an immediate step to cover-up the gap, if any, identified between the two estimates, i.e., HR demand and HR supply. In this particular phase, the immediate action is taken to maintain a balance between the exact requirement and valuable resources. When there is surplus labour, a number of large firms adopt downsizing, rightsizing, restructuring, re-engineering, and outsourcing to cut costs, increase efficiency, improve productivity and at the same time remain competitive. On the other hand, to deal with the scarcity of employees various measures must be taken by the organisation to ensure that ample resources are available to fulfil the needs of manpower in the future such as recruitment, selection, training, development, incentives, etc.

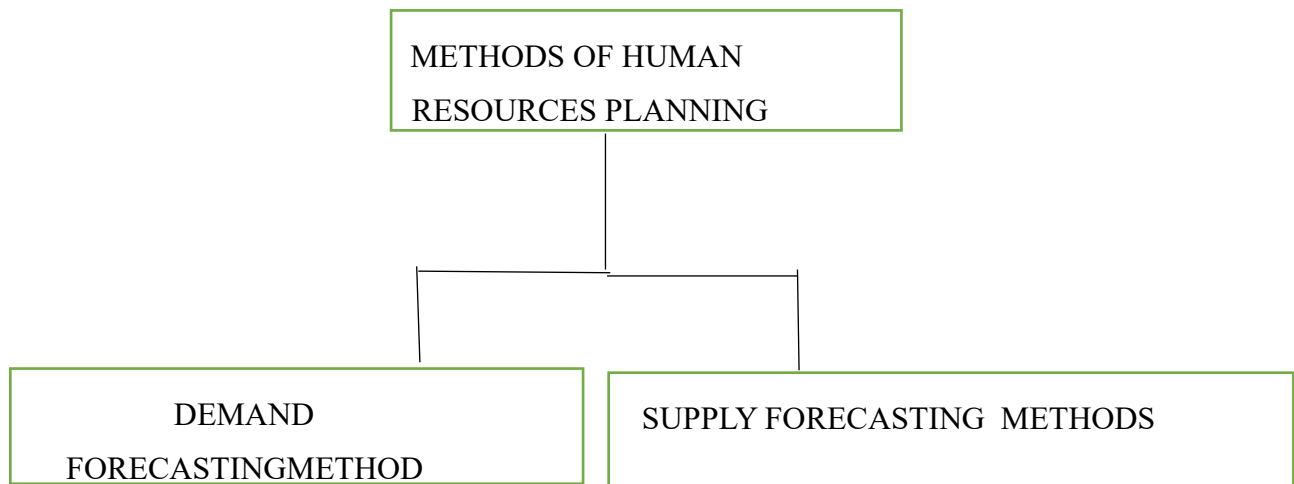
6. Evaluation and Control

The process of evaluating and controlling the performance of the employees is very vital within the organisation as it leads to the effective performance of the organisation. If the organisation does not continuously evaluate the workforce efforts, it may be unable to foresee the expected changes in the future. It must have a systematic and planned process for the continuous review of the same. It is important for the following reasons:

1. Take remedial actions for the deviations, if any.
2. Upgrade the manpower resources according to the changing requirements in environment.
3. Assess the achievement of HR objectives.
4. Review the progress of long-term plans.

Methods of Human Resource Planning:

Human resource planning uses various methods within recruiting, development and employee retention to achieve organisational goals. Methods of human resource planning can be divided into two categories:



Tools for Demand Forecasting Methods

HR demand forecasting is a procedure of defining the expected manpower requirements in terms of a specified quantity and quality within the organisation. It is required to meet the expected manpower needs of the organisation so that the desired level of performance can be achieved. Various demand forecasting techniques are as follows:

1. Managerial Judgement

In this technique, the managers of different departments sit together to assess the demand for labour in the future. It may follow the bottom-up or top-down approach. In the bottom-up approach, the departmental heads submit their requirements to the top management and estimates are prepared by them only. Whereas, in the top-down approach, top managers determine the manpower requirement. After that, forecasts are analysed with departmental heads for a joint approval. However, none of these approaches are perfect – only the combination of these two approaches produces effective results.

2. Ratio Analysis

It is the procedure of computing the ratio between a particular business factor and the number of required employees. For example, the requirement of faculty in an educational institute will depend upon the number of students.

Suppose, a university has 20,000 students and 1000 lecturers; the student-lecturer ratio is **20,000: 1000 or 20: 1**. This ratio shows that the university needs **1 lecturer for every 20 students**. If it is expected that **500 additional students** will be enrolled in the next year, then the university would require **25 additional lecturers (500/20)** assuming that all the 1000 current lecturers will not leave prior to next year.

It gives a clearer picture than trend analysis. In spite of being a good technique of forecasting demand, it has an element of avoiding some crucial elements such as upgraded technology and improved employee effectiveness.

3. Trend Analysis

The requirement of the manpower resources is based on the trends of the organisation in the past. The past relationship between a business factor and manpower requirement is analysed. The proper business factor that relates considerably to employment levels varies across industries. For example, for an educational institution, the suitable factor can be the total number of students enrolled; for a marketing company, it can be sales volume; and for a manufacturing company, it can be total units produced. Trend analysis method is best for preliminary assessment of human resource demand. The reason for this is that human resource forecasting is affected by a number of factors and past trend is one of them.

4. Scatter Plot

It is a method which uses graphs to find out the relationship between the two variables. The human resource planner can make use of this method to determine the relationship between the two factors, i.e., the degree of business actions and the requirement of the staff to handle it. If there is a relationship, then the question arises whether the HR planner can predict the measure of business activity and forecast human resources requirement.

5. Computerised Forecast

Computerised forecasting uses computers and software packages to determine the prospective manpower needed by estimating sales of the firm, production volume and the human resources required in keeping up the estimated quantity of output.

6. Work-Study Techniques

This technique analyses the relationship between the volume of the work and the efficiency of the employees. The data regarding the volume of the work are derived from the organisational documents and increase/decrease in operations can be determined. Efficiency level is measured by time and motion study which measures standard output per unit of time or per hour.

Planned Output

Standard Output per Hour × Standard Hours per Person

7. Delphi Technique

It is the technique which focuses on the qualitative aspect and also tries to reduce the subjectivity by involving the people from the group already chosen for it and collecting the judgments for the same. Therefore, a collective decision-making procedure is necessary which in turn requires commitment towards increase cooperation and co-ordination for reasonable forecasts. This technique is useful in situations where the environment is subject to various changes on account of technological upgradations. Here, there is minimum scope for subjectivity in the decision-making as experts do not meet face-to-face. This technique is more costeffective if they are assigned to different locations. It can improve the decisionmaking process by reducing personality conflicts and restricting dominating group members from controlling the decision process.

8. Econometric Models

In this model, statistical data related to the history of the organisation is analysed. It is expected that the relationship between the different variables in statistical or mathematical terms will help in forecasting manpower requirements. Variables like measures of profits, investments, complexity, quality and sales of the products are correlated with the manpower requirements to draw a single equation which describes the exact relationship between manpower requirement and other variables (measurable by econometric models) within the organisation.

Limitations / Barriers of HRP:

Human resource planning is not always successful; there are some limitations of HRP which are as follows:

1. Inaccuracy of Forecasts

HRP is dependent on the future prediction of supply and demand of human resources. Hence, the efficiency of HR planning is based on the correctness of forecasts. In case the forecast is inaccurate, then the HR planning will also not be completely accurate.

2. Identity Crisis

Sometimes, managers and the human resource experts in the organisation are unable to clearly understand the entire process of HRP. Due to this, there exists a problem of identity crisis. HR planning cannot be effective until the experts have a clear understanding of objectives.

3. Requires Active Involvement of Top Management

Top management should be an integral part of manpower planning. If the top management does not play an active role, the essential resources and assistance required for effective human resource planning cannot be gained in the organisation.

4. Employee Resistance

Usually trade unions oppose manpower planning as they think that it will increase the burden of work on the employees and govern them by the means of productivity bargaining. Moreover, according to the unions, it will increase unemployment of the unskilled labourers.

5. Technical Issues

Effective HRP is not an instantaneous task. It takes time to be gradually accepted. New technologies have to be adapted so as to be in competition. Occasionally difficult technologies are vigorously introduced because competitors are also using them. This cannot be fruitful unless HR personnel identify training needs, and it is HRP which identifies the employees who are in need of training.

6. Weak Information System

Development of successful human resource planning is based on the credibility of information system. In Indian industries, the information system is still not well developed. Hence, precise and reliable data cannot be collected for effective human resource planning.

7. Uncertainties

HRP is not wise to depend entirely on the generalised data collected about the manpower. Seasonal jobs, absent employees, technological issues are the factors which hamper the manpower planning.

8. Costly and Lengthy Activity

HRP is a costly and time-taking activity. There are chances that organisations may not adopt the system as it will increase the cost burden on the organisation.

9. Improper Coordination with Other Executive Functions

Usually manpower planner does not interact with manager and is confined to his own area of concern. This hampers the HR planning. For its effectiveness, HRP should be incorporated with other managerial functions.

10. Loss of Balanced Focus

Usually focus is on the quantifiable facet of HR planning like number of individuals leaving or joining the organisation. Qualitative part is neglected which includes development of career, self-esteem, planning skill levels, etc. Such uneven focus impacts the efficiency of HRP.

The Challenges for HR

HR challenges in today's fluctuating global economy affect every aspect of business, and this includes meeting strategic organisational business imperatives that HR departments never faced in past decades. The following top HR challenges are as follows:

1. Retaining Top Talent

Most companies view recruitment as the most important of their HR challenges, but retaining the talented people whom you already have certainly ranks higher than organic recruiting. Employee retention not only reduces the need to find new talent but also provides the raw materials for promoting people in-house to leadership positions.

2. Attracting Top Talent

Attracting talent is certainly one of the most visible challenges, and today's mobile, digital culture often fails to generate the kind of corporate loyalty that helped companies retain staff in past generations. Millennials are especially susceptible to job turnover – often for reasons that don't involve money – reasons like company culture and business reputation.

3. Building Leaders From Within the Company

Top HR challenges include attracting and retaining top talent, and the easiest way to do this is to develop leaders from within the company. Leadership has been globally identified as one of HR departments' most critical strategic initiatives and company managers, senior executives and HR managers are in prime positions to instil leadership characteristics in existing workers.

4. Creating a Healthy, Value-Driven Company Culture

Company culture takes an increasingly important role in every aspect of business. Today's competitive recruiting often focuses more on company culture than on salaries and benefits because millennials consider culture as a prime influence when changing jobs. A particularly powerful example of this trend is Google's corporate operations, which dominate the search industry. The company fosters a unique culture where staff members enjoy benefits such as free meals, dog-friendly offices, on-site gyms and employee trips and parties.

5. Measuring HR Effectiveness

Measuring HR effectiveness might seem straightforward, so it's not obvious that it ranks among the greatest HR challenges. However, it's astonishing how many companies don't measure their results objectively, and even fewer measure their results based on how HR policies affect people. CIPD research shows identifiable links between HR policies and people management.

JOB ANALYSIS (JA):

Meaning and Definition of Job Analysis

Job Analysis (JA) refers to a complete and organised study of jobs to understand the characteristics of people to be hired for vacant positions in an organisation. It is a process of gathering essential job-related information and its analysis. It gives the basis to determine the kind of information to be extracted from the applicants, past employees, and from various other sources.

According to Edwin B. Flippo,

“Job analysis is the process of studying and collecting information relating to the operations and responsibilities of specific job.”

According to Donald,

“Job analysis is a method of scientifically dissecting a job in order to determine the component elements and their influence upon the length of learning period of the worker, production and labour turnover.”

JOB DESCRIPTION (JD)

According to Robert Kreitner, “Job description is a concise document that outlines the role expectations and skill requirements for a specific job”.

According to Swansburg, “A job description is a contract that should include the job’s functions and obligations and tell the incumbent to whom he or she is responsible”.

JOB EVALUATION:

According to Edwin B. Flippo, “The systematic and orderly process of measuring the worth of job within an organisation is called job evaluation”.

According to Kimball and Kimball, “Job evaluation represents an effort to determine the relative value of every job in a plant and to determine what the fair basic wages for such a job should be”.

According to Dale Yoder, “Job evaluation is a practice which seeks to provide a degree of objectivity in measuring the comparative value of jobs within an organisation and among similar organisations. It is essentially a job rating process, not unlike the rating of employees”.

RECRUITMENT

Meaning of Recruitment:

Recruitment can be defined as the process of finding out prospective candidates for filling actual or projected vacancies in an organisation. Recruitment enables the organisation to obtain the number and types of individuals required for its continuous working.

Definition of Recruitment:

According to Edwin B. Flippo, “Recruitment is the process of searching for prospective employees and stimulating them to apply for jobs in the organisation”.

According to Barber, “Recruitment includes those practices and activities carried-out by the organisation with the primary purpose of identifying and attracting potential employees”.

According to Dale Yoder, “Recruitment is a process to discover the sources of manpower to meet the requirements of the staffing schedule and to employ effective measures for attracting that manpower in adequate numbers to facilitate effective selection of an efficient working force”.

Importance of Recruitment:

- 1. Determines Present and Future Requirements:** It involves identifying and preparing potential job applicants for higher job positions. It is significant for every organisation to find out the existing & future needs of the organisation as per the human resource planning & job analysis activities.
- 2. Creates and Increases Applicants Pool:** Recruitment develops a pool of talented candidates to facilitate the selection of the most suitable candidates for the organisation. It helps to gather an appropriate number of acceptable applicants for each job position at minimum cost. It has been observed that the worth of selection organisation rises with the increase in the pool of potential candidates. Infact, a larger group of qualified applicants indicates that there are more suitable applicants available for the vacant job positions. A selection programme, therefore, has an excellent possibility of recognising only well-qualified individuals. Conversely, if the recruitment programme attracts a small number of applicants in comparison to the number of available positions, then a situation of repeating the entire recruitment process may occur.
- 3. Increases Success Rate of Selection:** By lowering the percentage of applicants who are either less qualified or who have the undesired KSAs (knowledge, skills, and abilities) for the recruiting organisation, recruitment increases the success rate of the selection process. Staff time, materials, and physical facilities are needed by this kind of processing. If the recruitment programme brings applicants who do not match the requirements of the vacant job positions, the results can be terrible. The expenses done on assessing the inappropriate candidates can go in vain. Furthermore, the extra time required

for persistent human resource recruitment and selection increases the organisational expenses as well.

4. Meets Organisation's Obligations: The objective of recruitment is to meet the organisation's legal and social obligations concerning the demographic composition of its workers. An organisation's compliance with various laws and directives has frequently been judged by the demographic features of those recruited and selected. The demographic features of selected candidates are directly proportional to the features of the applicant pool. If recruitment programme fails to provide the desired applicants, then, it is quite obvious that selection programme will not be able to fulfil required set of skilled personnel.

5. Increases and Evaluates Effectiveness: The present as well as the future effectiveness of the individual and the organisation gets increased due to recruitment. It also assesses the effectiveness of a variety of recruiting methods and sources for all types of job applicants.

6. Reduces Turnover: Once recruited and selected, the recruitment process minimises the chances that job applicants will quit the organisation in the initial phase of placement. This in turn results in retention of potential employees.

Recruitment Policy

Every organisation has certain recruitment policies that are to be followed systematically for proper recruitment of the candidate. Recruitment policies have become a crucial part of almost all the organisations. These policies are established by the HR department, which not only guides them to recruit an appropriate candidate but also sets the preferences for the recruitment process based on organisational needs.

For example, some organisations give priority to qualification over experience, whereas few may give preference to skills as compared to qualification. Thus, these priorities should be determined well in advance before establishing a recruitment policy.

According to Yoder

“A recruitment policy may involve a commitment to broad principles such as filling vacancies with the best-qualified individuals. It may also involve the organisation system to be developed for implementing recruitment programme and procedures to the employed”.

Features of Good Recruitment Policy

Following are the characteristics of an effective recruitment policy:

1. The policy of recruitment should be compatible with the rules and regulations as specified by the government.
2. It should not disregard any rules made for other employees working in the company. In fact, it should complement the HR policies of the company.
3. In order to increase the number of applicants and to meet the demands of the organisation, the recruitment policy needs to be very dynamic and forwardlooking in its approach.
4. Besides providing job security in the form of long-term services, recruitment policies should also facilitate employee development programmes.
5. A good employment policy should be unbiased and must offer equal job opportunities to different segments of the community.
6. An effective policy of recruitment should be flexible so that it can be changed as per the need and time of the organisation.

Objectives of Recruitment Policy

There are certain objectives of every recruitment policy. Some of them are as follows:

1. Make sure that the entire process is fair, unbiased, uniform and based on merit.
2. Attract the attention of the maximum number of candidates so that the requirements of the job can be fulfilled easily.
3. Select the most appropriate candidate by using the most effective recruitment techniques.
4. Make the procedure of employment clear to those who perform the function of selecting the candidates.

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5. The decisions made and the method followed in recruitment policy should be in accordance with the job requirements.
 6. Make sure that authorities carrying out the recruitment process should be well specialised and experienced in order to meet the objectives of the procedure.
 7. See that all the legal formalities to conduct recruitment are met fully.

Factors Affecting Recruitment

Recruitment is mainly affected by the following two types of factors:

1) External Factors

These factors or forces are those factors which cannot be controlled by the organisation. A variety of external factors which affect recruitment are as follows:

i) Supply and Demand

A significant factor in the recruitment process is the manpower supply, both inside and outside the organisation. If demand of the professionals in the company is more and supply of professionals in the market is low, then the company will have to rely on internal sources by training and developing employees.

ii) Unemployment Rate

Growth of the economy is another factor that affects the availability of applicants. Lack of jobs in the company and surplus labour in the market can give rise to a situation of unemployment.

iii) Labour Market

Employment conditions in the area where the organisation is situated affect the recruiting activities of the organisation. Ordinary attempts like displaying job vacancies on notice boards or

announcements in official meetings, etc., will attract more candidates than needed at the time of recruitment.

iv) Image/Goodwill

Employer's image can also act as a hindrance for recruitment. The activities of the organisation are the basis for building organisational image. It becomes easier to attract and retain employees for an organisation if it has a positive image and goodwill as an employer than for an organisation with a negative image.

v) Political-Social-Legal Environment

Recruitment practices are directly influenced by various government regulations which keep out favouritism in hiring and employment. For example, legislation for reservation in employment for scheduled castes, scheduled tribes, physically handicapped, etc., have been introduced by the Government of India.

In addition, trade unions play a significant role in recruitment. This hampers the management's freedom to choose potential candidates. Recruitment sources can be limited by union regulations if the candidate does not fulfil the criteria set by the union.

vi) Competitors

The recruitment function is also influenced by the recruitment policies of competitors. Generally, organisations change their recruitment policies to match competitors' policies so that they can compete in the market.

2) Internal Factors

The factors that can be regulated by the organisation itself are called internal factors. There are various internal factors in the organisation which influence the recruitment programme:

i) Human Resource Planning

How many employees are to be recruited and what qualifications they should have is decided with the help of effective human resource planning.

ii) Recruitment Policy

The aims of recruitment are stated in the recruitment policy of the organisation. It also gives an outline for the execution of the recruitment programme.

iii) Size of Firm

Another vital factor that affects the process of recruitment is the size of the organisation. If the organisation is planning to increase its operations and expand its business, it will plan for hiring more employees to carry out its functions.

iv) Cost

Recruitment expenses are borne by the employer; therefore, organisations try to make use of that source of recruitment which gives more output at less cost.

Sources/Methods of Recruitment

Sources of recruitment are the means of selecting the candidates for the process of recruitment. Through the sources of recruitment, one gets to know about the availability of a number of suitable candidates.

When the recruitment plan demonstrating the number and type of prospective candidates is finalised, then the recruitment sources are considered. This makes it necessary to identify recruitment sources from which these candidates can be attracted.

There are two main sources of recruitment:

Internal Sources

-
- Transfer and Promotion
 - Job Posting
 - Employee Referrals
 - Former Employees
 - Previous Applicants

External Sources

- Direct Methods
- Indirect Methods
- Third Party Methods **Internal Sources:**

This is the process of filling job openings by choosing from the pool of existing workforce in the organisation. Following methods or techniques can be used while recruiting internally:

1) Transfer and Promotion

Transfers and promotions are ways of filling organisational job vacancies internally.

- Internal movement within the same grade, from one job to another, is called a **transfer**.
- The movement of an employee from a lower-level position to a higher-level position along with changes in work, responsibilities, status and value is termed as **promotion**.

2) Job Posting

It is an in-house method of recruitment in which notices of vacant jobs are posted at important places of the organisation such as employee lounges, cafeterias, elevators, etc., and employees are provided with a large amount of time to apply for the available jobs.

Nowadays, job posting is being used as one of the most creative ways of recruitment in organisations. Various organisations consider job posting as an in-built part of an effective career management system. Thus, it is considered to be the easiest and most commonly used method by employers to inform employees about job openings.

3) Employee Referrals

Using personal contacts to fill a job opportunity is known as employee referral. It is a reference from an existing employee regarding a candidate, be it a friend or a close relative.

It is considered to be an “it takes one to know one” approach. A major problem with this method is that it encourages favouritism, i.e., candidates of one’s community or caste may be selected, who may or may not be suitable for the job.

4) Former Employees

Former employees are increasingly becoming a feasible source of recruitment as employers mostly contact former employees. They are more trusted as an internal source because they have a relation with the company.

Many of the retired employees may be interested in returning to work on a part-time basis or may like to work for organisations from which they have left. Former employees often return for higher positions due to their familiarity with the organisation and work ethics.

5) Previous Applicants

Previous applicants include not only those candidates who applied earlier but also those who were contacted again due to unexpected vacancies. Candidates who have already been screened can be

considered for more appropriate and skilled jobs. This method also reduces recruitment cost because qualified applicants are already available in the organisation's records.

External Sources

Organisations can fulfil the job positions from outside through the following methods or techniques:

1) Direct Methods: In these methods, the recruiters are sent to educational and professional institutions in order to build public contacts and exhibits. Various direct methods are:

i) Campus Recruitment: Campus recruitment is a method in which recruiters visit the campus and placement cells of educational institutions such as engineering and management colleges in order to get the qualified candidates. Recruiters get a large number of candidates to choose from and candidates can select the job post which suits them from the available job options.

ii) Scouting: Scouting is a method in which representatives are sent by the human resource department to those places where recruitment activities are going on. They get in contact with the prospective candidates who are searching for jobs. Applicants go through an initial interview. Job fairs, indoctrination seminars are some of the other ways of this particular method.

iii) Recruitment at the Factory Gate: It is a method of direct recruitment in which a notice is posted outside the factory gate, stating the information regarding the job vacancies.

2) Indirect Methods: Indirect methods include the following:

i) Advertisements: In modern times, this medium has become equally vibrant, energetic and creative as consumer advertising. The advertisements usually provide a brief outline of the job responsibilities, compensation package, growth opportunities in the organisation, etc. This method is suitable when the organisation wants to reach a large target group and desires a good number of qualified individuals who are cosmopolitan in distribution.

ii) Employees Trade Associations/Clubs: Meetings, conferences, seminars, and other social functions of employee trade associations/clubs are more ways of spotting suitable candidates.

iii) Professional Associations: Professional associations/bodies of major professionals like Doctors, Engineers, Auditors, Chartered Accountants, and Managers also provide abundant opportunities to discover potential candidates for technical, scientific and managerial cadre vacancies.

iv) Other Reputed Firms: Nowadays, it has become a trend to recruit human resources from well-known firms. Few companies and firms have established good reputation on productivity, efficiency, and industrial harmony. Many firms have made efforts to discover appropriate candidates from such firms for filling job positions.

3) Third Party Methods: Third party methods, which are most common, are as follows:

i) Private Employment Agencies: They are used extensively and charge very little fee from an applicant. They concentrate on specific occupations such as general office help, salesmen, technical workers, accountants, computer staff, engineers and executives. These private agencies work as middlemen between employees and employers.

ii) State or Public Employment Agencies: These are also known as Employment or Labour Exchanges. They provide a clearinghouse for jobs and job information alongwith a wide range of services such as counselling, jobs searching, and information about the labour market, workers and pay rates.

iii) Schools, Colleges and Professional Institutions: All these provide opportunities for recruiting their students. These general and technical/professional institutions provide blue-collar, white-collar and managerial personnel.

iv) Professional Organisations or Recruiting Firms or Executive Recruiters: They keep entire information records about employed executives.

These consulting firms suggest highly competent individuals for managerial, marketing, and production engineers' posts.

v) Trade Unions: Trade unions offer manual and skilled workers in ample quantity. In few organisations, formal agreements are made to give priority to the candidates recommended by the trade unions during the recruitment process.

vi) Casual Labour or Applicant at the Gate: Many industries are dependent on the casual labourer who daily marks his presence on factory gate or employment office.

vii) Unconsolidated Applications: There are certain job posts for which small numbers of candidates apply. In such a case, organisations can search the application forms of those candidates who have approached the organisation for the vacancies available by their own efforts.

viii) Voluntary Organisations: These organisations such as private clubs and social organisations might also supply employees like who are physically handicapped, widowed or married women, aged persons, retired people, etc.

ix) Computer Data Banks: When a company needs a specific type of employee, job descriptions and job specifications are uploaded into a computer, where they are matched with the resume data stored therein.

Process of Recruitment

The recruitment process involves different activities through which competent potential candidates are searched as specified by human resource planning, job description and job specification. Recruitment procedure is shown in figure 2.5:

Figure 2.5: Process of Recruitment

1. Recruitment Planning
2. Identifying Recruitment Sources

3. Contacting Sources

4. Application Pool

5. Selection Process

Note: Evaluation and Control connects back to all steps

HR Planning, Recruitment and Selection (Module 2)

1) Recruitment Planning: Recruitment planning is the initial step of the recruitment process. It involves determining the following:

i) Number of Contacts: Organisations always intend to attract more than the required candidates as they want to make the best choice out of a larger number of candidates. It is also done because many candidates are not willing to join the organisation and a few of them may not be fulfilling the selection criteria. So, whenever a recruitment programme is thought of, the organisation has to think about the quantity of applications it should get in so as to fill all its vacancies with suitable candidates.

ii) Type of Contacts: It involves the type of people to be made aware about the job vacancies according to the job description and job specification.

2) Identifying Recruitment Sources: Once a recruitment plan is finalised representing the number and type of potential candidates; they must be attracted in such a way that they offer themselves for employment. Hence, it is essential to identify the sources from which these candidates can be attracted.

3) Contacting Sources: After the final decision about the sources of selecting the potential candidate, the procedure of contacting these sources is initiated. Recruitment is a two-way process and there are mainly two parties, i.e., recruiter and a recruitee.

Based on the information about the candidate, recruiter can select the candidate. Similarly, the recruitee, on the basis of the information about the organisation, takes the decision to join the organisation or apply somewhere else. Hence, the organisation must choose which information is to be shared with the candidates, especially in case of external sources.

4) Application Pool: The final aim is to attract more and more candidates so as to maintain flexibility in selection, no matter what method of recruitment is used. The organisation starts receiving applications from potential candidates as soon as the sources of recruitment are contacted. The type of organisation, kind of jobs, and the conditions in specific human resource markets determine the number of applications.

5) Selection Process: The process of classifying applicants, in order to hire those who are more competent for the job, is called selection. Selection process requires extremely specialised techniques. Thus, the selection process involves expert employees who are proficient in using selection tests, conducting interviews, etc.

6) Evaluation and Control: It is necessary to enhance the efficiency of recruitment attempts in future. It should be kept in mind that recruitment is an expensive process, involving costs such as the recruiter's salary, advertising costs, managers' salaries and various other costs. It is thus necessary to evaluate the process of recruitment.

2.5.8. Evaluation of Recruitment Process

In order to find out the effectiveness of different sources of recruitment, it is crucial to assess the recruitment efforts. To analyse if the efforts put in the recruitment process are productive in relation to the cost incurred, it is recommended to formally evaluate the recruitment process. Even though there are numerous factors that affect recruitment effectiveness, subsequent fields generally need consideration:

1) Evaluating Quantity and Quality of Recruitment: As a measure of evaluating recruitment efforts, organisations can compare their present recruiting efforts with their past trends and also with the recruiting trends of other organisations. There are certain factors which can indicate approximately, whether the number of applicants responded is adequate or not. The data related to the performance of the job, frequency of absenteeism, expenditure on training, and labour turnover can also prove significant for future recruiting efforts.

i) Quantity of Applicants: For a recruiting programme to be successful, it needs to attract a lot of applicants. Thus, evaluation must start with a quantity of applicants. The first step to measure the quantity is to determine the number of applicants who have filled the vacant job positions. Another question associated with this is, whether or not the source of recruitment has provided a sufficient number of qualified candidates, with a suitable blend of reserved and general class.

ii) Quality of Applicants: Apart from quantity, the next vital issue is whether the applicants are qualified enough to match the job requirements. Do they meet the job specification and fulfill the organisation's expectations? What is the percentage of sustainability and failure of new recruits for the employer? The percentage can be measured using techniques like performance appraisal ratings, promotion period, output, and volume of sales, etc.

2) Evaluating the Average Time Required for Filling Job Openings: Another way of evaluating recruiting efforts is by taking into account the time consumed to fill vacancies. If the organisation is unable to fill its vacancies with deserving applicants in required time, then the productivity and efficiency of the organisation are likely to decline. Managers who are in need of employees will face problems if it takes around 70 days to fill a vacancy. It is better for the organisation to calculate the average time of the recruitment and selection process, which is required to fill the job vacancy. They can also measure that which source and method of recruitment and selection is effective for them

3) Evaluating the Cost of Recruiting: Following method is used to measure the recruiting cost:

Recruiting Expenses Number of Recruits Hired

4) Evaluating Recruiting Satisfaction: While evaluating recruiting, the contentment of both the managers and the applicants is crucial. The opinion of the manager is important because they are the real customers who are in need of human resources. The applicants (whether hired or not) also play a vital role in the evaluation process and can give useful feedback about the way they were treated, their views about the organisation and the duration of the recruitment process. On the other hand, managers can answer queries related to the quality of the applicants, services provided by the recruiter, time taken to find the desired employees and many any other issues.

5) General Recruiting Process Metrics: As recruitment is a vital process for any organisation, its cost-benefit analysis is also crucial. This analysis might consist of both direct cost (advertisements, recruiter's salary, travelling charges, charges of employment agency, etc.) and indirect cost (participation of operating managers, public relations, etc.). Cost-benefit details regarding each recruitment source can be estimated. The time duration for applicants hired from a particular source when compared with the amount spent on hiring from that source can prove to be useful for evaluating the effectiveness of a particular recruitment source. The analysis might also include the following:

i) Yield Ratios: Yield ratio compares how many applicants took part in one phase of recruitment process with how many took part in the other phase. It is an important technique for evaluating recruitment efforts and gives a lumpsum figure for the number of applicants who

initially applied. Yield ratio can be considered as a pyramid where the employer begins the process with a number of applicants, i.e., bottom of pyramid and this number reduces as the process advances, i.e., top of pyramid.

ii) **Selection Rate:** Selection rate is another important statistic. It is the percentage of applicants hired from the whole applicant pool. It can be calculated as the 'number of applicants hired' divided by the 'total number of applicants applied'. For example, a rate of 50% shows that 5 out of 10 candidates were finally selected. The legitimacy of the selection process also affects the selection rate. A comparatively simple selection process might take up 8 out of 10 candidates, four of which might prove to be a liability for the organisation later. On the other hand, a sophisticated selection process will choose 5 out of 10 candidates, all of whom will prove to be assets for the organisation. Hence, selection rate not only evaluates recruiting, but takes care of selection issues too.

iii) **Acceptance Rate:** Acceptance rate informs about the success of the organisation at hiring desired employees. This is calculated by dividing the 'number of applicants hired' by the 'number of applicants offered jobs'. Once the company completes the process of screening, interviewing and offering jobs to the selected applicants, it depends on the applicants whether they accept or reject the offer. If they reject the offer, the HR manager looks/searches out for the problems and investigates why the operations manager and human resource staff were unable to "close the deal". HR staff can easily find out the reason behind the rejection of the offer, which helps to justify the rejection and also projects the competitiveness of the employer, in comparison with the other employers. It also discloses the reasons why applicants choose to work with other employers.

iv) **Success Base Rate:** An important way of finding recruiting effectiveness is the success rate of applicants. This can be calculated by comparing the number of previous applicants who are now successful employees with the number of applicants they had competed with. This is done with the help of past data taken from the organisation. Success base rate may also be matched with the success rate of other companies in the same industry with the help of benchmarking data. This rate depicts the quality of hired applicants who are hardworking and punctual. For example, if 5 people were hired, it is expected that 3 out of them will end up being good

Recruitment Strategy:

The recruitment strategy is a document that tells about the target position on the job market and the main recruitment sources to be used. The recruitment strategy needed to be aligned with the HR Strategy, and it has to support the strategic goals and initiatives of the organisation and Human Resources. The recruitment strategy defines the main goals for the recruitment process and HR Recruiters have to follow the defined goals as the organisation reaches the desired position on the job market. The successful recruitment strategy helps to match the innovative organisation with the diverse human resources.

The recruitment strategy helps in building the unique position on the job market. Every company wants to hire the best talents, but they are not in the unique position. The job applicants tend to favour organisations, which seem attractive to them. The smart recruitment strategy differentiates the organisation from competitors. The different recruitment approach promotes the creativity of the organisation on the job market.

For formulating an effective and successful recruitment strategy, the strategy should cover the following elements:

- 1) Identifying and Prioritizing Jobs: Requirements keep increasing at various levels in every organisation; it is about never-ending process. It is impossible to fill all the positions immediately. That is why need to identify the positions requiring immediate attention and action.
- 2) Strategy for Targeting Best Candidates for Recruitment: The recruitment procedure can be powerful if the organisation totally understands what sort of organisation required which will be helpful for the organisation. This covers the following parameters as well:
 - i) Performance Level Needed: Different strategies required for focusing on hiring high performing candidates and average performing candidates.

ii) Experience Level Needed: The Planning should be clear as to what is the experience level required by the organisation. The Applicant's experience can range from being a fresher to experienced professionals.

iii) Category of the Applicant: Applicant can be from the same industry, or either from other industry, unemployed, top performers of the industry etc.

Future Trends in Recruitment:

The world has been moving at a rapid pace and we have witnessed a technology upswing! Recruitment has evolved and has taken up a different form. Before going on about how recruitment will change in the future, have knowledge about the HR trends that will shape the future of recruitment. Recruitment is now more focused on social media and AI. And the traditional methods are long gone. Following are the future trends in recruitment are as follows:

1) AI for Recruiting: Many companies take the help of AI in HR process in form or the other. Companies expect to leverage AI in the recruitment process. AI for recruiting means the application of artificial intelligence like problem-solving a computer can do. The technology is helping to streamline the part of the recruiting workflow, high-volume tasks.

i) AI Helps To Improve Online Applications: One of the ways that AI is helping companies with the recruitment process is via online application management. Applicants tracking from recruiter databases use lots of keywords & other data points that AI can sort & analyse with ease. AI helps recruiters sort thousands of resumes to speed up the selection process.

ii) AI-Powered Recruiter Chatbots: Recruiter's chatbots main aim is to provide realtime interactions with the candidates by asking specific questions. AI-powered chatbots improve the candidate experience to the next level. 67% of job seekers build a positive impression of a company if they get regular updates throughout the application process.

2) Increased Use of Online Communication Tools: Companies are trying their best to find a way to continue with their recruitment process. It can include the traditional way of recruiting

candidates that are phone calls and emails. They are still an essential part. But now, every company is dependent on video interviews to select the candidates, and the trends will remain in the highlight in the coming years. Employers are turning towards video interviews: There are one-way & two-way video interviews. One way interviews are ideal for replacing the phone screenings that are inefficient & two-ways video interview is the key here.

3) **Candidate Experience Now a Key Recruitment Factor:** Candidate experience is a new word among the HR resources because it not only limited to the recruitment process but also extends to the perception of people working in the organisation. According to a study by Hay Group concludes that 70% of the candidates get turned off by someone else a bad experience with the organisation. If recruiter can provide a better candidate experience during the recruitment, then 97% of candidates would love to refer to other candidates. Plus over 50% of the candidates like to share their positive experiences on social media.

4) **Mobile Recruitment Will Grow:** Some stats on mobile recruitment to get an idea about mobile recruitment situation:

- i) Over 90% of the candidates use their mobile devices to look for their dream job.
- ii) 45% of those do so daily.

According to this trend, the recruiters need to create job listings and ensure that they are mobile-friendly. Mobile recruitment is hiring with the use of a mobile phone. An easy to use mobile experience helps the candidates to search and apply for jobs.

5) **Gamification:** Gamification is a popular trend in recruitment. Some companies are adopting the values of gamification to stay relevant in the recruiting market. Here are some reasons to use gamification:

- i) Testing specific skill ii) Saving time
- iii) Making the recruitment process less stressful iv)

Keeping up with competitors

Predictive Analytics: Predictive analytics in recruitment is the use of data to make future predictions, hiring decisions and also helps in workforce planning. Now, predictive analytics is vital in recruiting because:

- i) Helps to identify strong hires for open positions
- ii) Helps to make a better offer to candidates
- iii)

Helps to provide a better candidate experience

6) Companies Hiring For Soft Skills: With the skill's gap visible in the recruitment industry, candidates having skills might prove to be a dream candidate. According to experts, the current skill deficit will grow around 29 million by 2030. And at least two-thirds of jobs heavily rely on soft skills like communication & empathy. So, because of this, the recruiters are more inclined to hire for soft skills to minimize the gap. Soft skills would be considered as necessary as technical or hard skills. Organisations have been recruiting soft skills before. They might adopt new recruitment strategies based on lots of factors. According to LinkedIn, the following are the most in-demand skills in 2020-21:

i) Creativity

ii) Persuasion

iii) Collaboration

iv) Adaptability

v) Emotional intelligence

7) Leverage Natural Language Processing (NLP): NLP is somewhat similar to AI, brings improvement during the hiring process. NLP is a buzzword that is around for long yet many

companies don't know the full potential of NLP regarding recruitment. Here's how NLP helps in the recruitment process.

- i) NLP allows for automated resume screening and processing that reduces hiring time and hours that get spent on manual testing.
- ii) NLP enhanced automated interviews improve the candidate's fit in the company by analysing their speech patterns, facial expressions and help to detect minor details one might have missed.

Here's the complete text extracted from all 7 images you uploaded. It's from *MBA Second Semester (Human Resource Management) VTU*, Module 2:

SELECTION

Meaning and Definition of Selection:

Selection refers to a process in which individuals are picked-up from the pool of job applicants possessing the required knowledge and skills for the job to be performed in an organisation. Selection is a process which includes various phases such as exploring the applicants in order to check whether they are suitable for the job or not, picking-up the right ones from the pool of applicants and eliminating the rests..

According to Schermerhorn, Hunt, and Osborn, "*Selection is a series of steps from initial applicant screening to final hiring of the new employee*".

According to Steven P. Robbins and Mary Coulter, "*Selection is the process of screening job applications to ensure that the most appropriate candidates are hired*".

According to Dale Yoder, "*Selection is the process by which candidates for employment are divided into two classes those who will be offered employment and those who will not*".

Selection Process

Selection methods determine whether or not the qualifications of a job applicant are in accordance with the job requirements. The methods of selection evaluate the performance of the job applicants. Selection methods (application blank, selection tests, interviews, medical examination, reference check), which when used in a proper sequence constitute a selection process.

Selection Procedure

Step 1 Screening of Applicants (Application Forms) |

Step 2 Selection Tests |

Step 3 Selection Interviews |

Step 4 Medical Examination |

Step 5 Reference Check and Background Verification |

Step 6 Hiring Decisions

1) Screening of Applicants (Application Forms): Screening of applicants includes filling up the application forms by the candidates. These application forms contain information about the applicants such as personal bio-data, achievements, experience, etc. This kind of information is utilised in order to get the right candidate, who is eligible for the vacant position. It can also be used for maintaining a permanent record of the candidates who are selected. After screening all the applicants, only those candidates are allowed for further selection process, who are meeting the job requirements and the standards set by the organisation. In case, the candidates matching the job requirement are more than the vacant positions, organisation goes only for few chosen candidates for further selection process.

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- 2) **Selection Tests:** Every organisation has its own rules for the selection process, to generate the required information about the candidate, or to reject the candidates who are not qualified for the interview. Generally, selection tests support the information provided by the applicants in the application forms. A selection test may provide useful information in terms of their aptitude, hobbies, personality, etc., which is not possible to get through an application form.
 - 3) **Selection Interviews:** Selection tests are followed by a personal interview with the candidate. The main purpose of a personal interview is to fully evaluate the candidate for the job. It also gives a chance to the candidate to gain all the information about the organisation. Sometimes, a preliminary interview takes place before conducting the tests.
 - 4) **Medical Examination:** Medical examination is performed in order to observe the candidate's endurance or tolerance level under pressure, as there are several jobs which require a lot of patience. Medical examination evaluates whether the candidate possesses these traits or not. It identifies the deficiencies of selective and qualitative placement for a positive cause and not for rejection only. It also indicates the suitability of a candidate for a job, and prevents his transfer to other job positions. A medical examination is performed to place the right candidates at the right jobs, where they can function without any kind of ill-effect or loss to their health. It is generally performed by the organisation's own physician or a medical officer authorised by the organisation.
 - 5) **Reference Check and Background Verification:** Selection procedure includes this step of a reference check and background verification for the purpose of bringing out more information regarding the candidate. Organisations request the candidates for some references from whom they can gain some more information. This information may be concerned with their background, character, working, etc. These references may include ex-employers of the candidate, people from educational institutions of the candidate, or some other important people who know the candidate's attitude and skills. In India, references are not supposed to be of much importance due of their subjectivity, but they are an important source of valuable information, which cannot be obtained from any other source.

6) **Hiring Decisions or Approval by Appropriate Authority:** Finally, based on the above steps, the appropriate candidates are recommended for selection by the personnel department or selection committee. However, the personnel department or selection committee may hold the responsibility of finalising the candidates for the job; sometimes organisations have their own staff to recommend the candidates for final selection by the top management. Generally, organisations assign different authorities to approve the final selection of candidates. On receiving the approval, the candidates are told about their selection in the organisation, and are requested to report to the concerned personnel.

Factors Influencing Selection:

Various internal and external environment factors affecting selection are as follows:

Factors Affecting Selection

- **Internal Environmental Factors**
- Size of the Organisation
- Type of the Organisation
- Nature of Social Pressure
- Applicant Pool
- Speed of Decision-Making
- **External Environmental Factors**
- Nature of the Labour Market
- Trade Unions

- Government Regulations

1) Internal Environmental Factors: Internal environmental factors which affect the selection process include:

i) Size of the Organisation: Selection process is influenced by the size of the organisation. For example, small organisations use more informal selection process in comparison to the big organisations, which generally rely upon the formal and systematic selection process.

ii) Type of the Organisation: Organisations that have a complicated structure significantly require a refined working structure. Most organisations split their organisational structure into three basic types. One type is a line structure where specific duties are set to be performed from top to bottom. In line and staff structure, duties are defined by staff and line, i.e., with staff departments supporting the line managers. A department organisational structure functions with the help of departments, with people specialised in human resources, marketing, engineering and finance. Selection process varies with the type of organisational structures.

iii) Nature of Social Pressure: Selection process is influenced by the social pressure as well, because selection of human resource is greatly influenced by legislation, executive orders, and court decisions, etc., as every organisation has to function within the society under some social and legislative terms and conditions.

iv) Applicant Pool: Selection process is affected by the pool of applicants. It can be an effective process only if the applicant pool is large and comprises of competent applicants for a specific job position. Number of applicants selected for a specific position when compared with the total applicants gives the selection ratio.

v) **Speed of Decision-Making:** Selection process is affected by the time provided for making the selection decision. Organisations can averse the legal problems by strictly following the selection policies and procedures.

2) **External Environmental Factors:** External environmental factors which influence selection process include:

i) **Nature of the Labour Market:** Selection process is affected by the nature of the labour market as well. For example, selection process will be short and simple, if there are very few applicants having required knowledge and set of skills, and vice versa.

ii) **Trade Unions:** Trade unions also affect the selection procedure of an organisation. For example, trade unions sometimes recommend some of the applicants for a job, and even demand for their selection.

iii) **Government Regulations:** Organisations need to follow the selection norms defined under the regulations prescribed by the government. Thus, government rules and regulations such as legislation also affect the execution of the selection procedure in an organisation.

SELECTION TESTS:

Introduction

Tests are also known as psychological tests. These tests are significant tools which are used for the selection procedure. A psychological test is conducted to evaluate some sets of skills and capabilities of a worker which are supposed to be there for a successful job outcome as per the job analysis. A test is a tool designed to evaluate the selective psychological elements. The primary reason of conducting the test in selection procedure is to easily and precisely evaluate difference between job-related capacities and skills of individuals.

According to Wayne F. Cascio, “*A psychological test is a standardised measure of behaviour*”.

According to Cronbach, “*A test is a systematic procedure for comparing the behaviour of two or more persons*”.

According to Milton M. Blum, “*A test is a sample of an aspect of an individual’s behaviour, performance and attitude*”.

Standards for Selection Tests

Standards for selection tests are as follows:

- 1) **Suitability:** A test must be according to the nature of group on which it is being conducted. For example, a written test containing difficult words is useless, if it is applied on workers who are not much literate.
- 2) **Standardisation:** The term standardisation refers to the stability or uniformity of the rules and procedures for conducting a certain test. In this process, norms to finalise the scores, interpretation, methods and procedures to conduct the test are required to be established.
- 3) **Qualified People:** A test needs highly qualified and expert personnel for administration of testing procedures. These personnel have perfection in their work, so judgements given by them are accurate and unquestionable.
- 4) **Preparation:** A complex structure of test may fail to provide quality result. Therefore, a test needs to be prepared very efficiently and effectively, and at the same time it should be easy to conduct.
- 5) **Validity:** Validity of a test is an important element, as it is the degree to which a test evaluates what it was supposed to evaluate. A selection test is required to be valid because validity provides a logical and legally accepted reason to carry-out the test for the screening of the job applicants. A test must be valid under a specific situation and for a definite group of people. Therefore, a test is said to be valid when it is capable of measuring the factors, for which it is designed.

6) **Reliability:** It denotes the uniformity of the selection test. Any test is said to be reliable, only if it is consistently producing the same results. For example, with an unreliable test, an individual may score high at one event and very low on the other, even if both the events are mutually close in time. This uniformity is developed with the help of re-examination of candidates with the same test on two or more events, or by any other method to evaluate the uniformity of the test score.

7) **Utility:** It refers to the financial gains obtained by using a specific selection method. The main objective is to assess the increase in revenue as a function for the selection method after deducting the cost expenditure incurred during the application of a certain method. A standard level of utility needs low selection ratios. Thus, it is totally related to the capability of an organisation to attract a large number of talented and qualified applicants for every vacant position.

Training and Development:

Need and Importance of Training and Development

Training and Development is a core HR function that focuses on improving the skills, knowledge, and competencies of employees. It bridges the gap between current performance and required performance.

1. Need for Training and Development

Training becomes necessary in an organisation due to the following reasons:

1) New Employees / Induction

New recruits are unfamiliar with company policies, work procedures, culture, and job requirements. Training helps them adjust quickly and start contributing effectively.

2) Technological Changes

Rapid tech advancements make existing skills obsolete. Training updates employees on new machines, software, automation, and digital tools so productivity doesn't drop.

3) Job Requirements & Skill Gap

When job description changes or an employee is promoted/transferred, there's often a mismatch between what the job demands and what the employee knows. Training fills this skill gap.

4) Improve Quality and Reduce Wastage

Lack of proper skills leads to errors, defects, and wastage of materials/time. Training ensures work is done right the first time.

5) Increase Productivity and Efficiency

Trained employees perform tasks faster, with fewer mistakes, and with better methods. This directly improves output per employee.

6) Safety Requirements

In factories, construction, or hazardous jobs, untrained staff are a risk to themselves and others. Safety training is legally and morally necessary.

7) Career Growth of Employees

Employees expect learning opportunities. Training prepares them for higher roles and meets their aspirations, which helps retention.

8) Organizational Growth and Change

When companies expand, diversify, or restructure, employees need new competencies to handle new roles, markets, or products.

2. Importance of Training and Development

- a. Higher Productivity: Skilled employees produce more output of better quality in less time.
- b. Reduced Supervision: Trained workers need less constant monitoring because they know the job well.
- c. Lower Accidents & Wastage: Proper training reduces material spoilage, machine damage, and workplace accidents.
- d. Reduced Turnover & Absenteeism: Employees who get growth opportunities feel valued and stay longer with the company.
- e. Better Adaptability: Company can quickly adapt to market changes, new technology, or competition because employees are ready.
- f. Skill Enhancement: Increases confidence and competence in current job.
- g. Career Advancement: Prepares employees for promotions and higher responsibilities.
- h. Job Satisfaction: Learning new things reduces monotony and increases motivation.
- i. Higher Earnings: Skilled employees are eligible for better pay, incentives, and promotions.
- j. Personal Growth: Develops communication, leadership, decision-making, and problem-solving abilities.

Training Need Analysis (TNA)

Training Need Analysis (TNA) is a systematic process of identifying the gap between the current performance of employees and the desired performance level. It helps organizations determine what training is required, who needs it, and how it should be delivered to improve employee effectiveness and organizational performance.

Objectives of TNA

- Identify skill and knowledge gaps.
- Improve employee performance and productivity.
- Support organizational goals and objectives.
- Enhance employee development and career growth.
- Ensure effective utilization of training resources.

Techniques of Training Need Analysis

1. Organizational Analysis

This technique examines the organization's goals, strategies, resources, and environment to identify where training is needed.

2. Task (Job) Analysis

This technique focuses on the specific duties and responsibilities of a job to identify the skills, knowledge, and abilities required.

3. Person Analysis

This technique identifies employees who need training and the specific areas in which they require improvement.

4. Observation Method

Managers or trainers directly observe employees while performing their jobs.

5. Interviews

Employees, supervisors, and managers are interviewed to gather information about training requirements.

6. Questionnaires and Surveys

Structured questionnaires are distributed to employees to collect information about their training needs.

Methods of Training

Training methods are the techniques used by organizations to improve employees' knowledge, skills, abilities, and attitudes. They are broadly classified into **OntheJob Training** and **Off-the-Job Training** methods.

A. On-the-Job Training Methods

These methods provide training while employees perform their actual jobs.

1. Job Instruction Training (JIT)

Employees learn by observing instructions and practicing tasks under a supervisor's guidance.

2. Coaching

An experienced employee or supervisor provides individual guidance and feedback to trainees.

3. Mentoring

A senior employee helps a junior employee develop professionally and personally over a longer period.

4. Job Rotation

Employees are moved between different jobs or departments to gain diverse skills and knowledge.

5. Apprenticeship Training

Employees learn a trade or skill through a combination of classroom instruction and practical work experience.

6. Internship Training

Students or fresh graduates receive practical work experience within an organization.

B. Off-the-Job Training Methods

These methods are conducted away from the actual workplace.

1. Classroom Lectures

Training is provided through lectures, presentations, and discussions by instructors.

2. Case Study Method

Trainees analyze real or hypothetical business situations and propose solutions.

3. Role Playing

Participants act out workplace situations to develop interpersonal and decisionmaking skills.

4. Simulation

Artificial work environments are created to allow employees to practice skills without real-world risks.

5. Vestibule Training

Employees are trained using equipment similar to actual workplace equipment but in a separate training area.

6. Management Games

Trainees participate in business-related games to improve analytical and decisionmaking skills.

7. Group Discussion

Employees discuss specific topics to share ideas, experiences, and solutions.

On-the-Job Training

Coaching

Mentoring

Job Rotation

Job Instruction Training

Apprenticeship

Internship

On-the-Job Training

Practical Learning

Real Work Environment

Off-the-Job Training

Classroom Lectures

Case Studies

Role Playing

Simulation

Vestibule Training

Management Games

Off-the-Job Training

E-Learning

Workshops & Seminars

1. Training Evaluation

Training Evaluation is the process of assessing the effectiveness of a training program to determine whether the training objectives have been achieved and whether employee performance has improved.

Objectives

-
- Measure training effectiveness.
 - Assess knowledge and skill improvement.
 - Identify strengths and weaknesses of training programs.
 - Improve future training initiatives.
 - Determine return on investment (ROI) of training.

Kirkpatrick's Four Levels of Evaluation

1. **Reaction Evaluation** – Measures participants' satisfaction with the training.
2. **Learning Evaluation** – Assesses the knowledge, skills, and attitudes gained.
3. **Behavior Evaluation** – Examines changes in employee behavior at work.
4. **Results Evaluation** – Measures the impact on organizational performance, productivity, and profitability.

2. Executive Development

Executive Development refers to the systematic process of enhancing the managerial and leadership skills of executives to prepare them for higher responsibilities and organizational challenges.

Objectives

- Develop leadership and decision-making skills.
- Improve strategic thinking and problem-solving abilities.

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- Prepare executives for future responsibilities.
 - Enhance organizational effectiveness.

3. Concept of Career Development

Career Development is the continuous process through which individuals plan, manage, and advance their careers by acquiring knowledge, skills, experience, and qualifications.

Objectives

- Help employees achieve career goals.
- Improve job satisfaction and motivation.
- Enhance employee skills and competencies.
- Support organizational growth and succession planning.

Stages of Career Development

1. Exploration Stage

- Individuals explore career options and interests.
- Usually occurs during education and early employment.

2. Establishment Stage

- Employees enter their chosen profession and build competence.

Focus on learning and career growth.

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3. Mid-Career Stage

- Employees seek advancement and greater responsibilities.
- Career goals are reassessed and refined.

4. Late Career Stage

- Focus shifts toward mentoring and sharing knowledge.
- Preparation for retirement begins.

5. Decline/Retirement Stage

- Employees gradually withdraw from work and retire.

Career Development Activities

- Career Counseling
- Training and Development Programs
- Job Rotation
- Mentoring and Coaching
- Performance Appraisal
- Succession Planning

Benefits of Career Development

- Increased employee motivation and commitment.
- Higher productivity and job satisfaction.
- Better retention of talented employees.
- Availability of skilled personnel for future organizational needs.

PERFORMANCE MANAGEMENT

Meaning and Definition

The systematic process which can be employed for the improvement of overall performance of an organisation by enhancing individual performance within the framework of a team is called Performance Management (PM).

According to **Louis R. Gomez and David B. Mejia** "Performance management is the process through which managers ensure that employee's activities and outputs contribute to organisational goals".

According to **Ronnie Malcom**, "Performance management may be defined as a planned and systematic approach to managing the performance of individuals ensuring their personal development and contribution towards organisational goals".

Objectives of Performance Management:

The main objectives of performance management are stated below:

1. To facilitate the employees to achieve higher levels of performance.
2. To help the employees to determine the required skills and knowledge in order to perform efficiently and thus the focus of the employees is brought to executing the right work in the right manner.
3. To enhance the employee performance with the help of motivation, employee empowerment, and effective reward system.
4. To determine the various hurdles in the performance and removing them with the help of regular coaching, development programmes, and supervision.
5. To develop a foundation for various promotion and performance-based payment systems, administrative decisions, strategic planning, and succession planning.

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6. To facilitate the acquisition of desired skills and knowledge for ensuring and boosting the personal development of employees.
 7. To motivate, reward, and empower employees in order to achieve best results from them.
 8. To maintain a sync between the individual and organisational objectives.
10. To manage the performance proactively as per mutually agreed objectives and responsibilities.

Performance Management Process:

Performance management process can be seen as a constant process fragmented into four different parts which include five phases as depicted

Performance Planning → Performance Analysis → Performance Appraisal →

Performance Development, with Performance Management Audit connected to all] **Phase 1:**

Performance Planning:

Performance Planning is the first phase of performance management. It involves setting performance expectations and objectives for individuals and teams in line with organizational goals. This process guides employees on their roles and responsibilities throughout the appraisal period. It begins with the organization's strategic plans and annual goals. Individual performance plans are then developed based on job descriptions, KRAs, KPAs, and task analysis. Finally, performance standards and targets are established to measure employee performance effectively.

Phase 2: Performance Analysis:

Performance Analysis is the phase where actual employee performance is monitored and evaluated. It involves regular tracking, documentation, and feedback on performance throughout the appraisal period. Employee achievements are measured against predefined standards and targets. The process helps identify reasons for good or poor performance. It also assesses the skills and competencies required for effective task execution. Finally, performance factors are analysed in terms of organizational support and employee motivation to improve future performance.

Phase 3: Performance Appraisal:

Performance Appraisal is a key phase of the performance management process where an employee's performance is evaluated for a specific period, usually a year. It involves discussion between the manager and employee regarding achievements and performance levels. The process maintains written records of employee performance for future reference. It helps measure performance against established goals and standards. Performance appraisal supports decisions related to compensation, promotions, and rewards. It is a systematic and objective method of assessing an employee's ability and contribution to the organization.

Phase 4: Performance Development:

Developing the work-related skills, experience, and knowledge of an employee can be seen as an important component of performance management. It can be understood as a process of stimulating an environment of continuous learning and professional development, enhancing job or career-related skills, knowledge, and experience, and thus improving the competence of the employee for having better employment opportunity within the same organisation. It also includes assisting the performance of employee to reach a level which is able to fulfil or exceed the expectations of the management.

Phase 5: Performance Management Audit:

Performance Management Audit is the process of evaluating the effectiveness of the existing performance management system. It reviews the system in light of internal and external organizational changes and business strategies. The audit assesses current performance management practices and principles. It examines how employee and team performance expectations are defined and agreed upon. It evaluates methods used for performance measurement, review, and compensation linkage. The audit also ensures that training and development programs effectively support performance improvement.

In normal course of action, external experts or consultants are responsible for conducting this audit so that the information can be achieved related to various objectives served by the performance management system.

Future of Performance Management

Driving high performance in the desired direction requires different capabilities than ever before. From setting up individual employees for success, to fostering collaborative team-wins, to driving the strategic bigger picture, performance management has an ever-important role to play in business success.

1. PMS as a critical, strategic business driver:

Performance Management has evolved from merely measuring and ranking performance to driving desired employee behaviours. Modern roles require greater cognitive, leadership, and collaborative skills. Performance management systems are increasingly aligned with specific business unit needs and cycles. Organizations are placing greater emphasis on continuous and multi-source feedback, including 360degree feedback. Employee potential is becoming as important as current performance in evaluations. HR must design performance systems that balance job criticality, employee performance, and future potential.

2. A powerful tool for employee engagement and retention:

Employee expectations of Performance Management Systems (PMS) are changing significantly. Young employees seek transparency in performance evaluation and its link to compensation and

benefits. They value open communication, continuous feedback, and an honest work culture. Millennials and Gen Z expect clear career development, guidance, and growth opportunities. Organizations should empower employees through challenging assignments, leadership roles, and global exposure. Future PMS designs will focus on effective feedback systems and instant recognition programs that reward high performance.

3. Tech-driven agile system and tools: As technology transforms how work happens, managers as they are today will cease to exist, and artificial intelligence (AI) will play a bigger role. Man is fast being replaced by machines, and we are increasingly seeing man-machine co-working and co-contributing. Certain questions will arise- "How can we measure and assess man-machine collaboration outcomes?", "How can machines manage human workforce and vice-versa?" etc. The PMS design must factor in these tech-factors, for a realistic and adequate performance assessment. Real-time performance feedback will force organisations to make their PMS modules mobile-friendly and multi-device. A technologically sophisticated PMS system built on the values of openness, honesty, transparency, etc. will also help attract digital-native talent.

4. Integration with the talent strategy: There will be a dire need to integrate PMS with other HR arenas such as workforce planning, mobility, learning and development, career planning and pathing, total rewards, etc. Pay for performance will take on new meaning, as employees will expect to see clear linkages. For example, the annual merit pay is expected to come to an end and be replaced with market pricing and advanced performance metrics. With this integration, employees will gain visibility to what career moves would be best suited.

PERFORMANCE APPRAISAL

Meaning and Definition

Performance appraisal is a tool which is used to evaluate the employees' performance at the workplace. It generally includes qualitative and quantitative dimensions of employees' job performance

According to **Mondy et al.**, "Performance appraisal is a system of review and evaluation of an individual's (or team's) performance".

According to **Flippo**, "Performance appraisal is defined as a systematic, periodic and so far, as humanly possible, an impartial rating of an employee's excellence in matters pertaining to his present job and to his potentialities for a better job".

Common Problems with Performance Appraisal

Limitations of performance appraisal are as follows:

1. **Rating Errors:** Positive or negative deviations in ratings of performance appraisal, which affects its accuracy are termed as rating errors. Most common rating errors are as follows:
 - I) **First Impression Error:** It occurs when a manager forms a positive or negative image about an employee on the basis of first impression and keeps it in mind for future judgements as well. It is also known as ****primary or primacy effect**.
 - ii) **Halo Effect:** It takes place whenever a rater gives too much importance to a particular factor of performance and gives identical ratings to other performance factors as well.
 - iii) **Strictness or Leniency:** Several managers rate their subordinates equally either low or high. These are known as strictness or leniency errors. The strict manager assigns lower ratings to what an employee is entitled to. While the lenient manager assigns higher rating than entitled.
 - iv) **Central Tendency Bias:** Some managers play a safe game by giving average ratings to all the employees. It could be performed with a view to averse the need of valid scoring across two ends. The reason behind this is because several systems want the managers to mention additional remarks when they assign too high or too low ratings to employees.

v) **Recency Bias:** Recent actions have the tendency to surpass the overall performance. Generally, people have a short memory.

vi) **Stereotyping:** Stereotyping refers to making a general image regarding the characteristics (which is usually wrong) of all members of a group. This hampers a manager's ability to take correct decisions.

vii) **Contrast Effect:** Contrast effect states that something which is drastically different (highest or lowest) will overstate the difference.

2. **Poor Appraisal Forms:** Various factors related to appraisal forms affect the entire appraisal process like:

I) Ambiguous rating scale.

ii) Vital dimensions of job performance may be ignored by rating form. iii) Various irrelevant performance dimensions are involved in rating forms. iv) Forms may be lengthy and complicated.

3. **Lack of Rater Awareness:** It is possible that raters may not be properly skilled to execute performance management exercises. Then, it becomes a great barrier for a rater having inadequate specialisation in a particular area to assess the technical capabilities of a ratee. The raters may not have plenty time to execute the appraisals in an organised manner and to hold a proper review session. At times, the raters may not be skilled enough to perform the assessments due to bad self-image and poor self-confidence. Appraisers may also get puzzled due to ambiguous objectives of appraisals.

4. **Ineffective Organisational Policies and Practices:** Raters get de-motivated if they do not get the correct appreciation for their evaluation. Often, low ratings assigned by raters are taken by management as a negative sign of malfunction on the part of rater or a signal of employee dissatisfaction. Thus, most of the employees obtain good ratings, in spite of their poor performance. Generally, the rater's immediate senior must appreciate the ratings. However,

practically, it does not occur. Consequently, the rater becomes upset and produces extensive harm to the rating process.

5) **Inflationary Pressures:** It is a particular case of low discrimination in the upper limit of the rating decisions. These pressures are regular in occurrence. Due to the growing importance of equality principles and fear of revenge from unhappy employees, who did not receive good reviews, the appraisal process has become quite firm and lenient. Harmful consequences from appraisal process can be minimised by usual inflating or modifying appraisals. Thus, inflating the assessments has created a tough situation for the organisations to defend their own actions while discharging an employee.

Types of Performance Rating Systems

Following are the types of performance rating systems:

1) **Speed Rating:** This rating procedure consists of judging the speed of the operator's movements in relation to a normal pace and is noted as a factor. Rating can be applied to different elements of the job and mathematically.

Normal Time = Observed Time x Worker's Speed / Speed Expected from the Worker.

2) **Westing-house System of Rating:** A four factors system performance Rating was developed at Westing house by C.E. Bedaux. These four factors are:

i) Skill ii) Effort

iii) Conditions and iv) Consistency.

Example 1: The numerical values for each of these factors are available in tabular form. The operator was watched while working and given a value from these tables. The observed time is then levelled by applying the values of four rating factors. Table 3.2 gives the values of these factors.

3) **Synthetic Rating:** This system of rating was proposed by Morrow. In this system the pace rate of an operator is evaluated with the help of predetermined motion time standards (P.M.T.S.). Thus, the time study observer notes down the actual time of performance for the elements as done in the previous method.

Performance times for many such elements are standardised and tabulated. These are known as 'Predetermined Motion Time Values' from this Table the predetermined performance time for the elements is also noted down. The ratio of the latter to the former (average actual time) gives the rating factor. Therefore, symbolically,

$$R = P/A$$

Where

R = Performance rating factor.

P = Predetermined motion time standard for the element expressed in minutes.

A = Average actual time (observed time) for the same element, in minutes.

4) **Objective Rating:** This system of rating was developed by M.E. Mundel. In this operator's tempo of doing a job is taken into account. In addition to this job difficulty or complexity is also taken into consideration. First of all, the time study observer rates the work on the basis of his workplace of doing a work. This is called a pace rating. After the pace rating is done, an allowance is added to the pace rating to take care of the job difficulty.

The following six factors constitutes difficulty: I) Amount of body used

ii)Foot pedals

iii) Bimanualness

iv) Eye-hand coordination

v) Handling requirements, and

vi) Weight

COMPENSATION

Meaning and Definition

Compensation is an indispensable and most desirable part in every worker's life. It can be defined as the sum of money that an employer pays to an employee for providing his services to the organisation. Compensation determines the lifestyle of employee in the society, his dedication towards the organisation, and his level of motivation

According to **Gary Dessler**, "Compensation means all forms of pay or rewards going to employees and arising from their employment".

According to **Terry Leap**, "Compensation is a broad term pertaining to financial rewards received by persons through their employment relationship with an organisation".

Total Compensation

The total compensation is the annual salary added to the cost of the benefits. A formula for Total Compensation Expense per Employee (TCPE) is as follows:

Compensation per employee = Direct + Indirect financial benefits paid to entire fulltime equivalent workforce calculated on the basis of each full-time equivalent employee

= [(Basic salary / wages + Bonus) + (Other benefits)] / Total labour force

Forms of Pay/Components of Compensation

There are various compensation components which together constitutes a compensation package. These components can be classified as:

- 1) Monetary components, and 2) Non-monetary components.

Monetary Benefit

These are monetary rewards and benefits that employees receive for their services rendered. They cover:

- 1) **Direct Benefits:** Employees receive such benefits at a fixed interval of time. The following are included under direct benefits:

- I) **Basic Salary:** Basic salary is the fundamental component of pay structure. It is the major portion of the employee's compensation. Different components of the wages such as bonuses, premiums, allowances, etc. are determined with the help of basic salary. Seniority and rank are the two factors, which are considered for determining the basic salary. Basic salary is a major issue of discussion during negotiations between management and labour unions. Labour unions demand for increasing basic salary as it affects other benefits of the employees also.

- ii) **Incentives:** An incentive is a very important component of pay structure. It is given in addition to the regular wages. Incentives attract the employees and motivate them to perform better. It also motivates the employees to improve their efficiency and productivity of the organisation.

- iii) **Bonus:** Bonus is the payment which is given to workers as a share of the organisation's profits in a particular year. The profit is expected to be made due to contribution of employer and hard work of the workers. Bonus is paid according to the performance of employees based on certain criteria, which may include their eligibility, performance standards, time span, etc.

Earlier, payment of bonus was just confined for the manual workers, but now they are applicable in almost all types of organisations. Profit-related bonus, attendance bonus, work study related bonuses are some examples of bonus.

iv) **Provident Fund:** Provident fund is the payment which an employee receives after his retirement or when he resigns from the organisation. Both employee and employer contribute equally in the provident fund. The provident fund is mainly given with the objective to secure the future of employees after retirement.

2) **Indirect Benefits:** Any additional benefits (or fringe benefits) received by the employees for their services rendered are referred to as indirect benefits. The following are covered under indirect benefits:

i) **Leave Policy:** Employees are entitled to a certain number of leaves during their period of work in an organisation. Therefore, the leave policy of an organisation makes sure that the employees avail those allotted leaves. These leaves cover the paid leaves which include maternity leaves, sick leaves, statutory pay, casual leaves and so on.

ii) **Overtime Policy:** It is the amount of compensation that an employee receives if he works for extra hours beyond his normal working hours. For example, if the working hours for an employee are 42 hours in a week but if he is working for 48 hours in a week then he has to be paid extra amount for the extra 6 hours he has worked. In case, the employee is working for more than 48 hours in a week, he should be paid at double rate.

iii) **Insurance:** Life insurance and accidental insurance are also provided to the employees by their organisations. In this way, the employees feel valued and get the needed emotional support from their organisations.

iv) **Fixed Medical Allowance:** This allowance is paid to employees at fixed time period at a fixed rate regardless of the actual amount of expenditure done on the medical treatment.

v) **Leave Travel:** This allowance is given to employees for spending holidays with their families. The amount of allowance depends on the designation of the employees.

vi) Conveyance Allowance: It is an allowance which is given to employees to compensate the expenses incurred on the conveyance to perform their duties.

Non-Monetary Benefit:

These benefits are non-financial in nature, but motivate the employees in enhancing their performance. Employees' job satisfaction or the satisfaction from their physical or psychological working environment constitutes the non-monetary benefits. There are different forms of non-monetary benefits which are given below:

- 1) Achievement: The need for competitive success when measured against one's own excellence standard is referred to as the need for achievement. Employees can be rewarded with achievement motivation when they can utilise their abilities and skills in their jobs and are given the opportunity to perform.
- 2) Recognition: Appreciating the employees in terms of their significant contribution to the organisation, personal achievements and effective performance is referred to as recognition. Achievement bonuses which are given to the employees right after they have achieved something can be a form of recognition in monetary terms. However, recognition can be non-monetary as well. For example, a verbal appreciation from the boss to an employee at the appropriate time may be a form of non-monetary recognition
- 3) Responsibility: Increasing the responsibility of the employees in their individual area of work can be a form of motivation. It is a form of intrinsic motivation that comes with the job content. Increasing the responsibility of the employees can be translated to empowering them with the means to fulfil their objectives.
- 4) Influence: Giving employees the opportunity to exercise authority and influence can be a form of motivation. Various involvement policies of the organisation can motivate the employees that will give them a platform to express views and be heard. It can also be regarded as a form of empowering the employees.

5) Personal Growth: It is a unique experience for an individual to grow. During such growth, the capabilities of people expand and they can sense their own development. This enables individuals to make best use of their skill potential or satisfy it at the very least.

External Factors

- 1) Cost of Living: Cost of living is different in different places, regions and countries. In an underdeveloped nation, the cost of living is poor hence wages are low, as they are expected to live with less facilities while on the other hand, a developed nation has higher wages.
- 2) Labour Efficiency: It is also an important factor in determining compensation. If the person is qualified and more competent for the organisation, then obviously he has more value and earns more which is not the case with every employee in the organisation. That is why some employees have more salary package than others.
- 3) Government Regulations: Sometimes, mere bargaining is not enough for an employee to get what he deserves. So, the government has put some regulations which have to be followed during wage determination so that workers can get minimum wages to maintain a good living for themselves and their family members.
- 4) Type of Market: Wages of the workers depend on the type of the market where they are working in. If the market is competitive, the wages of the employees will be uniform in the market and will be good. But if the competition is low and poor, the wages will not be at par.
- 5) Going Rate: The compensation is decided on the basis of the rate that is prevailing in the industry, i.e. the amount the other firms are paying for the same kind of work.
- 6) Productivity: The compensation increases with the increase in the production. Thus, to earn more, the workers need to work on their efficiencies that can be improved by way of factors which are beyond their control. The introduction of new technology, new methods, better management techniques are some of the factors that may result in the better employee performance, thereby resulting in the enhanced productivity.

Establishing Pay Rates

From the employees' point of view, it is natural for them to expect payments after doing their jobs and being appraised for the same. The pay or compensation of every employee must be in line with the overall compensation or pay plan of the company. The overall compensation or pay plan comprises of factors that impact the pay rates as well as the process that establishes these rates.

Total Reward System

Total rewards is an approach to reward management which emphasizes the need to consider all aspects work experience of value to employees, not just few such as pay and employee benefits. It aims to blend financial and non-financial elements of reward into a cohesive whole. The definition of total rewards always sparks debate.

EMPLOYEE BENEFITS

Meaning and Definition:

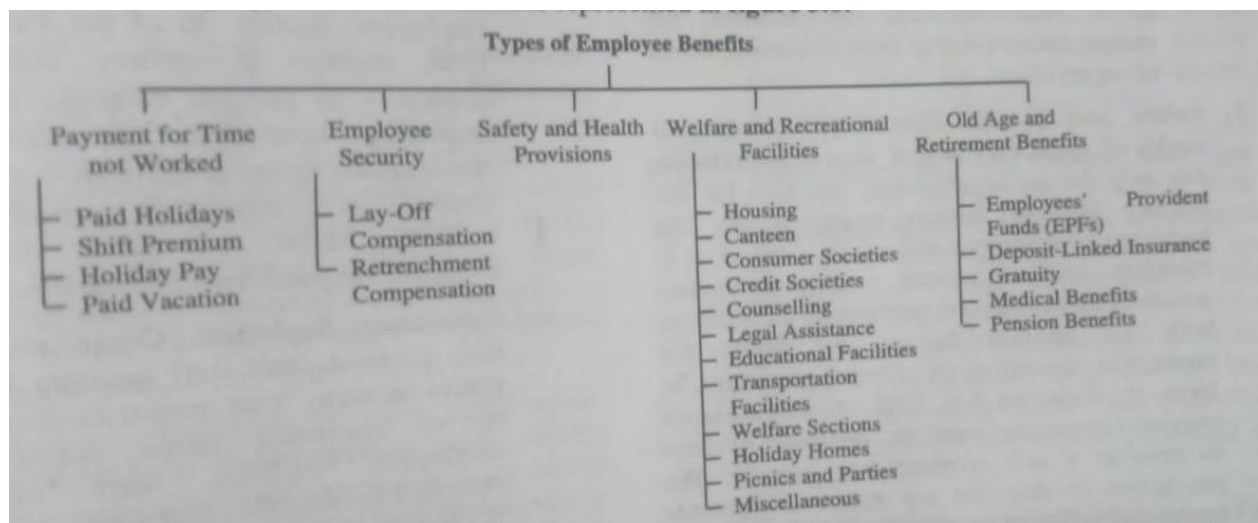
Fringe benefits are also popularly known as ****employee benefits****. This is a supplemental compensation which is paid by an employer to his employee, apart from his direct wages and incentives. These are granted as assistance or additional facilities to employees by the employer either: (a) voluntarily or (b) as a legal requirement or (c) as a part of collective negotiated agreement.

According to **William B. Werther et al.** "Fringe benefits embrace a broad range of benefits and services that employees receive as part of their total compensation packages".

According to **Gary Dessler**, “Fringe benefits are defined as indirect financial and non-financial payments employees receive for continuing their employment with the organisation”.

Types of Employee Benefits

The classification of employee benefits in India is represented in ****figure 3.6****: Types of Employee Benefits



1) **Payment for Time not Worked:** This category includes the following:

I) **Paid Holidays:** The Factories Act, 1948, specifies that an adult worker shall have a weekly paid holiday, most probably on Sunday. A worker who is deprived of weekly holidays is eligible for the number of days equal to the number of holidays he is deprived of in the same month. Some organisations give two paid holidays in a week.

ii) **Shift Premium:** Organisations working in the second and third shifts, compensate by paying a premium to the workers who have worked for the 'odd hours' shift.

iii) **Holiday Pay:** Workers who had worked on paid holidays are paid double the rate of normal salary.

iv) **Paid Vacation:** Workers who have worked for 240 days in a calendar year, in the mining, manufacturing and plantations sectors, are entitled for paid vacation at the rate of one day for every 20 days worked in case of adult workers; and at the rate of one day for every 15 days worked in case of minors.

2) **Employee Security:** A feeling of any type of insecurity disturbs peace of mind and contentment of any individual. It is therefore in the interest of any organisation to ensure security for its employees and their family, both physical and job security. Fringe benefits provide to an employee with a confirmed job induce a feeling of job security in an employee. Also, a confirmed job means the employee has a long-term source of income, which gives a feeling of secured life.

The Industrial Disputes Act, 1947, provides for the payment of compensation in case of lay-off and retrenchment, as follows:

I) **Lay-Off Compensation:** There are instances when management is forced by circumstances to lay off employees. In instances of layoff, employees are entitled to a layoff compensation at the rate of 50% of the total basic wage and dearness allowance for the period of their lay-off, excluding the number of weekly holidays in that period. Payment of lay-off compensation is usually paid up to 45 days in a year.

ii) **Retrenchment Compensation:** It is mandatory for non-seasonal industrial establishments employing 50 or more workers to give one month notice or onemonth wages to all the workers who are retrenched after one year of continuous service. This compensation is paid at the rate of 15 days wage for every completed year of service, with a maximum of 45 days wages in a year. Workers are entitled for compensation even in case of closing down of organisation.

3) **Safety and Health Provisions:** *Safety and health of employees are of utmost importance, not only for an organisation, but also for the country because human resources are the backbone of economic activity of a nation. It is therefore vital to protect employees against accidents and conditions detrimental to health, as both are harmful factors that affect the productive capacity of the affected employees. In India, the Factories Act, 1948, stipulates certain requisites regarding working conditions in order to provide a safe working environment.

4) **Welfare and Recreational Facilities:** General and recreational facilities provided are as follows:

I) **Housing:** A roof over the head is one of the vital requirements for human beings to survive. Lack of adequate housing is a cause of great stress and worry for employees, which adversely affects their work. Therefore, many organisations build quarters near the plant/office for their employees and charge a nominal rent. Some organisations provide and/or arrange for housing loans to employees at nominal interest rates.

ii) **Canteen:** This facility is of great interest to both the management and employees. Availability of good, fresh food at the workplace at affordable rates is important for employees. Section 46 of the Factories Act, 1948, imposes a statutory obligation on employers to provide canteens in factories employing more than 250 workers. Most organisations (even those with less than 250 workers) have voluntarily provided canteen facilities. Meals are made available to employees at subsidised rates in these canteens.

iii) **Consumer Societies:** Organisations with their premises and staff quarters located at places far away from market facilitate setting up of consumer items stores in the employees' colonies.

Such stores are managed by societies and ensure availability of consumer goods at reasonable prices.

iv) **Credit Societies:** These are cooperative credit societies that are formed to make employees self-dependent in matters of loan requirements, instead of being compelled to borrow from moneylenders at high interest rates. Such societies are formed to ensure careful use of money among employees.

v) **Counselling:** Organisations hire services of professional counsellors for resolving personal problems of employees. Employees having personal problems can easily approach these counsellors for advice. Such counselling provides mental peace and comfort to employees, thus promoting punctuality and professionalism and resulting in improvement in habits like absenteeism and absentmindedness.

vi) **Legal Assistance:** Organisations provide legal assistance to employees through lawyers employed by the organisation or by hiring the services of external lawyers.

5) Old Age and Retirement Benefits: These benefits are given to employees to provide financial stability to employees during old age, especially after retirement. Following are such benefits available to employees:

I) **Employees' Provident Funds (EPFs):** In order to make it legally mandatory for organisations to follow certain guidelines with regard to old age and retirement benefits, the Employees' Provident Funds Act was passed in 1952. In the beginning, this Act was made applicable to employees with monthly pay, not exceeding ₹300 in six major industries. However, by the end of the year 1981, with modifications during the intervening period, the Act brought under its purview 172 industries/classes of establishments for the benefit of employees with pay not exceeding ₹1000.

Today the Employees' Provident Fund and Miscellaneous Provisions Act provide for the establishment of Provident Fund, Family Pension Fund (since 1971) and Deposit-Linked Insurance Fund (since 1976).

ii) Deposit-Linked Insurance: The Employees' Deposit-Linked Insurance Scheme, 1976, provides the following benefit: On the death of an employee (during the service) who is a member of the EPF, the person eligible to receive the PF accumulations will be paid an extra amount equal to the average balance in the PF account of the deceased during the preceding 3 years, if such average balance was not below ₹1,000 at any time during the said period. ₹10,000 is the maximum amount of benefit payable under this scheme. Similar to this scheme is a statutory 'Provident Fund Scheme', which also provides pension and 'group insurance' benefits; in addition to provident fund to workers in Assam Tea Plantations. A unique feature of this scheme is the decentralised way in which it is administered at the garden level.

iv) Medical Benefits: This benefit is provided by some large organisations to their retired employees and their family members. Medical services for employees are provided under the Employees' State Insurance Scheme (ESIS). The Employees' State Insurance Act, 1948, has provisions for certain benefits to employees in case of sickness, employment injury and maternity. Initially the Act has been made applicable to all non-seasonal factories.

INDUSTRIAL RELATIONS

DECENT WORKPLACE:

The concept of "decent work" was launched in these terms in 1999, in the Report of the Director-General to the International Labour Conference meeting in its 87th Session. The idea both conveys the broad and varied dimensions associated with work today and encapsulates them in an expression that everyone can appreciate. Decent work is employment that respects the fundamental rights of the human person as well as the rights of workers in terms of conditions of work safety and remuneration respect for the physical and mental integrity of the worker in the exercise of his/her employment.

Decent work is applied to both the formal and informal sector. It must address all kind of jobs, people and families. **According to the International Labour Organization (ILO)** , decent work involves opportunities for work that are productive and deliver a fair income, security in

the workplace and social protection for families, better prospects for personal development and social integration, freedom for people to express their concerns, organise and participate in the decisions that affect their lives and equality of opportunity and treatment for all women and men.

INTERNATIONAL LABOUR ORGANISATION (ILO)

Meaning of ILO

The International Labour Organisation (ILO) came into existence on April 19, 1919 as an independent body. It was established by Versailles Peace Conference as a symbol of human dignity, social justice and universal peace. After the Second World War, all the international associations were dissolved including the parent body of ILO (the League of Nations).

INDUSTRIAL RELATIONS

Meaning and Definition

Industrial relation is known by different names such as industrial relations, labourmanagement relations and labour relations in different places. It is distinguished by prompt changes, industrial

According to **Prof. Dunlop**, “Industrial relations may be defined as the complex of inter-relations among workers, managers and government”.

According to the **ILO**, “Industrial relations deal with either the relationships between the state and the employers’ and workers organisation or the relation between the occupational organisations themselves”.

The Objectives of Industrial Relations

Following are the objectives of industrial relations:

-
- 1) To Protect Worker's and Management's Interest: Protecting the well-being of worker and management by creating excellent understanding and goodwill between the various sections that are responsible for production is the prime objective of industrial relations.
 - 2) To Improve Economic Status of Workers: The aim of industrial relations is to enhance the economic standing of workers by increasing their wages and benefits and by assisting the workers in developing an effective budget.
 - 3) To Regulate Control of Government: Industrial relations handle control of the government of those units that are facing a constant loss or the ones where production is controlled for the benefit of the public.
 - 4) To Ensure Workers' Participation: It aims at giving a chance to the workers to express their views in management and participate in decision-making. It also increases workers' power so that their problems are solved through joint discussion between the workers and management.
 - 5) To Develop and Support Labour Unions: It creates and promotes labour unions so that the worker's strength can be enhanced.
 - 6) To Prevent Industrial Conflicts: Another objective is to reduce the chances of industrial conflicts and cultivate peaceful relations that are vital characteristics of a productive workforce and industrial progress of a nation.
 - 7) To Reduce Strikes and Lockouts: Getting rid of strikes, lock-outs, and gheraos to the maximum extent by granting suitable wages, better life and workplace environment and promised perks and benefits is one of the main objectives of industrial relations.
 - 8) To Sustain Industrial Democracy: Industrial relations also aim to develop and maintain industrial democracy which is based on labour partnership in profit-sharing and decision-making. This enables individuals to develop their personality fully so that they can work for the benefit of the industry, and of course for the nation.

differences, international relations, economic-political principles, functions of ILO, foreign trade agreements and relations, economic and trading policies of power blocks, global culture environment, international labour agreements, etc.

Factors Affecting IR

Following are the factors that affect Industrial relations:

- 1) **Economic Factors:** The structure of economy (socialist, capitalist or mixed) determines the economic factors. The character and composition of workforce, demand and supply of labour, and the association of labour would determine the economic position of the workforce and also the strength of bargaining which affects the industrial relations.
- 2) **Institutional Factors:** Government policy, labour laws, working of labour courts/industrial tribunals, labour unions and employee organisations are the institutional factors. The industrial relation scenario is also affected by religious and social institutions by way of existing value system and by ensuring their compliance,

e.g., gender bias existing in certain industries and countries.

- 3) **Technological Factors:** These factors include methods of modernisation, production, automation, etc. An organisation that is technologically more advanced needs lesser human capital and hence the bargaining power of the employee organisations decreases. Greater progression in “technowledge” and advancement in the proficiency of workers have also introduced a new class of employees called the “knowledge workers” who possess a different set of requirements and goals.
- 4) **Political Factors:** The political factors consist of the political system, political parties and their principles. Industrial relations are affected by the rise and power of political parties and the methods they use while creating policies. In addition to this, since the trade union is much engaged in the formulation of policies, the policies are somewhat biased in favour of the workers.

5) **Social and Cultural Factors:** These factors are about different rules, ethics and principles that exist in a society. In countries like U.S.A., where there is a stable socio-political order, the government encourages a general philosophy of free enterprise, or democratic capitalism. In these types of countries, "collective bargaining" is supported by the law and government involvement. In Scandinavian countries and the U.K., where democratic socialism exists, collective bargaining is the regular model, without the need of the government to get involved.

6) **Organisational Factors:** These factors consist of management style existing in the organisation, its perspective, organisational environment, health of the organisation, degree of competition, flexibility towards change, and diverse HRM policies.

7) **Global Factors:** These factors include global differences, international relations, economic-political principles, functions of ILO, foreign trade agreements and relations, economic and trading policies of power blocks, global culture environment, international labour agreements,

Approaches to Industrial Relations

Approaches of industrial relations are as follows:

1) **Psychological Approach:** The psychological approach views the issues of industrial relations as intensely embedded in the attitude and the perception of the key participants.

****Mason Harie**** studied the impact of perception of an individual on his own behaviour. In his study the behaviour of two dissimilar groups, i.e., "Executives" and the "Union leaders" are analysed with the help of TAT ((Thematic Apperception Test). To conduct the test, a photograph of an ordinary middle-aged person was taken as input, and it was expected from both the groups to give their ratings.

2) **Human Relations Approach:** Elton Mayo was the founder of the human relations approach. This school of thought was later extended by ****Roethlisberger, Whitehead, W.F. Whyte and Homans**** who gave a rational view of the characteristics of industrial conflicts and harmony. This approach emphasises on those policies and methods that can be implemented to

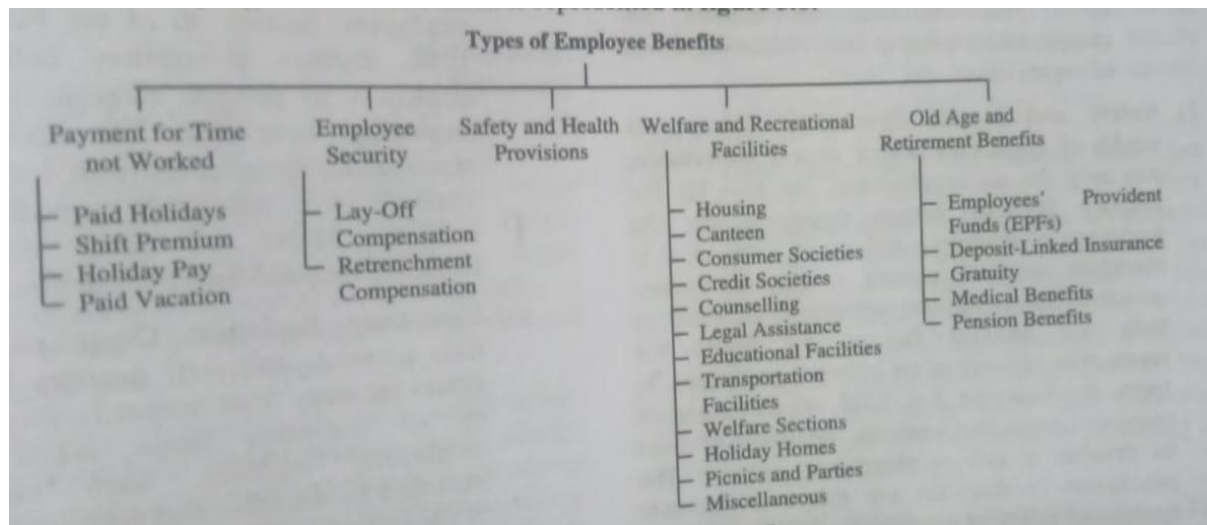
improve the worker's/employee's self-esteem, competence and job satisfaction. It also helps to maintain peaceful relations between labour and management.

3) Sociological Approach: The sociological approach compares the industry to a small social world that comprises of a mix of several individuals and groups having different types of personalities, academic background, family upbringing, feelings, likes and dislikes, as well as other personal factors like attitude, behaviour, etc.

4) Gandhian Approach: Mahatma Gandhi is popular for his contributions towards the development of human being and his beliefs of ahimsa and non-violence which have left a remarkable impression on the world's history. He considered all human beings good and believed that the individuals are not the ones who are responsible for the problems but it is the existence of the wrong systems which has led to several problems in the society. He laid stress on maintaining the dignity of the employees by accepting each individual worker as a human being and emphasised on nonviolent communism.

5) Socio-Ethical Approach: This approach asserts that industrial relations not only have a sociological base but also has some ethical consequences. According to this approach, for maintaining good industrial relations, it is necessary that the labour and the management understand their ethical responsibilities towards good industrial relations. This can only be achieved with the help of mutual cooperation and by developing sensitivity towards each other's issues.

6) Dunlop's Systems Approach: John Dunlop has developed a system approach to industrial relations. According to Dunlop, "An industrial relations system at any one time in its development is regarded as comprised of certain actors, certain contexts, an ideology, which binds the industrial relations system together, and a body of rules created to govern the actors at the workplace and work community".



Module 4

HRM in Small and Medium Enterprises

SMALL AND MEDIUM ENTERPRISES (SMES)

Meaning and Definition of SME's:

Small scale enterprises or small and medium-sized enterprises are companies whose headcount or turnover falls below certain limits. An industry having number of employees and gross revenue less than the specified limits is known as small-scale industry or small- and medium-sized industry.

An industrial undertaking is referred to as a small-scale industry only if its investment in fixed assets like plant and machinery is not more than ₹5crore (in manufacturing organisations) and ₹2crore (in service organisations). No matter, whether the fixed assets are purchased, rented, or are taken on lease. Though, Government can always change these limits.

In the Small and Medium Enterprises (SMEs), booming and rational markets exist for the similar products and processes, and offerings are distinguished on the basis of their value addition, quality, and superiority over competitive products. The multiplicity in demand patterns and manufacturing practices make sure the long-term existence of demand for various technologies, procedures, consumer goods, etc. This unique feature of Indian economy creates co-existence of different products.

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Difference in Adoption of Human Resource Management: SMEs and Large Firms

Until recently, HRM had been seen as irrelevant for smaller entities and there is limited direct research about the HRM practices and policies in SMEs. On the other hand, several studies have covered HRM practices in larger firms which might arguably imply that researchers deem HRM

in SMEs unimportant. It can therefore be stated that HRM is mostly informal in SMEs compared to the more formal employment practices in large corporate entities between the top and the bottom levels, fewer distance and administrators in place to handle HRM issues, and they are less hierarchical. **De Kok et al.***, in a study of 736 family-owned SMEs, found that these family-owned SMEs made less use of professional HRM practices (less formal recruiting, less training, less use of performance appraisal). It should not be assumed that the research findings based on large firms can be directly applied to SMEs; large firms and SMEs differ in significant ways.

1) Size: The size of the business is the obvious difference between a small business and a large business. From office space and number of employees to a number of customers and production levels, everything in a small business is exactly that small. The human resources department of a small business is no different. A typical small business can have between 1 and 5 employees. Working as an HR professional in small business most likely means that one will have other responsibilities in addition to the HR department. Large companies generally have various levels of management, while small companies are mostly flat. Larger companies have more employees who can take on a variety of roles at all levels, including management. Smaller companies simply do not have as many employees available. While large companies may have an HR manager who oversees HR assistants in their day-to-day tasks, a small company may have an HR employee who acts as a manager, assistant, recruiter, and all-in-one professional.

2) Observations and Reflections: As previously reported, the practice of HR in SME firms is unique as compared to what prevails in big enterprises. This uniqueness stems from the SME firm's dependence on the owner-manager's management styles, the small size of the firm and its flexibility in the face of the uncertainty of the operating environment. This uncertainty often leads to informality in the practice of HR given the fact that the owner-manager who at most times is not an HR expert would not be in a position to manage the effect of such uncertainties in the management of human resources stemming from the operating environment.

3) Recruitment Practices: Methods used to recruit employees in SME firms are unique and at variance with methods used in larger firms. SMEs tend to recruit most of their employees from among their close kinship ties and not from the open labour market like large firms. This requires

only a few and unsophisticated HRM competencies thus rendering the whole recruitment exercise ad hoc and informal. This is in contrast to the situation in larger enterprises that are forced to adopt standardised recruitment practices that allow the firm to operate flexibly on the recruitment market. All of these, place high value on the recruited employees, which in turn leads to a sustained competitive advantage for the firm as proposed by Barney in his resource-based view approach to the management of employees in organisations.

4) **Training:** In the discipline of HRM, training is viewed as an essential contributor to the improvement of employee competence. In large firms, training in HR is viewed as an exercise that should be done solely to improve the individual employee's ability to contribute better towards the achievement of the firm's objectives. However, this is not the case in SME firms where, employees are trained according to what best suits their personal interests which at most times is not in tandem with the firm's objectives. As a result, like all HR functions, formal training is less likely to be provided in SMEs as many owner-managers view training in SMEs as inefficient and not contributing to firm objectives.

5) **Responsibilities:** With a small business come a small number of employees. Roles and responsibilities often overlap to get the job done. ****For example****, one could be the HR manager and the assistant to the managing director. One can also be the HR manager and accountant. HR units in small organisations are sometimes forced to play a more reactive role because of the constraints of a small team or, in many cases, a single person, and a business management expert. In other words, not only do one has two positions in the company, but his/her role as an HR manager literally covers all HR tasks, including payroll, benefits administration, staffing, and planning and developing organisational growth.

6) **Resources:** The availability of resources is another difference between small and large companies. It is obvious that small businesses do not generate the same type of revenue as large businesses. For this reason, there are limits to what the HR department can do in terms of employee training, team building and the development of policies and procedures. This does not mean that small businesses are unaware of these key HR areas, but it does mean that they need to approach them differently. If one holds an HR position in a small business, s/he should be

prepared to be creative when it comes to advanced programs to train staff and foster internal growth.

Impact of Weak Adoption of Human Resource Management in SMEs

As a business owner, one has the challenge of taking on different responsibilities on a daily basis. Owners of small and medium enterprises (SMEs) usually have to perform multiple functions, from the accounting of the company to the management of human resources. Whether you are the person in charge of this field or delegate it to someone else, your company may be making several mistakes in adopting weak HRM practices. These errors in Human Resources management can have devastating consequences for the company - from legal actions to high turnover costs. Therefore, it is extremely important that the Owner/HR to make sure that the company avoids these common and often costly mistakes. Following are the types of weak HRM practices adopted by SME's and their impacts:

1) Hiring Wrong People for the Job: Some owners of SMEs, instead of doing external searches to find quality candidates, end up hiring only acquaintances or associates for their vacancies. Maybe it's because you do not have the financial resources and this makes you choose not to do data verification or confirm the references of the candidate to verify the veracity of the information included in his resume, or maybe you simply feel bad for the person and would like to help him get a job. Either way, hiring the wrong candidate can be expensive. Not only will this person not be properly qualified for the position, but HR will also have to replace it in the future, which adds an additional cost to organisation's human resources expenses.

2) Improperly Classifying Employees as Exempt: Paying someone a "salary" does not automatically mean they are exempt and a misclassification can violate laws regarding recordkeeping, minimum wage and overtime. This may result in non-exempt employees not receiving overtime pay they are entitled to. Any of these violations may result in a lawsuit, with

employers frequently unable to justify the reasons for their actions, which leaves them without a defence to the lawsuit.

3) Promoting Workers not fit to Manage People: A good worker does not necessarily mean s/he will be a good manager. The skillsets required to excel in the respective roles are completely different and frankly - not everyone is cut-out to manage people. Yet, these decisions to promote in smaller companies are often made in haste without much regard for skill and fit.

As a result, a promotion that is meant to reward may actually do more harm than good. This is a common mistake small medium business make and it costs them the most over time. At best, the performance of the new manager could suffer without additional training and support to be successful, thus taking the productivity of the team s/he manages down with them. At worst, "bad managers" drive good employees to quit, increase workplace conflict and possibly lawsuits. The impacts of poor management are lasting and the high costs associated are simply undeniable.

4) Lack of Documentation: Smaller companies often make the mistake of not putting things in writing or doing so haphazardly. From policies/procedures, job descriptions, to employment letters and investigations, such documents are often non-existent.

This poses a huge risk. In the absence of complete and objective documentation, employers would be ill-equipped to defend their actions should a complaint arise. It also leaves a gaping hole for different interpretations to surface. This can contribute to confusion, employee disengagement, disagreements, and potentially, invite abuse or even legal complaints at worst. Maintaining good records is not just good practice, it is absolutely essential to protecting company's brand and bottom-line.

4.2.5. Human Resource Management Practices in SMEs: Indian Experience

SME's occupy an important place in the economy of most countries. Globally considered as the nurseries for entrepreneurship and innovation, SMEs produce a diverse range of products to meet the needs of the local and global markets and the national and international value chains. SMEs also contribute significantly to the nations' gross domestic product (GDP) and provide

employment to a large number of people. It is forecasted that the future will be dominated by SMEs in terms of job creation, innovation and new patterns of work. In the last 20 years, research has shown that the strategic use of human resource management (HRM) is likely to be one of the most important determinants of organisational performance. Researchers have built the evidence that links HRM practices with corporate performance.

Likewise, the well managed human resource practices can have a significant impact in performance of small firms. However lack of emphasis on human resources in SMEs has been found to be one of the main reasons for business failures. A recent study by Puplampu suggested that human resource efficiency and performance were the most significant reasons of any SME to be unsuccessful.

The deficiency of systematic HRM research in SMEs may be a consequence of the two assumptions. First, that the small firms are essentially the same as the large firms but on a smaller scale and that what is good for the large firm is good for the small firms too. Thus, the large firms are often considered as the "model" that small firms should seek to emulate.

Secondly, the success of SMEs largely depends upon the enthusiasm, competency, resources and commitment of a single person (owner) around whom the enterprise revolves. Since the owners often involve themselves in doing manual work and taking responsibility for employment matters including the determination of pay, people issues are often taken for granted and managed informally.

Not only has there been lack of formal policies in examining people practices in SMEs, research interest has also been limited. As is indicated, there is deficiency of systematic HRM research in SMEs, a practice which has been bemoaned for long. In the Indian context the field is almost barren.

1) Recruitment & Selection: Employee's relationship with the organisation commences with the recruitment process. Despite its importance, recruiting is often quite problematic for small organisations due to limited financial and material resources, lack of legitimacy as an employer-

of-choice, and the high number of jobs where employees typically perform multiple roles with unclear boundaries and job responsibilities.

Most SME owners were disapproving of the formal approaches to recruitment such as using the job centres or advertising in newspapers. They expressed discomfort in going to any technical institute or school for campus recruitment and preferred internal market or recruiting internally-friends or relatives of existing employees or handpicking them from known acquaintances to get the "right worker". For most employers, 'fitting in' of employees with the culture of SME was an important concern.

In small firms often manager's focus on the match of applicant competencies to general organisation needs rather than to specific job requirements. This involves "aligning the applicant competencies with organisational values and culture rather than aligning basic knowledge, skills, and abilities with minimum qualifications for the job". The role of employees fitting in the organisation as a primary concern echoed. Many owners shared that while they face problems of recruiting people, they are better off without an employee rather than a wrong employee.

2) Compensation: Compensation is a particularly important aspect of people management because it significantly affects recruiting and retention efforts. Further, the compensation and reward system is also an important communication device to nurture and emphasise desired activities and to signal legitimacy to external stakeholders. "Compensation is as per industry practice and most of them paid salary as well as conveyance in case employees needed to travel. There was no guarantee of yearly increment in SMEs".

3) Training: In the new employment era, employability replaces employment security. In such a scenario, when employees no longer expect their employer to guarantee a job or provide an assured career path; training and development opportunities have become an extremely important aspect of an employment relationship, perhaps the best promise employers can give to their staff.

Many small firms pride themselves on providing workers with more hands-on highly interactive learning opportunities and avoiding formalised systems and practices more typical of large

bureaucratic organisations. High attrition rates in SMEs discouraged them from investing in training to employees. SME's are learning schools for workers and staff. People get on the job training. For example, Gujarat is an industrially developed state; these resources are poached by bigger industries.

4) Performance Appraisal: Among the various HR practices, performance management processes in particular has been identified to play a key role, in determining employee-employer expectations. In Indian SMEs, like training, Performance Appraisal (PA) is also owners prerogative and done on the basis of personal impression of the owner manager.

Since there is no formal job design, there is nothing concrete to assess. Employee's assessment was based on perceptions. The owner managers of the current study shared that given the nature of work in SMEs, it was not possible (or feasible) to construct objective measures of employee performance.

Labour Relations: The presence of unions in small firms can have a major impact on HRM practices of firms striving to build a competitive advantage through people, even for small ventures. In India, many SMEs have been able to unionise themselves through their tenacity and determination or political support, but with the general decline in the incidence of unionism at the global level, including in India, unionisation is now becoming more and more difficult.

Like SMEs in the West, Indian SMEs begin to formalise people management processes-viz recruitment, training, appraisal, compensation and labour relations. Managing people issues is a low priority and informal relations play a large part in the day-to-day running of the firm, however.

4.2.6. Factors Influencing the Adoption of Human Resources Management Practices in SMEs

HRM practices in SMEs are regularly cited as being informal, reactive and with a lack of formalisation in the management of HR issues. Employment relations in SMEs are based on unwritten customs and the tacit understandings that arise from the interaction of the panics at work. This close working proximity and mutual dependence tends to lead to informal

accommodation and flexibility. In a large number of SMEs there is no formal HR function (Departments) and owners/managers carry out these duties in an ad hoc, reactive fashion. SME owners and managers were largely ignorant of legislation and employees had a low level of awareness of their legal rights and were reluctant to exercise their employment rights due to job insecurity. However, while HRM is more commonly associated with larger enterprises, HRM ideals and practices are equally relevant to the management of employees in smaller enterprises, particularly those facing growth in competitive markets. In this respect, it is critical to understand the factors that influence the application of HRM in SMEs.

The extent to which HR interventions are prevalent within an organisation is very much subjective and dependent on a number of factors. There are various types of influences in the extent to which a SME may adopt HRM practices:

1) Supply Chain Relationship or Relationship between Organisation and Large

Customers: One factor having a large influence on the adoption of HRM practices within SMEs is the supply chain relationship or the relationship that the organisation has with large customers. Networking, or collaboration, with other organisations may influence SMEs or provide them with knowledge on HRM practices. A SME as part of a franchise may be required to

HRM IN SERVICES SECTOR

Introduction

The service sector has established itself in the world economy as an essential action leading to social as well as economic development of any nation. It is characterised by higher productivity, employment and growth rate. It is also one of the largest sectors of the world economy. As per its contribution in the national income and job creation, service industry is the largest and most dynamic segment of Indian economy. Different services like banking, finance, real estate, transportation, communication, social and communal service, etc., are facilitated by this sector. The products, of service sector are of intangible nature, which include services such as communication, transportation, warehousing, etc. Workers or employees in this sector are focused to develop services and not products.

For example, teaching, consultancy, banking, nursing, etc., are the products of service sector.

Service sector provides ample amount of opportunities for the economic development and improvement of well-being of the members of the society. Investors have numerous investment opportunities in service sector. Large employment opportunities can be generated by service sector which may cause increment in the per capita income of the nation. In the absence of service sector, Indian economy might not have been able to attain the current global position.

Emergence of Service Sector/Economy

The emergence/evolution of the service sector has taken place through several phases. These are the pre-industrial phase, the industrial phase and the post-industrial phase. During the pre-industrial phase, the households were a prominent part of services which was later on taken over by the manufacturing processes and factories during the industrial phase. Therefore, it was during the post-industrial phase that the service economy gained recognition which included high-speed growth in sectors like banking, insurance, real estate, higher education, utilities and transportation.

The stages of service economy are described below:

1) Pre-Industrial Stage: During the pre-industrial phase, the physical efforts of the labour force were used in sectors like fishing, mining and agriculture. Nature shaped the flow and pattern of life. Natural elements like water, weather and soil conditioned the life of people at that time. The speed of work was dependent on the seasons. There was negligible usage of technology which resulted in low productivity. Hence, this phase was characterised by high underemployment (the situation where workers are not utilised to their full capacity) which was mainly due to a large population and low productivity. Agriculture was the main activity during this phase and the societies were organised around authority, tradition and routine.

2) Industrial Stage: Industrial revolution era was the name given to the period between the eighteenth and nineteenth century. During that period, a lot of inventions took place particularly in the nations of Europe, in terms of new technologies, scientific discoveries, modes of transportation etc. Production of goods was the main activity during this phase. Major emphasis

was on producing more using fewer resources. An increased use of machines and energy was witnessed during this stage which not only increased the output but also gave a structure to the operations. The machines were operated by workers and work was carried on within the factory premises. The fixed working hours alongwith the machines and equipment determined the pace of life. The number of goods produced was used to decide the standard of living of people. Moreover, huge hierarchal and bureaucratic organisations can be developed on the basis of complexity of coordinating the distribution and production of goods. The members of such organisations were considered as things and specific (and impersonal) roles were assigned to them.

3) Post-Industrial Stage: In the post-industrial stage, services like education, health and recreation are used to determine the standard of living of the people. Information is crucial in this phase. Therefore, instead of physical strength or energy, a professional or expert is considered significant in this phase mainly because he/she is the source of information. Many industries were developed after the 19th century. It also witnessed an increase in the income of people. This resulted in people becoming more materialistic as their demand for services like education, health and entertainment started rising.

According to Ernst Engel, "As family incomes increase, the percentage spent on food and durables drops while consumption of services that reflect a desire for a more enriched life increases correspondingly". This can be compared to Maslow's Need Hierarchy Theory which arranges the different types of needs in a hierarchal order and states that people aim for satisfying their next level of needs only after fulfilling the preceding level of needs.

Implications for Human Resource Management Function

There can be both positive and negative impact of human resource management:

1) Positive Impact: The importance of the human resource in service though is difficult to be assessed, can be seen from the following contribution one makes to the service:

i) Customer Pull and Maintenance: The service employees provide such services to the customers after understanding their needs that the service customer is satisfied about the service

rendered and he comes back to the organisation time and again. Customers enjoy the best services due to the diligence and dedication of the employees to their organisation. The customers speak well about the organisation because of them, and hence they contribute in terms of attracting new customers. In case a visiting customer is not properly attended to by these employees, he may never return to the organisation again, thus the organisation in such cases loses revenue. Employees have rightly been specified as the third leg of the total quality management efforts of the services organisation, the other two being design and technology. The services company can achieve excellence when all three are integrated.

ii) Building the Corporate Image: Employees are the first ambassadors of the organisation, who propagate the mission, vision, and the objectives of the organisation to the customers and the public. Human resource in many companies have been going beyond the call of normal duties to render better services to their internal customers in order to generate a positive goodwill about the company. Such companies, who take care of the financial, cerebral, and other emotional needs of their employees, develop living ambassadors for themselves and they do not have to depend upon other means of advertising for effective promotions about the efficacy of their products and services.

iii) Sustained Organisational Performance: The technical resource that is more precision-driven can be taken care of by the use of technology and specific machinery. It is the human resource that poses many challenges to the managers and leaders as they are more emotion and knowledge-driven. One noticed that the third level of gap in the Gap Model refers to the gap between the services standards set by the service company and the service delivery system to deliver the expected quality of service.

The service delivery system besides being technical is largely driven by the people involved in the delivery of the services. These people continuously keep on delivering their best to the organisation, despite the fact that they may have their personal problems. They are well-aware that their service customers cannot do without their services. That is why one has all the flights running, all the restaurants offering food on time, and other services to their customers. The hotel guests get their needs attended to in time. The hospital operation rooms run on time. The other

consumers or passengers or other life-saving services keep the life running for common people all over the world.

2) Negative Impact: Service sector in India which consists of a wide variety of services such as electricity and water supply, road, rail and air transport, hospitals, police, postal department, call centers, etc., is a real challenge for HRM. Some of the widely known ills of this sector are as under:

- i) An individual is required to pay multiple visits and meet several officials to get his grievance redressed.
- ii) Corruption is a serious problem. Offering and demanding speed money is a common feature.
- iii) Services are mostly unreliable with regard to waiting time, delivery time, accuracy, completeness, etc. They are also qualitatively poor in accessibility, responsiveness, courtesy, comfort, hygiene, etc.
- iv) There are cumbersome regulations, overlapping jurisdictions and lack of coordination.
- v) There is shortage of skilled manpower supplemented by poor infrastructure.
- vi) Many age-old good practices are being given up. For example, a number of low-cost airlines recently started in the country are reported to have given up the practice of stationing a fire-fighter with a hose pointing at the engine of the aircraft when it lands or briefing pilots about the weather or stationing doctors at airports.

4.3.4. Need for HRM in Different Industries of Service Sector

Following is a brief account of some specific industries and their need for HRM in the service sector:

1) Telecommunication: A major chunk of employees in this industry consists of people who work at the frontline level as operators for services like directory enquiry, trunk call assistance, line-men and fault repair attendants, accountants for billing related complaints and so on. HRM initiatives are needed:

- i) To motivate these people to be courteous and responsive to customer needs;
- ii) To empower these people to take certain decisions (such as making credit adjustments in

incorrect billings) at their own level without consulting superiors for approvals;

iii) To encourage these people to give feedback to higher levels;

iv) To reward these people for suggesting ways of simplifying procedures, rules and regulations;

Difference between Service Sector and Manufacturing Sector

Basis of Difference	Service Sector	Manufacturing Sector
1) Tangibility of output	The output of a service firm, such as consultancy, training or maintenance, for example, is intangible.	Manufacturers produce physical goods that customers can see and touch.
2) Production on Demand	Service firms, unlike manufacturers, do not hold inventory; they create a service when a client requires it.	Manufacturers produce goods for stock, with inventory levels aligned to forecasts of market demand. Some manufacturers maintain minimum stock levels, relying on the accuracy of demand forecasts and their production capacity to meet demand on a just-in-time basis. Inventory also represents a cost for a manufacturing organisation.
3) Customer Specific Production	Service firms/sector does not produce a service unless a customer requires it, although they design and develop the scope and	Manufacturing sector can produce goods without a customer order or forecast of customer demand. However,

	content of services in advance of any orders. Service firms generally produce a service tailored to customers' needs, such as 12 hours of design and 10 hours of installation.	producing goods that do not meet market needs is a poor strategy.
4) Labour Requirements and Automated Processes	A service firm recruits people with specific knowledge and skills in the service disciplines that it offers. Service delivery is labour intensive and cannot be easily automated, although knowledge management systems enable a degree of knowledge capture and sharing.	Manufacturers can automate many of their production processes to reduce their labour requirements, although some manufacturing organisations are labour intensive, particularly in countries where labour costs are low.
5) Physical Production Location	Service firms do not require a physical production site. The people creating and delivering the service can be located anywhere. For example, global firms such as consultants Deloitte use communication networks to access the most appropriate service skills and knowledge from offices around the world.	Manufacturers must have a physical location for their production and stock holding operations. Production does not necessarily take place on the manufacturer's own site; it can take place at any point in the supply chain.
6) Example	Service sector include IT, communication, transport, tourism etc.	Manufacturing sectors include mining, automobile, construction

Human Resource Management and Service Quality Correlation

Good customer service states on essence of any service business whereby responsibility of employees is to meets the taste and satisfaction of prospective and retained customers whereby service rendered will influence customer perceptions of service quality. Service quality is an intensive assessment that shows customer's observation of specific service dimensions, namely responsiveness, assurance, tangibility empathy and reliability. Service quality is judgment of service delivery upon service encounters while human and technical factors are considered as a factor in improved quality of service in an organisation and application of quality management practices in manufacturing sectors is necessary for the provision of better service to the customers.

Table 4.1: Comparison of Societies

Features Society	Game	Pre-dominant Activity	Use of Human Labour	Unit of Social Life	Standard of Living Measure	Structure	Technology
Pre-Industrial	Against nature	Mining and Agriculture	Physical efforts	Extended household	Subsistence	Authoritative Traditional	Simple tools
Industrial	Against fabricated nature	Production of goods	Machine tending	Individual	Amount of goods	Hierarchical Bureaucratic	Machines
Post-Industrial	Among persons and individuals	Services	Intellectual Creative Artistic	Community	Quality of life with regards to education, recreation and health	Global and Inter- dependent	Information

Staff motivation and improved service quality necessitate dynamic human resource management (HRM) practices and improved service climate. Human resources management practices directly affect overall service quality in terms of customer base, customer retention, overall profit, productivity and risk improvement to the customers. Following are the five construct of human resources management practice that have great values on service quality due to the fact that adoption of these principles serve as determinants towards customers perceived satisfaction and expected satisfaction of the desired performance of the organisation.

Advanced Recruitment and Selection System

A cultured, valid and innovative recruitment and selection system aids in identifying the right applicant with prospect to perform. A rigorous selection system creates high expectations of performance, a sense of elitism, and also delivers key reports on the people to the organisation. The disparity between the applicant and the employment can hinder performance levels, whereas

a cultured selection system can ensure a better fit between the applicant's abilities and the insurance company requirement and it is positively related to organisational performance.

Training and Development System

Current employees can be developed and enhanced by companies through provision of qualitative and comprehensive training and development program in the organisation. Investments on staff training and development in interpersonal relations, problem-solving, teamwork and independency will result in great benefits on strategic performance of the organisation. This system is vital, encourages staff to add value, more responsible and concern on their self-development like adopting new skills through workshop or seminar. A well-planned training & development system will result in high motivation among staff which will also have an impact on organisation performance.

Performance Appraisal System

This is appraisal mechanisms adopted by an organisation in assessing the staff development, attitudes, action and performance in the course of their duties. This mechanism can also proffer solution to laziness, idleness; add more values to sensitive and systemic staff as individual, totality of staffs which will aids organisational performance. Though, the skilled and hardworking staffs will be limited unless there is motivation for their performance on the job, which other members of staff will imitate their attitude and to compete prior next appraisal.

Reward and Compensation System

This is the overall of all monetary and non-monetary benefits available to staff as an exchange for their ability to exhibit their skills to an organisation. The monetary benefit is the compensation for service rendered as a means of exhibiting their skill to the organisation like salaries, wages, commission and also invisible monetary benefits like group insurance, access to company product, disability insurance. While non-monetary benefits are a welfare package that will make an organisation suitable for staff in work environment. Staff can also be compensated or rewards for performance within the Annual appraisal for achieving certain goals.

Health and Safety System

This is fundamental to wellbeing of staff in all organisation, the development of this system

create confidants and motivations to staffs whereby instead of seeking health service from public hospital, they prefer to use health insurance schemes of their company. This is another HRM practice that states the management's intention on care, security, welfare and protection of their staffs from risk and hazards at work and medical facilities. It makes provision for Staff safety, customers in the office premises and role of staff, team leaders and managers in implementation of health and safety measures and compliance with safety legislation.

TRADE UNIONS IN SERVICE SECTOR

Meaning and Definition of Trade Unions

To represent their goals and interests in better manner, the employees can join an organisation which is called Trade Union (TU). For this, the employees pay an annual fee and in response to it their interest are powerfully represented. This is more effective than negotiating for such rights with the employer on individual basis. Trade unions are formed when workers join together. These are also known as organisation of workers against the management. Such unions help and support the workers a lot.

The work of all the workers is affected by their working age, education, family, social background, psychological factors, skills, culture, attitude towards work of others,

According to Lester, "A trade union is an association of employees designed, primarily to maintain or improve the condition of employment of its members".

According to Webbs, "A trade union is a continuous association of wage earners for the purpose of maintaining and improving the conditions of their working lives".

According to Flippo, "A trade union is a worker's organisation which is established by their collective activities to the welfare of the members in social, economic and potential interests and to keep them secured and for improvement in it".

Reasons for Employees to Join Trade Unions

Employees join trade unions due to the following reasons:

1) Increased Bargaining Power: It is a well-known fact that an individual employee has very little power of negotiations in comparison to his employers. And if an employee is dissatisfied with the terms and conditions of the job, i.e., salary and working hours, he may leave the job. But, practically it is not feasible for an employee to switch jobs repeatedly due to dissatisfaction with a company. Such situation may cause financial as well as emotional problem for an employee. The better option for him is to join a trade union which can take an appropriate action against the management of the concerned company. Threatening or actually going on a strike is an effective method that may lead the management to agree to the employees' conditions and put consent to it.

2) Minimal Discrimination: Promotion decisions, transfer decisions, salary determination, etc., are such decisions which are entirely dependent on the personal perspectives, feelings, opinions, or understanding of the manager. Hence, superior-subordinate relationship may play a crucial role in it. The chances of partiality and biasness may also crop-up. In such a scenario, the role of trade unions becomes very much important as they can force the management to frame the personnel policies in order to ensure the parity among the workers. Also, the decisions related to labourers taken by the top management are closely monitored by the labour unions. All this can reduce the scope for partiality and biasness in the organisation.

3) Security and Other Benefits: After joining a trade union, employees feel secured and this is the reason why employees join trade union. They feel protected from several workplace hazards as well as issues related to salary and other benefits, e.g., injury, workplace accidents, sickness, etc. Trade union also forces the management to invest in employee welfare services such as retirement benefits, health insurance, etc.

4) Increased Involvement: If the employees join trade unions they can actively take part in the management of those matters which are related to their well-being and interest. In this way, they can also impact the decisions which are taken by the management through collective bargaining between the management and the trade union.

5) Peer Pressure and Added Respect: Many employees join trade unions due to the only reason that many of their colleagues are members of it. Sometimes an employee joins a trade union

under the peer pressure and if he does not do so he finds it difficult to do his routine work. The workers or employees who are already the members of the trade union are given great respect by their colleagues. Another factor which cultivates the sense of belongingness among union members is that they can discuss their grievances with the leaders of trade union.

6) Employees can Express Themselves: To get a proper chance or opportunity for expressing oneself remains the top most wish of many people. Every person wishes to share his feelings, opinions, thoughts, and ideas with others. In the same way they want that the management should also listen to

Models of Union Strategies

Following are two models of union strategies:

1) Organising Model: The 'organising model' is a term frequently used in current debates about how trade unions can increase membership and influence. However, it is generally used in a nebulous manner and without adequate definition. Organising is upheld as the means to 'rebuild union power and reverse membership decline to build and democratise unions to counter neo-liberal attacks on workers and to retaliate on the 'war against unions'. Organising is a system of unionising workers so that that they are 'empowered to define and pursue their own interests through the medium of collective organisation'. Organising requires a union building approach in which the union fosters activism, leadership and organisation amongst workers which can provide a nucleus from which recruitment and organisation building can occur. Organising model relates to the "transformation of unions into dynamic organisations, where members become active participants rather than passive consumers".

Early Stage	Intermediate Stage	Advanced Stage
Planning/making contacts (attracting potential members)	Training/education	Developing other campaigns

Identify leaders/organisers	Developing campaign	Managing leader/organiser performance
Build workplace group	Linking workplace groups	Linking workplace groups with external groups

4.2: Stages in Organising

2) Servicing Model: The service model (or servicing model) generally describes an approach whereby labour unions aim to satisfy member's demands for resolving grievances and securing benefits through methods other than direct grassroots-oriented pressure on employers. It is often contrasted to the organising model, and to rank and file organisation. 'Union servicing' is characterised by membership passivity and non-participation in the structures of the union (at any level) with employed union officials or full time activists carrying out all representational and bargaining functions for members at a distance. Under the servicing model, organisers are the focus of attention, the union and the membership look to them to produce results, and they are the ones that receive most resourcing and support. Union members have a 'transactional' worldview whereby organisers deliver 'services' to members in exchange for 'fees'. 'Grievance work' takes up the bulk of organiser's time and resources and it is organisers who pressure management to alter its behaviour.

Organising Model Vs. Service Model

	Organizing Model	Service (or Business Model)
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Attitude toward employer	Defending members is most important.	Good relationship with management is most important.
Attitude toward members	Inclusive. Tries to reflect workforce in composition of union leadership.	Exclusive. Little turnover in leadership. Suspicious of newcomers.
Grievance Handling	Tries to involve all members in the department.	Tries to settle without involvement of members.
Settling Grievances	Make immediate supervisor settle by showing solidarity of workers.	Settle at highest level with company or through arbitration.
Bargaining	Barge bargaining committee, constant flow of information to members.	Small committee, negotiations often kept secret until a settlement is reached.
Strategy and Tactics	Encourage initiative and creativity of members.	Reluctant to involve members in bringing pressure on employer.
Organizing the unorganized	Union represents all workers-organized and unorganized. In a constant state of organizing.	Unwilling and unable to organize. Feels threatened by newly organized.

Members View of the union	Take personal responsibility for success or failure of the union.	An insurance policy or a "third party" to call on when they have a problem.
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Chapter 5

HRM & INNOVATION

Introduction

'Innovation' refers to the ability of a person to develop something new based on his acquired knowledge. Here, 'something new' means it should be totally different from all the other existing things. Innovation plays a crucial role in almost every phase of life. It is usually related to various areas like business, technology or engineering and it can even be applied on a personal level. One of the key functions of innovation is problem solving.

An entrepreneur needs to be creative in order to innovate. Innovation is considered as an important function in the process of entrepreneurship. Thus, it can be concluded that creativity is a preliminary requisite of innovation. It is very important and challenging to manage the innovation process. It is important because it provides business opportunities to the entrepreneurs, and is challenging, as it contains a number of elements in its process. Therefore, for the success and survival of any business enterprise it is crucial to effectively manage the R&D and innovation practices. There are different approaches which are used by the companies depending on the size and type of business.

Innovation management is a part of top management of the company. It is the main source to integrate innovation with the corporate structure. According to the definition, this is related to the "development, introduction and, as the case may be, implementation and enforcement of technical and social technical initiatives of the management of the business". In a common sense, innovation is a process through which entrepreneurs recognise business opportunities from the external environment and convert them into products or services in order to make profit.

Types of Innovation

The types of innovation are as follows:

- 1) Product Innovation: Product innovation refers to the development of new products or

improvement/upgradation in the existing products. For example, latest versions of mobile phones, new car models, etc.

2) Process Innovation: Under this type of innovation, a certain part of the process is refined or improved for gaining benefit, e.g., just-in-time.

3) Paradigm Innovation: This type of innovation takes place when alterations occur due to significant changes in human thinking. For example, while the period of expensive mainframe, Bill Gates and others tried to offer a home computer for every household.

4) Radical Innovation: Radical innovation is a crucial breakthrough resulting from a technological invention that recompenses the entire industry. For example, today's computer industry is far more evolved than it was a few years ago. This is due to invention of micro-chips which has changed the industry based on large-sized processors to small-sized chip-based computer systems with advanced data processing.

5) Systems Innovation: Systems innovation develops a new functionality by assembling parts in new and improved ways. For example, evolution of automobile engines was a type of radical innovation which got transformed into system innovation when integrated with bicycles to invent new two-wheelers.

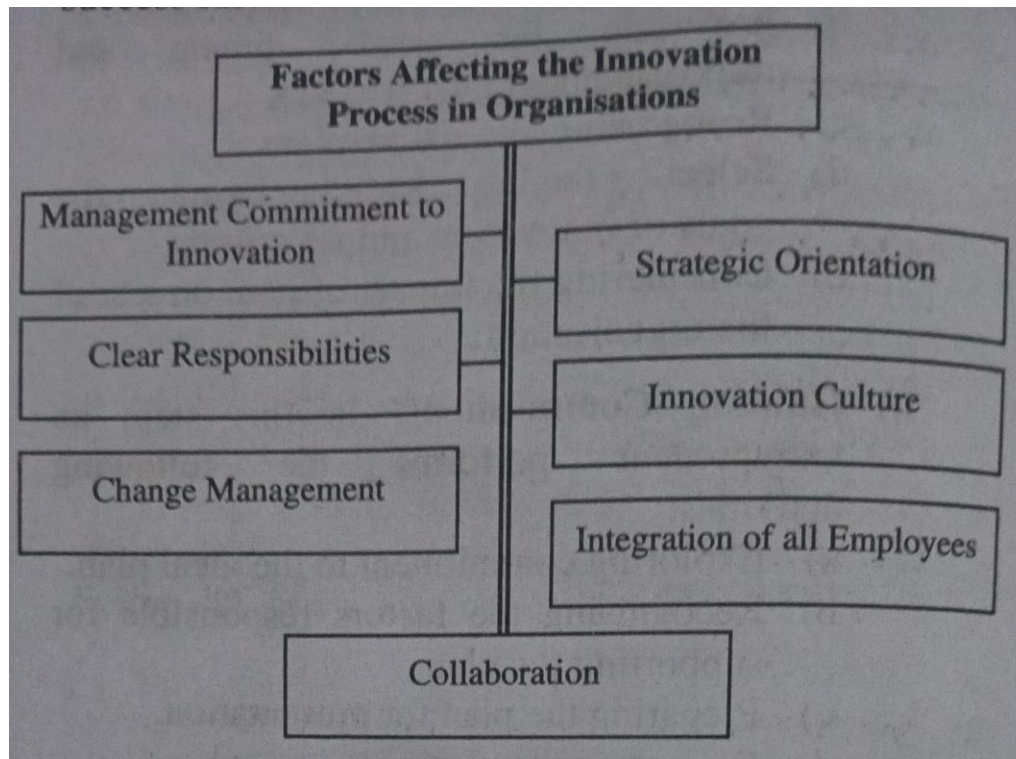
6) Incremental Innovation: It is an extension of radical and systems innovation which brings technical improvement and compels firms to steadily enhance their products and services. Under incremental innovation, both creativity and innovation are usually planned strategically.

7) Additive Innovation: This type of innovation makes optimum utilisation of available resources including product line extensions which assist in attaining better outcomes. Firms adopting

Factors Affecting the Innovation Process in Organisations

Companies expect great challenges, especially in the introduction of innovation management. If fundamental mistakes are made here or if important decisions are missed, this can cause

problems throughout the entire process. Therefore, organisations must pay attention to the following success factors in all cases



1) Management Commitment to Innovation: Management commitment is one of the most important success factors in innovation management. In the absence of corporate management support, innovation leaders will waste their time fighting against windmills. The commitment of all managers, from top to bottom, is the basis of the innovation process. This is because it secures the necessary support for innovations that are now happening outside of the day-to-day business (where a company earns the money) from all areas. Support, time and budgets are necessary fuels for the success of innovation, which can only be achieved through commitment to innovation.

2) Strategic Orientation: If the strategic orientation of innovation activities is lacking, there is a lack of goal, path and orientation. This makes it difficult for those in charge of innovation to assess where and what to look for, which innovation topics have priority and thus difficult to make the right decisions. Therefore, the innovation strategy must be defined on the basis of future trends, opportunities, risks and challenges as well as the corporate strategy:

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- i) What is the purpose of innovation and what do we want to achieve in the future?
 - ii) What is the contribution of innovation to corporate strategy?
 - iii) What are our future topics and search fields?

Based on these answers, the innovation vision, its strategy and the innovation roadmap emerge. These elements are the basis of all innovation activities, be it the development of ideas, the prioritization of innovation projects or decisions in projects.

3) Clear Responsibilities: The innovation process is a highly interdisciplinary process and requires the involvement of many functional areas and employees in order to successfully implement a new product or service idea. It is therefore necessary to clearly define what is expected of the employees. Above all, it is also about defining the roles in the innovation process. For example, the tasks of sales, production, purchasing, etc. in innovation projects are clearly defined with regard to their contribution to the success of innovation. In addition, the project roles are defined in individual innovation projects and must be perceived with commitment. This includes, for example, the role of the project manager, the project town councillor and the important project team members.

4) Innovation Culture: Innovations require completely different structures and cultures in comparison to operative management and work. Operational business is built on routine and efficiency, while innovation is always about innovation. This requires different values and attitudes, for example openness to try out new and new things, willingness to take risks, thinking across borders, accepting mistakes and much more. Therefore, a company must build up a positive innovation culture where innovations are welcome and encouraged. Measures to promote a culture of innovation are implemented at various levels:

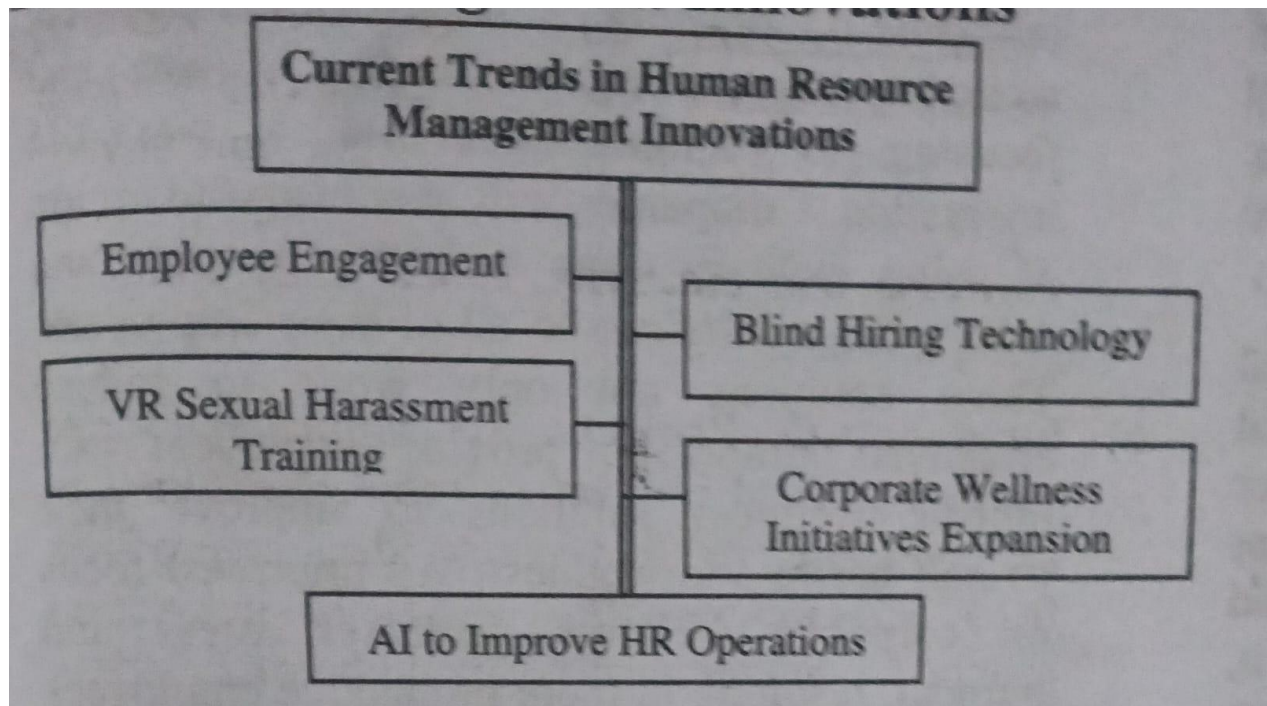
- i) Raising employee awareness of innovation, e.g. through communication measures.
- ii) Motivation, e. g. incentives for promoting innovation.
- iii) Empowerment of employees for innovation, e. g. training courses on creativity and the innovation process.
- iv) Active involvement of employees, e. g. through innovation competitions.
- v) Creation of spaces and structures for innovation, e. g. flat hierarchies, freedom and resources.

5) Change Management: The introduction of innovation management requires a change and also the implementation of innovations themselves necessitate changes. These changes can only become effective if they are supported by all employees themselves and if the workforce itself actively changes. Therefore, change management itself is an extremely important tool and belongs to the repertoire of every innovation manager. Innovations put a company into continuous change and therefore it requires a conscious and constant management of these changes in order to take all employees on the journey.

6) Integration of all Employees: Innovation is not something that only a limited, elitist circle of employees does or is even boosted by the innovation manager. Innovation must be actively initiated and supported by all employees. That is why the innovation manager must involve all employees in a targeted manner.

On the one hand, this includes awareness-raising measures to inspire and motivate all employees for innovation, but also structural measures for active involvement, such as pitching contests, innovation competitions or classic idea management. Innovation must become a permanent initiative that is supported and actively shaped by all employees.

7) Collaboration: Cooperation is an essential success factor in innovation processes and projects. Innovations always happen in interdisciplinary teams and require the cooperation of many employees. It is important, however, that everyone pulls together and pursues a common goal. Otherwise, different demands lead to silos, lack of cooperation and support or problems at the interfaces, which in the end can seriously slow down an innovation project or even cause it to fail.



1) Employee Engagement: Employee engagement is the level of an employee's emotional connection, involvement, and commitment to their organisation. When employees feel valued—their dedication and enthusiasm for their jobs, coworkers, and companies grow. This, in turn, increases employee retention, performance, and productivity. As research shows time and time again, companies suffer when employee engagement is low. Recently a surveyed conducted on both HR and non-HR employees to get a pulse on employee engagement.

Researchers wanted to know if employees feel differently about engagement based on their role in the company; either they are making the decisions around engagement initiatives (HR employees) or, they are working in any other field or department (non-HR employees) with no real say over how their company attempts to engage them. Eighty percent of HR employees surveyed found that using HR technologies improved employee attitude toward the company. Meanwhile, 57% of HR employees strongly agree that employee engagement initiatives will help their company retain productive staff. The majority of employees surveyed overall believe that employee engagement is important for a thriving company culture. When employees are engaged, everyone wins.

And yet, there remains a disconnect between who at a company is feeling engaged. HR professionals claim to provide engagement initiatives but many non-HR employees remain unconvinced that their companies are using these solutions, or that they will help.

HR departments, teams, and personnel oversee and deliver comprehensive employee engagement programs that run the gamut from recruiting through off boarding. Increasingly, HR personnel will turn to employee engagement solutions to improve engagement and increase retention. The challenge will be in deciding which solutions will most benefit their employees, company, and culture. There are many options for improving employee engagement. HR personnel can use employee engagement software to solicit and track feedback from their employees, recognize employee achievements, and promote positive activity. These tools draw actionable insights from employee feedback essential for improving engagement.

2) Blind Hiring Technology: The focus on increasing diversity to improve company-wide performance and workplace culture is already on the rise. An HR survey by Harvey Nash found that organisations are increasingly expanding diversity hiring goals to focus on inclusion around gender, ethnicity, culture, age, and LGBT-identifying individuals.

And according to research from namely, these initiatives are translating into real actionable results for employees. In 2019, 7% of companies allowed employees to select preferred pronouns. That number is expected to grow as more companies embrace diversity and inclusion initiatives.

And yet, implicit, or unconscious, bias is still prevalent throughout the resume screening process. In a recent resume audit study, researchers identified pervasive racial discrimination throughout the resume screening process. They found that resumes with "white-sounding" names were 75% more likely to get an interview request than identical resumes with Asian names, and 50% more likely to get an interview request than identical resumes with "black-sounding" names. Meanwhile, resumes with traditionally male names were 40% more likely to get an interview request than identical resumes with "female-sounding" names.

Although the study itself is slightly hindered, as it suggests that race and gender are locked into a predefined selection of names, it illustrates how unconscious bias might play out in the hiring process. Now just think of the more insidious ways implicit bias affects recruiting, hiring, interviewing, pay equity, career development, and the like.

To reduce the prevalence of sexism, racism, ageism, and classism during the hiring process, HR personnel can implement a variety of recruiting, applicant screening, interviewing, and assessment tools. There are an ever growing number and variety of these solutions available to companies today.

3) VR Sexual Harassment Training: Sexual harassment is defined as any unwelcome sexual advances, requests for sexual favours, or other physical or verbal misconduct. Sexual harassment training, as HR departments have deployed it, and managers and employees have experienced it, does not work. Sexual harassment training has historically been provided in person, or in the form of computer based training (CBT) which includes text, slideshow, and video learning. These methods of training do not actually reduce sexual harassment incidents but walking a mile in the victim's shoes might do the trick.

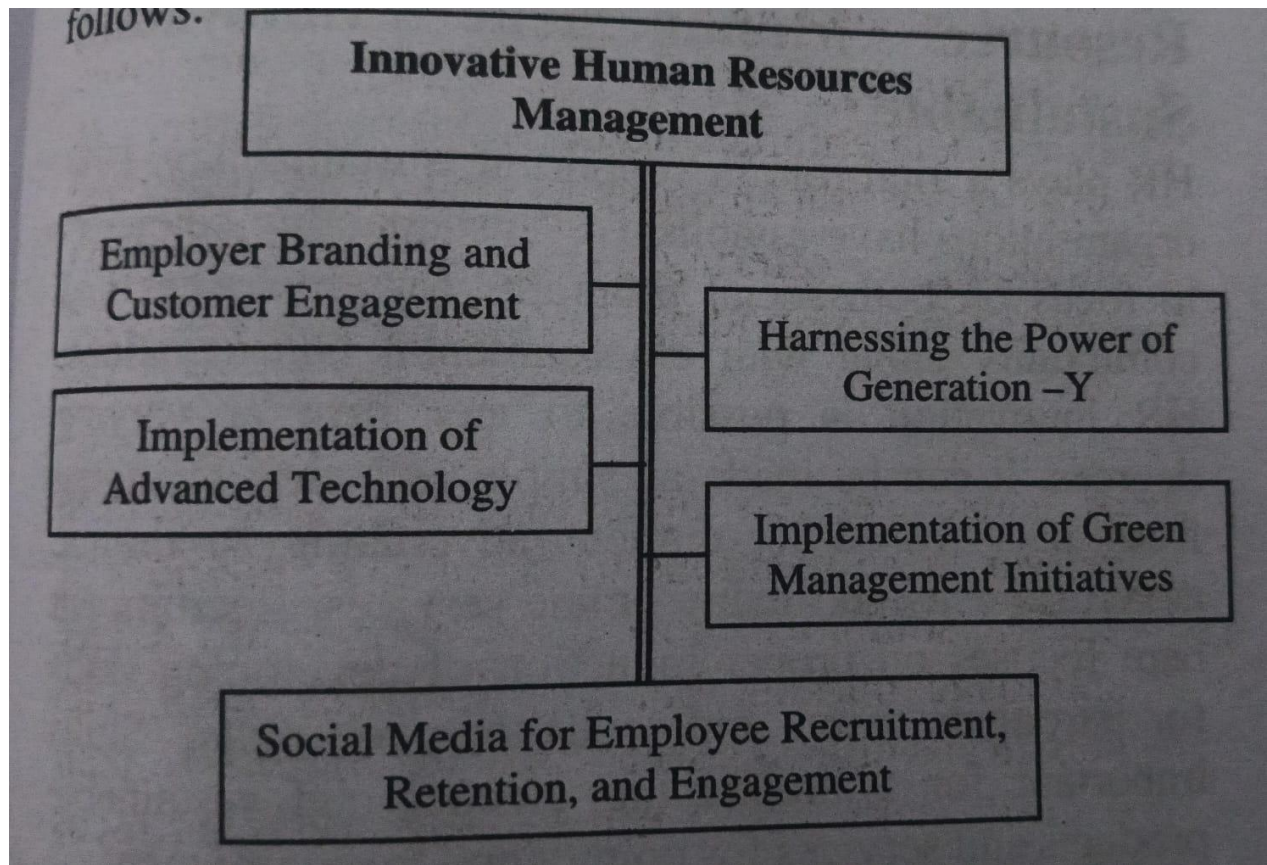
The VR software and hardware market is projected to reach \$40.4 billion by 2021. And according to IDC, more than 1 billion people are expected to use VR regularly by 2021. VR is already improving a variety of industries; it's already improving physical therapy treatment, helping children with Autism Spectrum Disorder (ASD) overcome social interaction disabilities, and advancing surgical training, to name a few. VR is destined to become ubiquitous across homes, schools, and industries, alike. Virtual reality software is the obvious solution to our sexual harassment problem and funding for this type of technology will inevitably increase. As VR sexual harassment training technologies progress, they will quickly outgrow the standard, and outdated, model of sexual harassment training.

4) Corporate Wellness Initiatives Expansion: According to a recent survey, only 35% of U.S. employees reported feeling satisfied with their finances in 2017. Thirty-five per cent of employees surveyed miss 3-5 days per month as a result of workplace stress, and yet another 85% of workers who have experienced stress at work rate the efforts of their workplace to reduce

stress as fair to poor. Investing in employees' well-being is an essential part of improving employee engagement and promoting a healthy workplace culture. To provide a comprehensive corporate wellness solution, businesses will increase their budget allocated to wellness, focus on integrating solutions to improve employee access, and embrace digital solutions. Businesses will focus on emotional well-being initiatives including offering stress management workshops, providing meditation rooms, and focusing on mindfulness and work-life integration. Companies will also have the option of using wellness apps to better promote and deliver these solutions to all of their employees. These solutions not only work to reduce employee burnout but provide employees with holistic wellness solutions to improve overall health and wellness. An improved focus on corporate wellness decreases stress and burnout, resulting in more productive employees and a positive organizational culture.

5) AI to Improve HR Operations: The new industrial revolution is all about artificial intelligence - evident from our artificial intelligence trends report. Companies are increasingly leveraging AI technology to help identify data opportunities, improve internal workflows, and increase productivity, to name a few. AI-embedded HR technologies can also help companies improve the employee experience. The employee experience begins with the candidate experience, and AI enhances the entire employee lifecycle from recruiting through offboarding. AI can help businesses treat their candidates and employees as if they are loyal customers. Improving the employee experience increases employee engagement and enhances company culture. Machine learning, an application of AI, uses data to learn, identify patterns, and make decisions. These tools reduce the amount of human power

Innovative Human Resources Management Practices in India



1) Employer Branding and Customer Engagement: In today's highly competitive business environment, companies are vying with one another in attracting, recruiting, and retaining the best brains and become an employer of choice. It is the best brains or quality workforce keeps the organisation moving. In such a context, employer branding' has become sole proactive and long-term strategy with a transparent message to promote the organisation as an employer of choice. By becoming an employer of choice it not only can attract and retain best talent but also attract prospective customers too. Revenue comes from the existing customers. Organisation should plan effectively to engage the existing customers and acquire new customers. The focus should be on how to fiercely protect customer base and spot potential customer mining with existing customers. To acquire new customers, put best sales talent for new customer acquisitions.

2) Harnessing the Power of Generation -Y: Generation Y is innovative and creative. They seek to make a difference and want to produce something worthwhile. Gen-Y have high levels of

intelligence as well as education, a comfortable upbringing, very high inspirational levels and high mobility, indifference towards hierarchy, bureaucracy, titles and bonuses and HR managers have serious problem in retaining and motivating them, their technical sophistication, and demand for respect and responsibility. Gen-Y is impatient, they expect speed and change and won't tolerate situations that don't make sense to them. At work, Gen-Y thrives on flexibility, having space to explore and the opportunity to pursue new challenges. Unless Companies find a way to harness that energy very quickly, they are likely going to lose them. HR professionals can determine the company's need for Gen-Y talent over the next three to five years while not forgetting to anticipate the retirement of baby Boomers or the shortage of Gen-X people.

3) Implementation of Advanced Technology: The introduction of amazing new technologies has increased the speed at which other organisations will copy the best practices to that extent that it is necessary to speed up the rate of innovation in business. Technology helps organisations to coordinate the complex task of HRM. HRM solutions are available in flexible, web-based modules like: Employee Performance Management Software including e-appraisal, Training & Development, Goal allocation & Tracking, MultiRater Feedback, Performance linked bonuses etc., some of the software support various HR functions are Instant HR Software 2.0.94, ERP Flex- HR 1, the Garuda Preference Profile 2, Human Capital Management including employee database (HRIS), employee self-services, Payroll manager, online compensation planning etc.,

4) Implementation of Green Management Initiatives: Green management initiatives become an important factor in forward-thinking businesses around the world. Focus on Green HRM as a strategic initiative promotes sustainable business practices that involves undertaking environment friendly HR initiatives resulting in greater efficiencies, lower costs and better employee engagement and retention which in turn, help organisations to reduce employee carbon footprints by the likes of electronic filing, carsharing, job-sharing, internet or teleconferencing to cut down on business travel, virtual interviews, putting Summary Plan Descriptions (SPDs) or other company information online to reduce printing, recycling, promoting the reduction of paper usage, implementing wellness programs around proper nutrition, fitness, and healthy living, telecommuting, online training, energy-efficient office spaces and etc.

5) Social Media for Employee Recruitment, Retention, and Engagement: Integrating social technologies into their employee life cycles, from recruitment, skills development and employee engagement to employee exit help organisations to thrive better. Social media is enriching human resources from an administrative function to a highly engaging business partner that has a significant impact on effectiveness of an organization's workforce and its ability deliver against key strategies. Combined with cloud computing and mobility, human resources is becoming an exciting and creative area that business can leverage to maximize their people capabilities. HR department can make use social media channels such as LinkedIn, Twitter and Facebook for various purposes such as communication, branding, promoting events, background checks, employee actions, benefit communication, weekly HR blog, research, recognize employee achievement and emergency notification so on.

Sustainable Human Resource Management (Sustainable HRM)

Sustainable Human Resource Management (SHRM) is a strategic approach to managing people that focuses on achieving long-term organizational success while ensuring employee well-being, social responsibility, and environmental sustainability. It aims to balance economic performance with ethical employment practices, employee development, and environmental protection. Sustainable HRM recognizes that employees are valuable assets whose skills, health, and motivation contribute significantly to the organization's long-term growth and competitiveness.

The primary objective of Sustainable HRM is to create a healthy, productive, and inclusive workplace where employees can perform effectively while maintaining a good quality of life. Organizations practicing Sustainable HRM invest in continuous training and development, promote diversity and inclusion, ensure workplace safety, and encourage work-life balance. These practices help employees remain motivated, committed, and capable of adapting to changing business environments.

Another important aspect of Sustainable HRM is Green Human Resource Management (Green HRM), which encourages environmentally responsible behavior among employees. Organizations adopt eco-friendly HR practices such as paperless recruitment, online training, energy conservation, recycling initiatives, and awareness programs to reduce their environmental

impact. Sustainable HRM also promotes ethical leadership, fair compensation, equal employment opportunities, and corporate social responsibility (CSR), contributing to a positive organizational image and long-term sustainability.

The benefits of Sustainable HRM include higher employee satisfaction, lower turnover, improved productivity, stronger organizational reputation, and better compliance with legal and ethical standards. However, organizations may face challenges such as high implementation costs, resistance to change, and difficulty in measuring the long-term impact of sustainability initiatives.

Innovative Human Resource Management (Innovative HRM)

Innovative Human Resource Management (Innovative HRM) refers to the adoption of new ideas, advanced technologies, and modern HR practices to improve workforce management and organizational performance. It focuses on transforming traditional HR functions by using digital tools, automation, artificial intelligence (AI), data analytics, and creative management techniques. The goal of Innovative HRM is to enhance employee experience, improve efficiency, and help organizations remain competitive in a rapidly changing business environment.

Modern organizations increasingly use innovative HR practices to attract, develop, and retain talented employees. AI-powered recruitment systems can quickly screen resumes, identify suitable candidates, and reduce hiring time. HR analytics enables managers to make data-driven decisions related to recruitment, employee performance, retention, and workforce planning. Digital learning platforms and virtual training programs allow employees to continuously develop their knowledge and skills, regardless of their location.

Innovative HRM also supports flexible work arrangements such as remote work and hybrid work models, enabling employees to achieve better work-life balance while maintaining productivity. Organizations use employee engagement platforms, real-time performance feedback systems, and wellness applications to improve communication, motivation, and job satisfaction. These

innovative practices create a more agile, collaborative, and employee-centered work environment.

The advantages of Innovative HRM include faster decision-making, improved recruitment efficiency, enhanced employee engagement, increased productivity, and better organizational adaptability. However, organizations may encounter challenges such as cybersecurity risks, data privacy concerns, high investment in technology, employee resistance to digital transformation, and the need for continuous upskilling.

HR INFORMATION SYSTEM

INTRODUCTION

A Human Resource Information System (HRIS) is a computer-based system that collects, stores, manages, and processes employee-related information. It integrates Human Resource Management (HRM) activities with information technology to improve the efficiency and accuracy of HR functions. HRIS serves as a centralized database that enables organizations to manage employee records, payroll, recruitment, attendance, training, performance appraisal, and benefits administration in an organized manner.

The primary purpose of HRIS is to simplify HR operations by automating routine tasks and providing timely, accurate, and reliable information for decision-making. It reduces paperwork, minimizes manual errors, saves time, and allows HR professionals to focus on strategic activities such as talent management, employee development, and workforce planning. By providing real-time access to employee information, HRIS supports better communication and faster decision-making across the organization.

HRIS in the Digital Age

Digital transformation has significantly changed the way HR departments operate. Today's HRIS integrates multiple HR functions—including recruitment, payroll, attendance, performance management, training, compensation, and employee engagement—into a single digital platform.

This integration enables organizations to access real-time employee information, automate routine HR tasks, and make faster, data-driven decisions.

Cloud-based HRIS solutions allow organizations to access HR data anytime and anywhere, making them especially useful for remote and hybrid work environments. Employees can use self-service portals and mobile applications to update personal information, apply for leave, view salary details, and participate in online learning programs. This improves convenience, transparency, and communication between employees and HR departments.

Artificial Intelligence (AI) has further enhanced HRIS by automating resume screening, predicting employee turnover, supporting workforce planning, and providing personalized learning recommendations. HR analytics enables managers to identify workforce trends, measure employee performance, monitor productivity, and make strategic decisions based on accurate data rather than assumptions.

Key Features of Digital HRIS

- Cloud-based data storage and access.
- AI-powered recruitment and talent acquisition.
- Employee self-service (ESS) portals.
- Mobile HR applications.
- HR analytics and reporting dashboards.
- Digital payroll and benefits management.
- Online learning and training management.
- Automated attendance and leave management.

Advantages of HRIS in the Digital Age

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- Improves HR efficiency through automation.
 - Provides real-time access to employee information.
 - Enhances data accuracy and security.
 - Supports remote and hybrid work environments.
 - Enables data-driven HR decision-making.
 - Improves employee engagement and satisfaction.
 - Reduces administrative costs and paperwork.
 - Ensures better compliance with labor laws and organizational policies.

Challenges

- Cybersecurity and data privacy risks.
- High implementation and maintenance costs.
- Resistance to technological change.
- Need for continuous employee training.
- Integration issues with existing business systems.

CHAPTER 6

FUTURE TRENDS IN HUMAN RESOURCE MANAGEMENT

1. Hybrid Work Model

Introduction

A Hybrid Work Model is a flexible work arrangement where employees perform their duties through a combination of office-based work and remote work. It integrates traditional workplace practices with digital technologies to provide employees with greater flexibility while maintaining organizational productivity.

The hybrid work model allows employees to work from the office on selected days and remotely on other days. Organizations use digital platforms such as video conferencing, cloud applications, and collaboration tools to ensure effective communication and teamwork. This model has gained importance due to technological advancement and changing employee expectations regarding flexibility and work-life balance.

Features of Hybrid Work Model

- Combination of remote and office work.
- Flexible working schedules.
- Technology-enabled communication.
- Performance-based evaluation.
- Employee autonomy and flexibility.

Advantages

- Improves employee work-life balance.
- Reduces commuting time and costs.
- Increases employee satisfaction and productivity.
- Helps organizations attract and retain talent.

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- Reduces office infrastructure expenses.

Challenges

- Maintaining organizational culture.
- Communication and coordination issues.
- Data security concerns.
- Difficulty in monitoring employee performance.
- Employee isolation.

Role of HR

HR managers need to develop clear hybrid work policies, provide digital tools, maintain employee engagement, and ensure equal opportunities for remote and office employees.

Employee Skill Development:

Introduction

Employee Skill Development refers to the process of enhancing employees' knowledge, abilities, and competencies through continuous learning and training programs. It helps employees improve their performance and prepare for future job responsibilities.

In a rapidly changing business environment, organizations require employees with updated technical and behavioral skills. HR departments conduct training programs, workshops, coaching, mentoring, and online learning initiatives to improve employee capabilities.

Types of Skill Development

1. Technical Skills:

Includes job-specific knowledge, software skills, technological expertise, and professional abilities.

2. Soft Skills:

Includes communication, teamwork, leadership, problem-solving, and decision-making skills.

3. Digital Skills:

Includes knowledge of AI, data analytics, automation, and digital tools.

4. Leadership Skills:

Develops managerial and strategic abilities among employees.

Importance

- Improves employee performance.
- Reduces skill gaps.
- Increases innovation.
- Supports career growth.
- Enhances organizational competitiveness.

Methods

- Training and development programs.
- E-learning platforms.
- Job rotation.
- Coaching and mentoring.
- Workshops and seminars.

Internal Mobility:

Internal Mobility refers to the movement of employees within the same organization from one role, department, position, or location to another. It provides employees with career growth opportunities while helping organizations retain talented employees.

Internal mobility enables organizations to utilize existing employee skills instead of depending only on external recruitment. It includes promotions, transfers, job rotation, and career advancement opportunities.

Types of Internal Mobility

1. Vertical Mobility

Movement of employees to higher-level positions through promotion.

2. Horizontal Mobility

Movement between departments or roles at the same organizational level.

3. Job Rotation

Temporary movement across different roles to gain experience.

4. Transfers

Movement of employees to different locations or departments.

Benefits

- Improves employee retention.
- Reduces recruitment costs.
- Enhances employee motivation.
- Develops leadership talent.
- Creates a flexible workforce.

Challenges

- Limited internal opportunities.
- Employee resistance to change.
- Skill mismatch.
- Lack of transparency.

Diversity and Inclusion in the Workforce:

Diversity and Inclusion (D&I) refers to creating a workplace where employees from different backgrounds, experiences, and perspectives are respected and provided equal opportunities.

Diversity focuses on workforce differences such as gender, age, culture, education, and abilities. Inclusion ensures that all employees feel valued, respected, and involved in organizational activities.

Types of Diversity

- Gender diversity.
- Cultural diversity.
- Age diversity.
- Educational diversity.
- Ability diversity.
- Experience diversity.

Importance

- Encourages creativity and innovation.
- Improves employee engagement.
- Enhances decision-making.
- Builds a positive workplace culture.
- Improves organizational reputation.

HR Role in D&I

- Implement fair recruitment practices.
- Provide diversity training.
- Ensure equal promotion opportunities.
- Prevent workplace discrimination.
- Create inclusive policies.

Challenges

- Unconscious bias.
- Cultural differences.
- Resistance to change.
- Lack of awareness.

People Analytics

People Analytics refers to the use of employee data, technology, and analytical techniques to make informed HR decisions. It helps organizations understand workforce behavior and improve employee performance.

People analytics uses data related to recruitment, performance, employee engagement, attendance, and turnover to identify trends and support strategic decision-making. It transforms HR from a traditional administrative function into a data-driven strategic partner.

Applications of People Analytics

- Talent acquisition analysis.
- Employee performance measurement.
- Employee retention prediction.
- Workforce planning.
- Training effectiveness analysis.

Benefits

- Better decision-making.
- Improved workforce planning.
- Reduced employee turnover.
- Increased productivity.

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- Identifies skill gaps.

Challenges

- Data privacy concerns.
- Lack of analytical skills.
- High technology investment.
- Ethical issues in employee monitoring.

Employee Well-Being

Employee Well-Being refers to the overall physical, mental, emotional, and social health of employees at the workplace. Organizations focus on employee well-being to improve satisfaction, productivity, and long-term commitment.

Dimensions of Employee Well-Being

1. Physical Well-Being

Includes workplace safety, health programs, and fitness initiatives.

2. Mental Well-Being

Includes stress management, counseling, and emotional support.

3. Financial Well-Being

Includes fair compensation, benefits, and financial support programs.

4. Social Well-Being

Includes teamwork, relationships, and workplace belonging.

Importance

- Reduces workplace stress.
- Improves employee morale.
- Increases productivity.
- Reduces absenteeism.

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- Enhances employee retention.

HR Initiatives

- Employee assistance programs.
- Flexible working options.
- Wellness programs.
- Stress management training.
- Health insurance benefits.

Multi-Generational Workforce

A Multi-Generational Workforce refers to a workplace where employees from different age groups and generations work together. It includes different generations such as Baby Boomers, Generation X, Millennials, and Generation Z.

Different generations bring unique experiences, skills, values, and working styles. Managing a multi-generational workforce helps organizations combine traditional knowledge with modern technological skills.

Characteristics

Baby Boomers(Born: 1946–1964)

- Experienced and loyal.
- Prefer structured work environments.

Generation X(Born: 1965–1980)

- Independent and adaptable.
- Value work-life balance.

Millennials(Born: 1981–1996)

- Technology-oriented.

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- Prefer collaboration and flexibility.

Generation Z(Born: 1997 onwards)

- Digital natives.
- Prefer innovation and continuous learning.

Benefits

- Knowledge sharing.
- Greater creativity.
- Better problem-solving.
- Diverse perspectives.

Challenges

- Communication differences.
- Different expectations.
- Technology adaptation issues.
- Workplace conflicts.

HR Role

- Encourage collaboration.
- Provide customized training.
- Promote inclusive workplace culture.
- Manage generational differences effectively.

All-in-One HR Tools

All-in-One HR Tools are integrated digital platforms that combine multiple HR functions into a single system. These tools help organizations manage employees efficiently through automation and technology.

Features of All-in-One HR Tools

- Employee database management.
- Recruitment and onboarding.
- Payroll processing.
- Attendance management.
- Performance management.
- Learning and development.
- Employee self-service portals.
- HR analytics.

Advantages

- Reduces administrative workload.
- Improves data accuracy.
- Saves time and cost.
- Provides real-time HR information.
- Enhances employee experience.
- Supports strategic HR decisions.

Examples of HR Technologies

- Cloud-based HR systems.
- AI-based recruitment tools.

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- Digital performance management systems.
 - Employee engagement platforms.

Challenges

- Implementation cost.
- Data security risks.
- Employee resistance.
- Need for technical training.

HRIS:

Introduction to Human Resource Information System (HRIS)

Meaning and Definition

A Human Resource Information System (HRIS) is a technology-based system used to collect, store, process, manage, and analyze employee-related information. It integrates Human Resource Management (HRM) functions with Information Technology (IT) to improve the efficiency and effectiveness of HR activities.

HRIS acts as a centralized database that helps organizations manage employee records, recruitment, payroll, attendance, training, performance appraisal, compensation, and employee development activities. It supports HR managers in making accurate and timely decisions by providing relevant workforce information.

In modern organizations, HRIS has become an essential tool for strategic HR management because it reduces manual work, improves data accuracy, and enables data-driven decision-making.

Concept of HRIS

The concept of HRIS is based on the integration of people, processes, and technology to manage human resource activities effectively. It transforms traditional HR practices from manual record keeping into automated and strategic processes.

HRIS combines HR policies, procedures, employee data, and technological tools into a single system. It allows HR professionals to access real-time information and use workforce data for planning, forecasting, and improving employee performance.

Main Components of HRIS

1. Input System

The input system collects employee-related information such as personal details, attendance records, qualifications, skills, and employment history.

2. Database System

The database stores and organizes employee information securely for future use.

3. Processing System

The processing system converts collected data into meaningful information through calculations, analysis, and reports.

4. Output System

The output system provides reports and information required for HR decision-making.

Role of Information Technology (IT) in HRIS

Information Technology plays a significant role in improving the efficiency and effectiveness of HR functions. IT provides the infrastructure required for developing and operating HRIS.

Role of IT in HRIS

1. Automation of HR Processes

IT helps automate routine HR activities such as payroll processing, attendance tracking, leave management, and employee record maintenance.

2. Data Storage and Management

IT enables secure storage and quick retrieval of large volumes of employee information.

3. Improved Communication

Digital HR platforms improve communication between employees, managers, and HR departments.

4. HR Analytics and Decision Making

IT helps HR managers analyze workforce data and make strategic decisions related to recruitment, performance, and employee retention.

5. Online HR Services

Employees can access HR services through self-service portals for leave applications, salary details, and personal information updates.

6. Security and Confidentiality

IT ensures protection of sensitive employee information through passwords, encryption, and access controls.

Database Concepts and Applications in HRIS

Meaning of Database

A database is an organized collection of data that allows information to be stored, accessed, managed, and updated efficiently. In HRIS, databases store complete employee information and support various HR activities.

Database Concepts in HRIS

1. Data

Data refers to raw facts and details about employees, such as employee ID, name, department, salary, and qualifications.

2. Database Management System (DBMS)

DBMS is software used to create, manage, and control databases. It helps HR departments store and retrieve employee information efficiently.

3. Tables

Tables organize employee information into rows and columns. Example: Employee details table, payroll table, attendance table.

4. Records

A record represents complete information about one employee.

5. Fields

Fields represent individual data elements such as employee name, designation, or salary.

Applications of Database in HRIS

1. Employee Information Management

Maintains employee profiles, personal details, job history, and qualifications.

2. Recruitment Management

Stores applicant information, resumes, interview details, and selection records.

3. Payroll Management

Maintains salary details, deductions, incentives, and benefits information.

4. Performance Management

Stores employee performance ratings, feedback, and appraisal results.

5. Training Management

Tracks employee skills, training programs, and development activities.

6. Workforce Planning

Helps analyze employee data for future workforce requirements.

Steps in Implementing an HRIS

Successful implementation of HRIS requires proper planning and systematic execution.

Step 1: Identify Organizational Requirements

The organization must identify HR needs, problems, and objectives before selecting an HRIS.

Step 2: Form an Implementation Team

A team consisting of HR professionals, IT experts, and management representatives should be created.

Step 3: Select Suitable HRIS Software

The organization should select HRIS software based on cost, features, scalability, and organizational requirements.

Step 4: Data Collection and Migration

Existing employee data should be collected, verified, and transferred into the new HRIS system.

Step 5: System Configuration

The HRIS should be customized according to organizational policies, procedures, and HR requirements.

Step 6: Employee Training

Employees and HR staff should be trained to use the system effectively.

Step 7: Testing and Implementation

The system should be tested before full implementation to identify and correct errors.

Step 8: Monitoring and Evaluation

The organization should regularly evaluate HRIS performance and make improvements.

Benefits of HRIS:

1. Improved Efficiency

HRIS reduces manual paperwork and automates repetitive HR tasks.

2. Better Data Accuracy

It minimizes human errors and maintains accurate employee records.

3. Faster Decision-Making

HR managers can access real-time information for strategic decisions.

4. Cost Reduction

Automation reduces administrative costs and saves time.

5. Enhanced Employee Services

Employees can access HR services through self-service portals.

6. Improved Security

HRIS provides secure storage of confidential employee information.

7. Better Workforce Planning

HR analytics help organizations forecast workforce needs.

8. Increased Productivity

HR professionals can focus on strategic activities instead of routine administration.

Limitations of HRIS:

1. High Implementation Cost

Developing and maintaining HRIS requires significant investment.

2. Technical Problems

System failures, software issues, and technical errors can affect HR operations.

3. Data Security Risks

Employee information may be exposed due to cybersecurity threats.

4. Employee Resistance

Some employees may resist adopting new technology.

5. Training Requirements

Employees require continuous training to use HRIS effectively.

6. Dependence on Technology

Organizations may face difficulties if systems fail or become outdated.

7. Privacy Concerns

Maintaining confidentiality of employee data is a major challenge.

Self-Service Employee (SEE) / Employee Self-Service (ESS):

Meaning

Employee Self-Service (ESS) is a feature of HRIS that allows employees to directly access and manage their personal HR-related information without depending completely on the HR department.

Through ESS portals, employees can perform various HR activities online using computers or mobile applications.

Features of Employee Self-Service

- Updating personal information.
- Applying for leave.
- Checking attendance records.
- Viewing salary slips.

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- Accessing benefits information.
 - Requesting HR services.
 - Participating in training programs.
 - Viewing performance feedback.

Benefits of Employee Self-Service

- Reduces HR administrative workload.
- Provides quick access to employee information.
- Improves transparency.
- Increases employee satisfaction.
- Saves time for employees and HR managers.
- Encourages employee participation in HR processes.

Limitations of Employee Self-Service

- Requires digital knowledge among employees.
- Security and privacy risks.
- Technical problems may affect accessibility.
- Resistance from employees unfamiliar with technology.